

Risk and Capital

- Information according to Pillar 3

2020

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Introduction

Handelsbanken provides this information in compliance with Part Eight of Regulation (EU) No 575/2013 (CRR) and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers.

Requirements on disclosures regarding banks' risk and capital management are stipulated in the accounting and capital requirement regulations. This report together with the Bank's Annual Report, in particular note G2 and note G49 provides information about risk and capital.

The disclosures pursuant to CRR can be found in this report in the form of quantitative information to be provided as stipulated in the European Banking Authority's (EBA's) Guidelines on disclosure requirements under Part Eight of Regulation (EU) No 575/2013, (EBA/GL/2016/11), Guidelines on management of non-performing and forborne exposures (EBA/GL/2018/06) and explanatory texts to the tables. According to EBA guidelines on reporting and disclosure of exposures subject to measures applied in response to the Covid-19 crisis (EBA/GL/2020/07) Handelsbanken disclosed the information about subject to legislative and non-legislative moratoria and on newly originated exposures subject to public guarantee schemes.

This information has been produced in accordance with the EBA's Guidelines on materiality, proprietary and confidentiality and of disclosure frequency under Articles 432(1), 432(2) and 433 of Regulation (EU) No 575/2013 (EBA/GL/2014/14). For information items not disclosed under EBA/GL/2014/14 see page 92.

Svenska Handelsbanken AB (publ) is the parent company in the Handelsbanken Group. In the context of capital adequacy, in addition to the individual institution, capital requirements apply to the consolidated situation and not to the Group. This report therefore principally provides information about the consolidated situation. Handelsbanken is also covered by the rules applying to financial conglomerates. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined. The conglomerate is not covered by the Pillar 3 rules.

As in the consolidated accounts, associated companies are consolidated using the equity method in the regulatory consolidated situation. Furthermore, subsidiaries are consolidated according to the acquisition method. Handelsbanken's Annual Report provides information about the subsidiaries in the Group. Companies that are part of the consolidated situation and that are thus covered by the capital adequacy requirements according to the capital adequacy regulations are listed in table 2.10. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds. Related party disclosures can be found in the Annual Report, note G47. Information about own funds and the capital requirement is also presented in the Annual Report, note G49.

For periodic information, for which Handelsbanken has identified a need to submit information more often than once a year, please refer to the Bank's interim reports. Information to be provided quarterly as stipulated in EBA/GL/2016/11 is published on Handelsbanken's website.

The information is presented as at 31 December 2020, and the comparative figures as at 31 December 2019 unless otherwise specified. The amounts in brackets are the figures for the preceding year.

For the subsidiaries Stadshypotek AB and Handelsbanken plc, information in compliance with Articles 437, 438, 440, 442, 450, 451, and 453 of CRR is to be provided at a sub-consolidated level in compliance with Article 13 of CRR.

REGULATIONS AND REGULATORY DEVELOPMENTS

Capital adequacy

According to the current capital adequacy framework, Regulation (EU) 575/2013 (CRR), the Swedish Capital Buffers Act (2014:966), and the Swedish Special Supervision of Credit Institutions and Investment Firms Act (2014:968), the Bank must have common equity tier 1 capital of at least 4.5 per cent, tier 1 capital of at least 6 per cent, and total own funds that correspond to at least 8 per cent of the total risk exposure amount for credit risks, market risks and operational risks.

In addition to maintaining capital to meet the minimum requirements, the Bank must also maintain common equity tier 1 capital to comply with the combined buffer requirement, which in Sweden comprises the sum of a capital conservation buffer of 2.5 per cent, a countercyclical buffer of up to 2.5 per cent, a buffer of 1 per cent due to the designation as an "other systemically important institution" (O-SII) and finally a systemic risk buffer of 3 per cent. The established combined buffer requirements must be satisfied, for example, to avoid restrictions on dividends.

The countercyclical buffer, which is decided by the Swedish Financial Supervisory Authority, varies over the business cycle, with the aim of counteracting excessively high credit growth. At present, the previous countercyclical buffer rates have been reduced to 0.0 per cent in Sweden, Denmark, Finland, France, Germany and UK. Norway and Hong Kong applies a buffer rate of 1.0 per cent. No other countries where Handelsbanken has operations have decided on a countercyclical buffer requirement.

Since 31 December 2018 an institution specific Pillar 1 risk weight floor of 25 per cent for exposures in Swedish mortgages covered by the IRB approach is applied. This means that Svenska Handelsbanken AB, corporate identity no. 502007-7862 and its consolidated situation, are required to apply an average risk weight floor of 25 per cent for exposures to Swedish mortgages in Pillar 1. This also applies to Stadshypotek AB, corporate identity no. 556459-6715 and its consolidated situation. The macro prudential measure has been extended by a decision by the Swedish Financial Supervisory Authority until 30 December 2021.

INTRODUCTION

The Norwegian Ministry of Finance has announced that it intends to adopt temporary floors for average risk weights for Norwegian residential and commercial real estate exposures at 20 and 35 per cent, respectively. The floors will be applicable for a period of two years and will be based on the provisions in Articles 458(4) and 458(9) of CRR. The measure will be formally adopted following notification procedures vis-à-vis relevant EU/EEA authorities.

Capital requirements within the framework of Pillar 2

In addition to the above-mentioned capital requirement, referred to as the Pillar 1 requirement, the Bank must hold capital for minimum requirements under Pillar 2 of the regulations (P2R). These requirements are specific to each institution and are decided by the Swedish Financial Supervisory Authority. Various factors are assessed within Pillar 2, such as concentration risks, pension risk and interest rate risk in the non-trading book etcetera. The Swedish Financial Supervisory Authority has also introduced a risk weight floor in Pillar 2 on exposures to property companies. The floors are 35 per cent for exposures to property companies with collateral in commercial property in Sweden and 25 per cent for exposures to property companies with collateral in residential property in Sweden. The Swedish Financial Supervisory Authority also calculates the need to hold buffer capital under a Pillar 2 guidance (P2G). The guidance does not result in any further capital charge for the Bank as long as it is not estimated to be in excess of the capital conservation buffer. The P2G will be decided by the Swedish Financial Supervisory Authority as part of the 2021 Supervisory Review and Evaluation Process.

In addition to the regulatory minimum capital and buffer requirements, the Bank must perform an internal capital adequacy assessment, in which all risks and capital requirements are assessed in an unbiased manner. Since the introduction of Basel II in 2007, Handelsbanken has, in its internal capital adequacy assessment process, kept considerably more capital than is formally required under Pillar 1. This is because the Bank's capital assessment is based on calculations of economic capital and conservative stress tests, which indicate that the capital supply in a normal business cycle should be sufficient to cover potential losses and capital requirement changes which may occur under stressed conditions.

All capital charges within the framework of Pillar 2 are made in the overall capital assessment, that is, the Swedish Financial Supervisory Authority's individual assessment of the Bank's capital requirements. This is in addition to the minimum requirements set out in Pillar 1 and any P2R charges will have a direct effect on the level at which, for example, automatic restrictions on dividends come into force, while P2G charges will not.

Leverage ratio

The leverage ratio is a capital ratio defined in CRR. The ratio is defined as the tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated using the credit conversion factor defined in the standardised approach, as well as regulatory adjustments of own funds.

A binding leverage ratio requirement of 3 per cent has been introduced in CRR to complement the current system for the reporting and disclosure of the leverage ratio. The requirement will be applicable from 28 June 2021.

Liquidity

The liquidity coverage ratio (LCR) has been a binding requirement for banks in the EU since the European Commission introduced its delegated regulation. The figure stipulates the ratio between the Bank's liquidity buffer and its net cash flows in a very stressed scenario during a 30-day period. The requirement applies to LCR at aggregate level and the ratio must be at least 100 per cent. The Swedish Financial Supervisory Authority also stipulates LCR in individual currencies within the framework of the supervisory review and evaluation process in Pillar 2 as the minimum requirements within the EU currently do not apply to individual currencies.

Minimum requirements for the net stable funding ratio (NSFR) – the structural liquidity measure comprising the ratio between available stable funding and the stable funding required – will be introduced in the EU in June 2021.

Basel IV

In December 2017, the Basel Committee published a proposal for changes to all parts of the Capital Requirements Regulation; for credit risk, a revised standardised approach will be introduced with a larger component of risk sensitivity. In addition, restrictions will be introduced on how methods based on internal models may be used. The method for credit valuation adjustment (CVA) will be developed and the option of using internal models will be revoked. For measuring operational risk banks must use a new, uniform standardised approach based on a combination of the bank's earnings and historical operational losses.

In addition to the changes in individual risk measurement methods, a new overall risk weight floor of 72.5 per cent of the exposure amount is being introduced according to the standardised approach for all banks that use internal models.

The Basel Committee recommends that the new rules apply as of 1 January 2023, as will the previously proposed changes in the FRTB. However, the risk weight floor requirements will be phased in between 2023 and 2028. The exact application of the Basel IV reform is still under discussion within the EU.

Own funds and capital requirement

Handelsbanken aims to be well capitalised in relation to its risks at all times, and to fulfil the capital adequacy requirements established by supervisory authorities, including in situations of financial stress. This is part of the Bank's strategy to have a business model that is independent of changes in the business cycle.

Handelsbanken is obliged to meet the requirements of the capital adequacy regulations and also requirements regarding the financial conglomerate.

DESCRIPTION OF THE CONSOLIDATED SITUATION

The regulatory consolidation (consolidated situation) consists of the parent company, subsidiaries and associated companies that are included in the consolidated accounts, as shown in Table 2.10. The companies that are included in the consolidated accounts but are excluded from the consolidated situation are also shown in Table 2.10. Just as in the consolidated accounts, associated companies are consolidated using the equity method in the regulatory consolidated situation. Furthermore, subsidiaries are consolidated according to the acquisition method. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

OWN FUNDS

The Bank's Annual Report provides a description of the composition of own funds for the consolidated situation, the terms applying to the different parts of own funds, and the deductions made from various items.

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to reallocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Table 2.1 Balance sheet

Balance sheet	2020		2019	
	Consolidated situation	Banking group	Consolidated situation	Banking group
SEK m				
ASSETS				
Cash and balances with central banks	397 642	397 642	327 958	327 958
Other loans to central banks	21 326	21 326	19 547	19 547
Interest-bearing securities available as collateral with central banks	99 133	99 133	103 387	103 387
Loans to other credit institutions	21 915	21 920	17 934	17 939
Loans to the public	2 270 744	2 269 612	2 293 735	2 292 603
Value change of interest-hedged item in portfolio hedge	25	25	25	25
Bonds and other interest-bearing securities	44 566	44 566	42 640	42 640
<i>of which interest-bearing instruments classified as available for sale (carrying amount)</i>	7 964	7 964	4 953	4 953
<i>of which interest-bearing instruments classified as available for sale, accumulated value change</i>	-67	-67	-73	-73
Shares and participating interests	14 322	21 045	14 340	21 390
<i>of which shares classified as available for sale (carrying amount)</i>	700	700	2 303	2 303
<i>of which shares classified as available for sale, accumulated value change</i>	156	156	739	739
Investments in associates	6 639	386	6 560	285
Assets where the customer bears the value change risk	7 504	197 212	6 514	174 988
Derivative instruments	30 614	30 614	41 545	41 545
<i>of which cash flow hedges</i>	3 353	3 353	4 203	4 203
Reinsurance assets	-	11	-	11
Intangible assets	11 149	11 330	11 051	11 185
Property and equipment	6 231	6 232	6 644	6 645
Current tax assets	984	988	50	53
Deferred tax assets	1 218	1 218	693	693
<i>of which related to cash flow hedges</i>	-	-	-	-
<i>of which related to interest-bearing instruments classified as available for sale</i>	19	19	20	20
Pension assets	2 055	2 005	700	654
Assets held for sale	1 657	1 657	1	1
Other assets	5 915	6 113	5 917	6 167
Prepaid expenses and accrued income	2 222	2 253	1 925	1 951
Total assets	2 945 861	3 135 288	2 901 166	3 069 667
LIABILITIES AND EQUITY				
Liabilities to credit institutions	124 635	124 723	147 934	147 989
Deposits and borrowing from the public	1 230 589	1 229 763	1 117 260	1 117 825
Liabilities where the customer bears the value change risk	7 504	197 212	6 514	174 988
Issued securities	1 310 737	1 310 737	1 384 961	1 384 961
Derivative instruments	32 819	32 819	20 642	20 642
<i>of which cash flow hedges</i>	-	-	-	-
Short positions	1 682	1 682	1 856	1 856
Insurance liabilities	-	557	-	578
Current tax liabilities	0	25	1 264	1 284
Deferred tax liabilities	5 315	5 353	5 594	5 634
<i>of which related to cash flow hedges</i>	870	870	1 144	1 144
<i>of which related to shares classified as available for sale</i>	16	16	27	27
Provisions	2 294	2 302	1 132	1 141
Pension obligations	0	0	0	0
Liabilities related to assets held for sale	-	-	-	-
Other liabilities	13 573	13 928	13 714	14 038
Accrued expenses and deferred income	3 524	3 632	3 271	3 353
Subordinated liabilities	41 082	41 082	35 546	35 546
<i>of which tier 1 capital loans</i>	21 980	21 980	15 819	15 819
<i>of which loans with remaining time to maturity > 5 yrs</i>	18 032	18 032	18 639	18 639
<i>of which loans with remaining time to maturity < 5 yrs</i>	-	-	-	-
<i>of which other loans</i>	-	-	2	2
Total liabilities	2 773 754	2 963 815	2 739 688	2 909 835
Minority interest	9	9	8	8
Share capital	3 069	3 069	3 069	3 069
Holdings of own shares	0	0	0	0
Share premium reserve	8 758	8 758	8 758	8 758
<i>of which equity from compound financial instruments</i>	-	-	0	0
Other reserves	8 562	8 532	13 130	13 141
Retained earnings	137 177	135 520	119 799	117 934
Profit for the year (belonging to shareholders of Svenska Handelsbanken AB)	14 532	15 585	16 714	16 922
Total equity	172 107	171 473	161 478	159 832
Total liabilities and equity	2 945 861	3 135 288	2 901 166	3 069 667

Table 2.2 Own funds

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013. Excluded rows are deemed not relevant for Handelsbanken at present.

Own funds		2020		2019
		Amount at disclosure date	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013 Regulation (EU) No 575/2013 article reference	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013 Amount at disclosure date
SEK m				
Common equity tier 1 capital: instruments and reserves				
1	Capital instruments and the related share premium accounts	11 827	26 (1), 27, 28, 29, EBA list 26 (3)	11 827
	of which: share capital	11 827	EBA list 26 (3)	11 827
	of which: convertible securities	-	EBA list 26 (3)	-
2	Retained earnings	137 177	26 (1) (c)	119 799
3	Accumulated other comprehensive income (and any other reserves, to include unrealised gains and losses according to the applicable accounting standards)	8 562	26 (1)	13 130
5a	Independently reviewed interim profits net of any foreseeable charge or dividend	6 414	26 (2)	5 824
6	Common equity tier 1 (CET1) capital before regulatory adjustments	163 980		150 580
Common equity tier 1 (CET1) capital: regulatory adjustments				
7	Additional value adjustments (negative amount)	-399	34, 105	-399
8	Intangible assets (net of related tax liability) (negative amount)	-11 217	36 (1) (b), 37	-11 119
11	Fair value reserves related to gains or losses on cash flow hedges	-3 353	33.1 (a)	-4 203
12	Negative amounts resulting from the calculation of expected loss amounts	-779	36 (1) (d), 40, 159	-1 581
14	Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	9	33.1 (b)	-
15	Defined benefit pension fund assets (negative amount)	-1 615	36 (1) (e), 41	-
16	Direct and indirect holdings by an institution of own CET1 instruments (negative amount)	-466	36 (1) (f), 42	-527
19	Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	36 (1) (j), 43, 45, 47, 48 (1) (b), 49 (1) to (3), 79	-
20a	Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative	-	36 (1) (k)	-20
20c	of which: securitisation positions (negative amount)	-	36 (1) (k) (ii), 243 (1) (b), 244 (1) (b), 258	-20
21	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)	-	36 (1) (c), 38, 48 (1) (a)	-
22	Amount exceeding the 15% threshold (negative amount)	-	48 (1)	-
23	of which: direct and indirect holdings by the institution of CET1 instruments of financial sector entities where the institution has significant investments in those entities	-	36 (1) (j), 48 (1) (b)	-
25	Of which: deferred tax assets arising from temporary differences	-	36 (1) (c), 38, 48 (1) (a)	-
25a	Losses for the current financial year (negative amount)	-	36 (1) (a)	-
25b	Foreseeable tax charges relating to CET1 items (negative amount)	-	36 (1) (l)	-
27	Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)	-	36 (1) (j)	-
28	Total regulatory adjustments to common equity tier 1 (CET1) capital	-17 820		-17 849
29	Common equity tier 1 (CET1) capital	146 160		132 731
Additional tier 1 (AT1) capital: instruments				
30	Capital instruments and the related share premium accounts	21 980	51, 52	15 819
32	of which: classified as liabilities under applicable accounting standards	21 980		15 819
33	Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1	-	486 (3)	-
36	Additional tier 1 (AT1) capital before regulatory adjustments	21 980		15 819
Additional tier 1 (AT1) capital: regulatory adjustments				
37	Direct and indirect holdings by an institution of own AT1 instruments (negative amount)	-9 808	52 (1) (b), 56 (a), 57	-
40	Direct and indirect holdings of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	56 (d), 59, 79	-
42	Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)	-	56 (e)	-
43	Total regulatory adjustments to additional tier 1 (AT1) capital	-9 808		-
44	Additional tier 1 (AT1) capital	12 172		15 819
45	Tier 1 capital (T1 = CET1 + AT1)	158 332		148 550

OWN FUNDS AND CAPITAL REQUIREMENT

Own funds	2020			2019	
	Amount at disclosure date	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	Regulation (EU) No 575/2013 article reference	Amount at disclosure date	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013
SEK m					
Tier 2 (T2) capital: instruments and provisions					
46	Capital instruments and the related share premium accounts	18 032	62, 63	18 639	
50	Credit risk adjustments	10	62 c and d	0	
51	Tier 2 (T2) capital before regulatory adjustments	18 042		18 639	
Tier 2 (T2) capital: regulatory adjustments					
52	Direct and indirect holdings by an institution of own T2 instruments and subordinated loans (negative amount)	-	63 (b) (i), 66 (a), 67	-	
55	Direct and indirect holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)	-1 129	66 (d), 69, 79	-1 129	
57	Total regulatory adjustments to tier 2 (T2) capital	-1 129		-1 129	
58	Tier 2 (T2) capital	16 913		17 510	
59	Total capital (TC = T1 + T2)	175 245		166 060	
60	Total risk-weighted assets	721 403		716 462	
Capital ratios and buffers					
61	Common equity tier 1 capital (as a percentage of total risk exposure amount)	20.3	92 (2) (a)	18.5	
62	Tier 1 capital (as a percentage of total risk exposure amount)	21.9	92 (2) (b)	20.7	
63	Total capital (as a percentage of total risk exposure amount)	24.3	92 (2) (c)	23.2	
64	Institution-specific buffer requirement (CET1 requirement in accordance with Article 92 (1) (a) plus capital conservation and countercyclical buffer requirements, plus systemic risk buffer, plus the systemically important institution buffer (G-SII or O-SII buffer) expressed as a percentage of total risk exposure amount)	6.6	CRD 128, 129, 130	7.4	
65	of which: capital conservation buffer requirement	2.5		2.5	
66	of which: countercyclical buffer requirement	0.1		1.9	
67	of which: systemic risk buffer requirement	3.0		3.0	
67a	of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer	1.0	CRD 131	0.0	
68	Common equity tier 1 capital available to meet buffers (as a percentage of risk exposure amount)	15.8	CRD 128	14.0	
Capital ratios and buffers					
72	Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	0	36 (1) (h), 45, 46, 472 (10), 56 (c), 59, 60, 66 (c), 69, 70	0	
73	Direct and indirect holdings of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	-	36 (1) (i), 45, 48	-	
75	Deferred tax assets arising from temporary differences (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	0	36 (1) (c), 38, 48	-2	
Applicable caps on the inclusion of provisions tier 2 capital					
76	Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)	-	62	-	
77	Cap on inclusion of credit risk adjustments in T2 under standardised approach	1 629	62	1 084	
78	Credit risk adjustments included in T2 in respect of exposures subject to internal ratings-based approach (prior to the application of the cap)	-	62	-	
79	Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach	3 074	62	3 308	
Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)					
80	Current cap on CET1 instruments subject to phase-out arrangements	-	484 (3), 486 (2) and (5)	-	
81	Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	-	484 (3), 486 (2) and (5)	-	
82	Current cap on AT1 instruments subject to phase-out arrangements	-	484 (4), 486 (3) and (5)	-	
83	Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	-	484 (4), 486 (3) and (5)	-	
84	Current cap on T2 instruments subject to phase-out arrangements	-	484 (5), 486 (4) and (5)	-	
85	Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	-	484 (5), 486 (4) and (5)	-	

Table 2.3 EU INS1 – Non-deducted participations in insurance undertakings

EU INS1 – Non-deducted participations in insurance undertakings		2020	2019
SEK m			
Holdings of own funds instruments of a financial sector entity where the institution has a significant investment not deducted from own funds (before risk weighting)		6 253	6 253
Total RWAs		15 633	15 633

Table 2.4 Amount of institution-specific countercyclical capital buffer

The table shows the total amount for the institution-specific countercyclical capital buffer.

The capital requirement for the countercyclical capital buffer has decreased compared to the previous period. Several countries (largest impact here is Sweden, Norway, Denmark and the United Kingdom) have adjusted the buffer during the first quarter of 2020 in response to the Covid-19 pandemic.

Amount of institution-specific countercyclical capital buffer		2020	2019
SEK m		010	010
10	Total risk exposure amount	675 029	716 462
20	Institution specific countercyclical buffer rate	0.1%	1.9%
30	Institution specific countercyclical buffer requirement	572	13 639

Table 2.5 Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer

The table shows the geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer. The capital requirement for the countercyclical capital buffer has decreased compared to the previous period. Several countries (largest impact here is Sweden, Norway, Denmark and the United Kingdom) have adjusted the buffer during the first quarter of 2020 in response to the Covid-19 pandemic.

Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer 2020

Row	General credit exposures		Trading book exposure		Securitisation exposure		Own funds requirements					Counter-cyclical capital buffer rate
	Exposure value for SA	Exposure value IRB	Sum of short and long position for trading book	Value of trading book exposure for internal models	Exposure value for SA	Exposure value for IRB	Of which: General credit exposures	Of which: Trading book exposures	Of which: Securitisation exposures	Total	Own funds requirement weights, %	
SEK m	010	020	030	040	050	060	070	080	090	100	110	120
10	Breakdown by country											
	Sweden	18 462	1 544 795	1 242	-	-	28 659	198	-	28 857	62.1	355
	Norway	1 980	284 648	288	-	-	3 872	32	-	3 904	8.4	48
	Other countries	149 103	432 645	54	-	16	13 661	14	4	13 675	29.5	169
20	Total	169 545	2 262 088	1 584	-	16	46 192	244	4	46 436	100	572

Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer 2019

Row	General credit exposures		Trading book exposure		Securitisation exposure		Own funds requirements					Counter-cyclical capital buffer rate
	Exposure value for SA	Exposure value IRB	Sum of short and long position for trading book	Value of trading book exposure for internal models	Exposure value for SA	Exposure value for IRB	Of which: General credit exposures	Of which: Trading book exposures	Of which: Securitisation exposures	Total	Own funds requirement weights, %	
SEK m	010	020	030	040	050	060	070	080	090	100	110	120
10	Breakdown by country											
	Sweden	15 503	1 486 247	1 529	-	-	28 911	232	-	29 143	58.8	8 020
	Norway	2 980	305 616	775	-	-	4 575	44	-	4 619	9.3	1 268
	Other countries	152 010	482 768	65	-	-	15 778	26	-	15 804	31.9	4 351
20	Total	170 493	2 274 631	2 369	-	-	49 264	302	-	49 566	100	13 639

Table 2.6 Change in own funds

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Change in own funds		
SEK m	2020	2019
Common equity tier 1 capital – opening amount	132 731	118 810
Profit for the period	14 532	16 581
Dividend	-8 118	-10 890
Return of proposed dividend for previous year	10 890	0
Conversions	0	3 129
Minority interests	0	0
Deferred tax	0	138
Capital contributions outside consolidated situation	0	0
Securitisation positions	20	-20
Goodwill and other intangible assets	-98	-729
Value adjustments for positions measured at fair value	0	-25
Own shares	61	-19
Negative amounts resulting from the calculation of expected loss amounts	802	468
Items affected via other comprehensive income		
AFS shares	156	352
AFS interest	5	5
Pensions (IAS 19)	-357	3 341
Exchange rate effects	-4 990	2 716
Net investment hedging	668	-1 186
Other	-142	60
Common equity tier 1 capital – closing amount	146 160	132 731
Additional tier 1 capital – opening amount	15 819	12 653
<i>Additional tier 1 instruments</i>		
Issues	8 108	4 599
Calls	-10 811	-2 350
Exchange rate effects	-944	517
Conversions	0	0
Regulatory adjustments capital	0	400
Additional tier 1 capital – closing amount	12 172	15 819
Total tier 1 capital	158 332	148 550
Tier 2 capital – opening amount	17 510	17 196
<i>Tier 2 capital instruments</i>		
Issues	0	0
Calls	0	0
Exchange rate effects	-607	314
Credit risk adjustment	10	0
Tier 2 capital – closing amount	16 913	17 510
Total own funds	175 245	166 060

Table 2.7 EU LI1 – Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories

The table shows which regulatory framework is used to calculate the capital requirement for each asset type in the balance sheet. Derivatives, repos and securities lending capital requirements are calculated according to both the CCR framework and the market risk framework. Because of this, the sums of rows including those exposures are larger than the total in column b. Further note that column g stems from the equity section of the balance sheet.

EU LI1 – Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories 2020

SEK m	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Carrying values of items				
			Subject to the credit risk framework	Subject to the CCR framework	Subject to the securitisation framework	Subject to the market risk framework	Subject to deduction from capital
Assets							
Cash and balances with central banks	397 642	397 642	397 642				
Other loans to central banks	21 326	21 326	21 326	0			
Interest-bearing securities available as collateral with central banks	99 133	99 133	1 181	0		97 952	
Loans to other credit institutions	21 920	21 915	21 392	523			
Loans to the public	2 269 612	2 270 744	2 257 085	11 626	904		1 129
Value change of interest-hedged item in portfolio hedge	25	25	25				
Bonds and other interest-bearing securities	44 566	44 566	7 964			36 602	
Shares and participating interests	21 045	14 322	700	529		20 245	
Investments in associates	386	6 639	6 571				68
Assets where the customer bears the value change risk	197 212	7 504	7 504				
Derivative instruments	30 614	30 614		30 614		16 835	
Reinsurance assets	11						
Intangible assets	11 330	11 149	0				11 149
Property and equipment	6 232	6 231	6 231				
Current tax assets	988	984	984				
Deferred tax assets	1 218	1 218	0				1 218
Pension assets	2 005	2 055	0				2 055
Assets held for sale	1 657	1 657	1 657				
Other assets	6 113	5 915	5 915				
Prepaid expenses and accrued income	2 253	2 222	2 222				
Total assets	3 135 288	2 945 861	2 738 399	43 292	904	171 634	15 619
Liabilities							
Liabilities to credit institutions	124 723	124 635					
Deposits and borrowing from the public	1 229 763	1 230 589					
Liabilities where the customer bears the value change risk	197 212	7 504					
Issued securities	1 310 737	1 310 737				2 215	
Derivative instruments	32 819	32 819		32 819		23 855	
Short positions	1 682	1 682				1 682	
Insurance liabilities	557	0					
Current tax liabilities	25	0					
Deferred tax liabilities	5 353	5 315					
Provisions	2 302	2 294					
Pension obligations	0	0					
Liabilities related to assets held for sale	0	0					
Other liabilities	13 928	13 573					
Accrued expenses and deferred income	3 632	3 524					
Subordinated liabilities	41 082	41 082					
Total liabilities	2 963 815	2 773 754		32 819		27 752	

EU L11 – Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories 2019

SEK m	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Carrying values of items				
			Subject to the credit risk framework	Subject to the CCR framework	Subject to the securitisation framework	Subject to the market risk framework	Subject to deduction from capital
Assets							
Cash and balances with central banks	327 958	327 958	327 958				
Other loans to central banks	19 547	19 547	19 547	0			
Interest-bearing securities available as collateral with central banks	103 387	103 387	1 427	0		101 960	
Loans to other credit institutions	17 939	17 934	17 934	0			
Loans to the public	2 292 603	2 293 735	2 281 020	10 438	1 148		1 129
Value change of interest-hedged item in portfolio hedge	25	25	25				
Bonds and other interest-bearing securities	42 640	42 640	4 953			38 265	
Shares and participating interests	21 390	14 340	2 303	2 179		19 087	
Investments in associates	285	6 560	6 492				68
Assets where the customer bears the value change risk	174 988	6 514	6 514				
Derivative instruments	41 545	41 545		41 545		41 545	
Reinsurance assets	11						
Intangible assets	11 185	11 051	0				11 051
Property and equipment	6 645	6 644	6 644				
Current tax assets	53	50	50				
Deferred tax assets	693	693	0				693
Pension assets	654	700	582				118
Assets held for sale	1	1	1				
Other assets	6 167	5 917	2 865			3 052	
Prepaid expenses and accrued income	1 951	1 925	1 925				
Total assets	3 069 667	2 901 166	2 680 240	54 162	1 148	203 909	13 059
Liabilities							
Liabilities to credit institutions	147 989	147 934					
Deposits and borrowing from the public	1 117 825	1 117 260					
Liabilities where the customer bears the value change risk	174 988	6 514					
Issued securities	1 384 961	1 384 961				3 261	
Derivative instruments	20 642	20 642		20 642		20 645	
Short positions	1 856	1 856				1 856	
Insurance liabilities	578	0					
Current tax liabilities	1 284	1 264					
Deferred tax liabilities	5 634	5 594					
Provisions	1 141	1 132					
Pension obligations	0	0					
Liabilities related to assets held for sale	0	0					
Other liabilities	14 038	13 714					
Accrued expenses and deferred income	3 353	3 271					
Subordinated liabilities	35 546	35 546					
Total liabilities	2 909 835	2 739 688		20 642		25 762	

Table 2.8 EU LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements

The table shows the difference between the carrying amount under the scope of regulatory consolidation and exposures considered for regulatory purposes.

EU LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2020		Items subject to				
		Total	Credit risk framework	CCR framework	Securitisation framework	Market risk framework
SEK m						
1	Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)	2 954 229	2 738 399	43 292	904	171 634
2	Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1)	60 571		32 819		27 752
3	Total net amount under the regulatory scope of consolidation	2 981 981	2 738 399	43 292	904	199 386
4	Off-balance-sheet amounts	534 285	534 285			
5	Differences in valuations					
6	Differences due to different netting rules, other than those already included in row 2	-168 650		-14 846		-153 804
7	Differences due to consideration of provisions	2 198	2 198	0		
8	Differences due to prudential filters					
9	Differences due to derivative exposure add-ons	19 876		19 876		
10	Exposure amounts considered for regulatory purposes	3 369 690	3 274 882	48 322	904	45 582

EU LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2019		Items subject to				
		Total	Credit risk framework	CCR framework	Securitisation framework	Market risk framework
SEK m						
1	Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)	2 939 459	2 680 240	54 162	1 148	203 909
2	Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1)	46 404		20 642		25 762
3	Total net amount under the regulatory scope of consolidation	2 965 221	2 680 240	54 162	1 148	229 671
4	Off-balance-sheet amounts	522 450	522 450			
5	Differences in valuations					
6	Differences due to different netting rules, other than those already included in row 2	-187 257		-12 023		-175 234
7	Differences due to consideration of provisions	3 793	3 793	0		
8	Differences due to prudential filters					
9	Differences due to derivative exposure add-ons	27 096		27 096		
10	Exposure amounts considered for regulatory purposes	3 331 303	3 206 483	69 235	1 148	54 437

Table 2.9 EU L13 – Outline of the differences in the scopes of consolidation (entity by entity)

The table outlines the scopes of consolidation for the companies included in the consolidated situation at year-end.

EU L13 – Outline of the differences in the scopes of consolidation (entity by entity) 2020	Method of regulatory consolidation					Description of the entity
	Method of accounting consolidation	Full consolidation	Proportional consolidation	Neither consolidated nor deducted	Deducted	
Name of the entity						
Handelsbanken Finans AB	Full consolidation	X				Credit institution
Stadshypotek AB	Full consolidation	X				Credit institution
Svenska Intecknings Garanti AB Sigab	Full consolidation	X				Non-financial corporation
Handelsbanken Fondbolagsförvaltning AB	Full consolidation	X				Financial corporations other than credit institutions
Handelsbanken Fonder AB	Full consolidation	X				Financial corporations other than credit institutions
Handelsinvest Investeringsförvaltning A/S	Full consolidation	X				Financial corporations other than credit institutions
Xact Kapitalförvaltning AB	Full consolidation	X				Financial corporations other than credit institutions
AB Handel och Industri	Full consolidation	X				Non-financial corporation
Ecster AB	Full consolidation	X				Credit institution
Handelsbanken Plc	Full consolidation	X				Credit institution
Handelsbanken Wealth and Asset Management Limited	Full consolidation	X				Financial corporations other than credit institutions
Heartwood Nominees Limited	Full consolidation	X				Non-financial corporation
Heartwood Second Nominees Limited	Full consolidation	X				Non-financial corporation
Heartwood ACD Limited (inactive)	Full consolidation	X				Non-financial corporation
Svenska Property Nominees Limited	Full consolidation	X				Non-financial corporation
Optimix Vermogensbeheer N.V.	Full consolidation	X				Financial corporations other than credit institutions
Add Value Fund Management B.V.	Full consolidation	X				Financial corporations other than credit institutions
Optimix Beheer en Belegging B.V.	Full consolidation	X				Non-financial corporation
Ejendomsselskabet af 1. maj 2009 A/S	Full consolidation	X				Non-financial corporation
Forva AS	Full consolidation	X				Non-financial corporation
Handelsbanken Markets Securities, Inc.	Full consolidation	X				Credit institution
Handelsbanken Rahoitus Oy	Full consolidation	X				Credit institution
Lokalbolig A/S	Full consolidation	X				Non-financial corporation
Handelsbanken Fastigheter AB	Full consolidation	X				Non-financial corporation
Rådstuplass 4 AS	Full consolidation	X				Non-financial corporation
Blå stugan i Stockholm AB	Full consolidation	X				Non-financial corporation
Bidtruster AB	Full consolidation	X				Non-financial corporation
Bankomat AB	Equity method		X			Non-financial corporation
BGC Holding AB	Equity method		X			Non-financial corporation
Bankgirocentralen BGC AB	Equity method		X			Non-financial corporation
Torig AB	Equity method		X			Non-financial corporation
Finansiell ID-teknik BID AB	Equity method		X			Non-financial corporation
USE Intressenter AB	Equity method		X			Non-financial corporation
Getswish AB	Equity method		X			Non-financial corporation
P 27 Nordic Payments Platform AB	Equity method		X			Non-financial corporation
Invidem AB	Equity method		X			Non-financial corporation

Table 2.10 Companies included in consolidated situation

Companies included in consolidated situation	Ownership ² share %	Corporate identity number	Domicile
Handelsbanken AB (publ)¹		502007-7862	Stockholm
SUBSIDIARIES			
Handelsbanken Finans AB¹	100	556053-0841	Stockholm
Stadshypotek AB¹	100	556459-6715	Stockholm
Svenska Intecknings Garanti AB Sigab (inactive)	100	556432-7285	Stockholm
Handelsbanken Fondbolagsförvaltning AB	100	556070-0683	Stockholm
Handelsbanken Fonder AB	100	556418-8851	Stockholm
Handelsinvest Investeringsförvaltning A/S	100	12930879	Copenhagen
Xact Kapitalförvaltning AB	100	556997-8140	Stockholm
AB Handel och Industri	100	556013-5336	Stockholm
Ecster AB	100	556993-2311	Stockholm
Handelsbanken plc ¹	100	11305395	London
Handelsbanken Wealth and Asset Management Limited	100	04132340	London
Heartwood Nominees Limited (inactive)	100	2299877	London
Heartwood Second Nominees Limited (inactive)	100	3193458	London
Heartwood ACD Limited (inactive)	100	4332528	London
Svenska Property Nominees Limited (inactive)	100	2308524	London
Optimix Vermogensbeheer N.V.	100	33194359	Amsterdam
Add Value Fund Management B.V.	80	19196768	Amsterdam
Optimix Beheer en Belegging B.V. (inactive)	100	33186584	Amsterdam
Other			
Ejendomsselskabet af 1. maj 2009 A/S ¹	100	59173812	Hillerød
Forva AS	100	945812141	Oslo
Handelsbanken Markets Securities, Inc ¹	100	11-3257438	New York
Handelsbanken Rahoitus Oy	100	0112308-8	Helsinki
Lokalbolig A/S	72	78488018	Hillerød
Rådstuplass 4 AS	100	910508423	Bergen
Blå stugan i Stockholm	100	556993-9357	Stockholm
Bidtruster AB	100	556993-9084	Stockholm
Subsidiary of Handelsbanken Liv Försäkrings AB			
Handelsbanken Fastigheter AB	100	556873-0021	Stockholm
ASSOCIATES			
Bankomat AB	20	556817-9716	Stockholm
BGC Holding AB	25.38	556607-0933	Stockholm
Bankgirocentralen BGC AB	100	556047-3521	Stockholm
Torig AB	100	556564-5404	Stockholm
Finansiell ID-teknik BID AB	28.3	556630-4928	Stockholm
USE Intressenter AB	24.48	559161-9464	Stockholm
Getswish AB	20	556913-7382	Stockholm
Joint Ventures			
P27 Nordic Payments Platform AB	16.7	559198-9610	Stockholm
Invidem AB	16.7	559210-0779	Stockholm
Companies not included in consolidated situation	Ownership ² share %	Corporate identity number	Domicile
Handelsbanken Liv Försäkring AB (group excl. Handelsbanken Fastigheter AB)	100	516401-8284	Stockholm
Svenska Re S.A.	100	RCS Lux B-32053	Luxembourg
Handelsbanken Skadeförsäkrings AB	100	516401-6767	Stockholm
SHB Liv Försäkringsaktiebolag	100	2478149-7	Helsinki
Svenska RKA International Insurance Services AB (inactive)	100	556324-2964	Stockholm
Dyson Group plc	27	00163096	Sheffield
Dyson Industries Ltd	100	1187031	Sheffield
Beepart Ltd	100	177682	Sheffield
Pickford Holland & Company Ltd	100	128414	Sheffield
Millennium Materials Inc	100	-	Knoxville
Dyson US holdings Inc	100	-	Wilmington
EFN Ekonomikanalen AB	100	556930-1608	Stockholm

¹Credit institution.²Ownership in subsidiaries and associates.

CAPITAL REQUIREMENT**Credit risk**

The capital requirements for credit risk are calculated by a risk-weighted exposure amount being calculated for all the exposures in the regulatory consolidation. The risk-weighted exposure amount is calculated for credit risk – partly using the IRB approach with and without own estimates of LGD and CCF, and partly using the standardised approach.

Market risk

The capital requirements for market risk are calculated for the Bank's consolidated situation. The capital requirements for interest rate risk and equity price risk are, however, only calculated for positions in the trading book. When calculating the capital requirements for market risk, the standardised approach is applied.

Operational risk

Handelsbanken uses the standardised approach to calculate the capital requirements for operational risk. According to the standardised approach, the capital requirements are calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

Table 2.11 shows the total Risk Exposure Amount and its various components.

SFSA total capital requirement

The total capital requirement consists of (i) the Pillar 1 capital requirements depicted in Table 2.11, (ii) Pillar 1 buffer requirements and (iii) additional Pillar 2 requirements and guidance. The Swedish Financial Supervisory Authority's (SFSA) has currently not decided upon a formal Pillar 2 guidance (P2G) but has communicated, as part of the transition rules associated with the banking package, that the internal capital assessment should include a P2G of 1 per cent until the Supervisory Review and Evaluation Process of 2021 has been finalised.

At the end of the fourth quarter, the Risk Exposure Amount of SEK 721 billion corresponds to a common equity tier 1 (CET1) Pillar 1 capital requirement of SEK 32.5 billion. The Bank's assessment of the SFSA CET1 capital requirement pursuant to Pillar 2 was SEK 12.3 billion, corresponding to 1.7 per cent of REA. The capital requirement is derived from requirements for credit risk, market risk, and other risks. The CET1 capital attributable to buffer requirements was in total, SEK 47.5 billion, corresponding to 6.6 per cent of REA. In addition to this a P2G of 1 per cent would correspond to a CET1 capital requirement of SEK 7.2 billion.

The Pillar 2 capital requirement consist of risk weight floor of 22 per cent applicable to Norwegian mortgage loans. The resulting CET1 requirement amounts to SEK 1.6 billion or 0.2 per cent of REA. Also within Pillar 2, the Bank is subject to capital requirements for credit related concentration risk and interest rate risk in the banking book based on the SFSA benchmark models. The CET1 capital charges were SEK 2.2 billion and SEK 4.4 billion respectively, corresponding to approximately 0.6 and 0.3 per cent of REA in each case. The capital requirement for pension risk, also based on a SFSA benchmark model, is currently zero. The Pillar 2 capital requirement for the risk weight floor on lending to property companies in Sweden amounts to SEK 3.2 billion, corresponding to 0.2 per cent of REA. Other Pillar 2 capital requirements were in total SEK 0.9 billion or 0.4 per cent of REA.

The Pillar 1 buffer requirements consist of the capital conservation buffer (2.5 per cent of REA), the countercyclical buffer requirement (0.1 per cent of REA), the systemic risk buffer (3 per cent of REA) and finally the buffer requirement attributable to the Bank's O-SII designation (1 per cent of REA). These requirements amounts to SEK 18 billion, SEK 0.6 billion, SEK 21.6 billion and SEK 7.2 billion respectively, and are to be met in full with CET1 capital.

In conclusion, the Bank's assessment of the SFSA's total requirement for common equity tier 1 capital, including Pillar 1 and 2 requirements, was SEK 92.3 billion, corresponding to a CET1 ratio of 12.8 per cent of REA. When including the P2G of 1 per cent the CET1 requirement would instead be SEK 99.5 billion or a ratio of 13.8 per cent of REA.

Table 2.11 EU OV1 – Overview of RWAs

The table shows risk exposure amounts (REA) for credit, counterparty, market and operational risk at the end of the previous and current period. Credit risk is calculated by the standardised approach, the Foundation IRB Approach and the Advanced IRB Approach. Market risk and operational risk are calculated by the standardised approach. REA for credit risk has decreased compared to the previous period. REA for counterparty risk has decreased compared to the previous period. REA for market risk has decreased compared to the previous period. REA for operational risk has increased compared to the previous period.

EU OV1 – Overview of RWAs			RWAs		Minimum capital requirements
SEK m			2020	2019	2020
	1	Credit risk (excluding CCR)	587 301	626 682	46 985
Article 438(c)(d)	2	Of which the standardised approach	83 735	86 573	6 699
Article 438(c)(d)	3	Of which the foundation IRB (FIRB) approach	45 315	53 846	3 626
Article 438(c)(d)	4	Of which the advanced IRB (AIRB) approach	455 296	475 964	36 424
Article 438(d)	5	Of which equity IRB under the simple risk-weighted approach or the IMA	2 955	10 299	236
Article 107, Article 438(c)(d)	6	CCR	8 843	11 371	707
Article 438(c)(d)	7	Of which mark to market	8 838	11 359	707
Article 438(c)(d)	8	Of which original exposure			
	9	Of which the standardised approach			
	10	Of which internal model method (IMM)			
Article 438(c)(d)	11	Of which risk exposure amount for contributions of the default fund of a CCP	5	12	0
Article 438(c)(d)	12	CVA	2 707	4 114	216
Article 438 e	13	Settlement risk	0	9	0
Article 449(c)(i)	14	Securitisation exposures in the non-trading book (after the cap)	49	-	4
	15	Of which IRB Approach	49	-	4
	16	Of which IRB supervisory formula approach (SFA)			
	17	Of which internal assessment approach (IAA)			
	18	Of which standardised approach			
Article 438 e	19	Market risk	7 513	8 263	601
	20	Of which the standardised approach	7 513	8 263	601
	21	Of which IMA			
Article 438 e	22	Large exposures			
Article 438(f)	23	Operational risk	68 616	66 023	5 489
	24	Of which basic indicator approach			
	25	Of which standardised approach	68 616	66 023	5 489
	26	Of which advanced measurement approach			
Article 437(2), Article 48 and Article 60	27	Amounts below the thresholds for deduction (subject to 250% risk weight)			
Article 500	28	Floor adjustment			
	29	Additional risk-weighted exposure amounts ¹	46 374		3 710
	30	Total	721 403	716 462	57 712

¹ From the first quarter of 2021 the Bank's credit risk exposures in the UK will be reported according to the standardised approach at group level. Today these exposures are mainly reported according to the IRB approach. The Bank has calculated the additional risk exposure amounts that will arise in the reporting at group level as a result of this change. In the reporting as of 31 December 2020 this amount has been reported as an additional risk exposure amount in accordance with CRR Article 3.

CAPITAL ADEQUACY FOR THE FINANCIAL CONGLOMERATE

Institutions and insurance companies which are part of the financial conglomerate must have own funds which are adequate in relation to the capital requirements for the financial conglomerate. Own funds for the financial conglomerate have been calculated pursuant to the deduction and aggregation method (method 2, Annex I, Directive 2002/87/EC). The financial conglomerate's total own funds exceed the financial conglomerate's capital requirement.

Table 2.12 Capital adequacy financial conglomerate

The table shows the relation between capital and capital requirement for the financial conglomerate. The surplus has increased compared to the previous year.

Capital adequacy financial conglomerate			
SEK m		2020	2019
Own funds after reduction and adjustments		188 214	174 186
Capital requirement		143 133	153 484
Surplus		45 081	20 702

LEVERAGE RATIO

Handelsbanken's leverage ratio for 2020 was 5.19 per cent (4.85). The leverage ratio has increased compared to the previous period. The increase was attributable to an increase in the Bank's tier 1 capital.

Table 2.13 LRCom: Leverage ratio common disclosure

The table shows the leverage ratio for the current and previous period. The exposures are specified for the categories on-balance, derivatives, securities finance and off-balance. The leverage ratio is calculated as tier 1 capital divided by the total exposures. The leverage ratio has increased compared to the previous year.

LRCom: Leverage ratio common disclosure		2020	2019
SEK m			
On-balance-sheet exposures (excluding derivatives and SFTs)			
1	On-balance-sheet items (excluding derivatives, SFTs and fiduciary assets, but including collateral)	2 901 031	2 843 612
2	(Asset amounts deducted in determining Tier 1 capital)	-17 819	-17 849
3	Total on-balance sheet exposures (excluding derivatives, SFTs and fiduciary assets) (sum of lines 1 and 2)	2 883 212	2 825 763
Derivative exposures			
4	Replacement cost associated with all derivatives transactions (ie net of eligible cash variation margin)	8 755	6 667
5	Add-on amounts for PFE associated with all derivatives transactions (mark-to-market method)	19 876	27 096
EU-5a	Exposure determined under Original Exposure Method	-	-
6	Gross-up for derivatives collateral provided where deducted from the balance sheet assets pursuant to the applicable accounting framework	-	-
7	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	-19 875	-8 466
8	(Exempted CCP leg of client-cleared trade exposures)		
9	Adjusted effective notional amount of written credit derivatives	4 304	5 621
10	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	-35	-116
11	Total derivatives exposures (sum of lines 4 to 10)	13 024	30 802
SFT exposures			
12	Gross SFT assets (with no recognition of netting), after adjusting for sales accounting transactions	14 216	16 010
13	(Netted amounts of cash payables and cash receivables of gross SFT assets)	-	-
14	Counterparty credit risk exposure for SFT assets	3 750	3 342
EU-14a	Derogation for SFTs: Counterparty credit risk exposure in accordance with Article 429b(4) and 222 of Regulation (EU) No 575/2013	-	-
15	Agent transaction exposures	-	-
EU-15a	(Exempted CCP leg of client-cleared SFT exposure)	-	-
16	Total securities financing transaction exposures (sum of lines 12 to 15a)	17 966	19 352
Other off-balance-sheet exposures			
17	Off-balance-sheet exposures at gross notional amount	534 285	522 450
18	(Adjustments for conversion to credit equivalent amounts)	-397 111	-338 171
19	Other off-balance-sheet exposures (sum of lines 17 and 18)	137 174	184 279
Exempted exposures in accordance with Article 429(7) and (14) of Regulation (EU) No 575/2013 (on and off balance sheet)			
EU-19a	(Intragroup exposures (solo basis) exempted in accordance with Article 429 (7) of Regulation (EU) No 575/2013 (on and off balance sheet))	-	-
EU-19b	(Exposures exempted in accordance with Article 429 (14) of Regulation (EU) No 575/2013 (on and off balance sheet))	-	-
Capital and total exposure measure			
20	Tier 1 capital	158 332	148 550
21	Leverage ratio total exposure measure (sum of lines 3, 11, 16, 19, EU-19a and EU-19b)	3 051 376	3 060 195
Leverage ratio			
22	Leverage ratio	5.19%	4.85%
Choice on transitional arrangements and amount of derecognised fiduciary items			
EU-23	Choice on transitional arrangements for the definition of the capital measure	Transitional	Transitional
EU-24	Amount of derecognised fiduciary items in accordance with Article 429 (13) of Regulation (EU) No 575/2013	0	0

Table 2.14 LRSum: Summary reconciliation of accounting assets and leverage ratio exposures

The table shows the summary reconciliation of accounting assets and leverage ratio exposures. The leverage ratio total exposure measure has decreased compared to the previous period.

LRSum: Summary reconciliation of accounting assets and leverage ratio exposures		2020	2019
SEK m			
1	Total assets as per published financial statements	3 135 288	3 069 667
2	Adjustment for entities which are consolidated for accounting purposes but are outside the scope of regulatory consolidation	-189 427	-168 500
3	(Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio exposure measure in accordance with Article 429(13) of Regulation (EU) No 575/2013)	-	0
4	Adjustments for derivative financial instruments	-17 590	-10 743
5	Adjustments for securities financing transactions (SFTs)	3 750	3 342
6	Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)	137 174	184 279
EU-6a	(Adjustment for intragroup exposures excluded from the leverage ratio total exposure measure in accordance with Article 429(7) of Regulation (EU) No 575/2013)	-	0
EU-6b	(Adjustment for exposures excluded from the leverage ratio total exposure measure in accordance with Article 429(14) of Regulation (EU) No 575/2013)	-	-
7	Other adjustments	-17 819	-17 850
8	Leverage ratio total exposure measure	3 051 376	3 060 195

Table 2.15 LRSpI: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures)

The table specifies on-balance-sheet exposures excluding derivatives, SFTs, and exposures exempt from the leverage ratio calculation. The total exposure has increased compared to the previous period.

LRSpI: Split-up of on-balance sheet exposures (excluding derivatives, SFTs and exempted exposures)		2020	2019
SEK m			
EU-1	Total on-balance sheet exposures (excluding derivatives, SFTs, and exempted exposures), of which:	2 877 552	2 833 306
EU-2	Trading book exposures	155 116	160 009
EU-3	Non-trading book exposures, of which:	2 722 436	2 673 297
EU-4	Covered bonds	7 038	4 952
EU-5	Exposures treated as sovereigns	475 107	411 782
EU-6	Exposures to regional governments, MDB, international organisations and PSE not treated as sovereigns	0	0
EU-7	Institutions	7 227	7 346
EU-8	Secured by mortgages of immovable properties	2 004 442	1 984 322
EU-9	Retail exposures	47 450	52 512
EU-10	Corporate	155 006	186 732
EU-11	Exposures in default	4 366	4 703
EU-12	Other exposures (e.g. equity, securitisations, and other non-credit obligation assets)	21 802	20 948

Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit culture that cover the whole Group and are sustainable over time. The Bank's decentralised organisation with a local presence provides high quality in credit decisions and ensures that credit risk is managed close to the customer.

Credit risk is defined as the risk of the Bank facing economic loss because the Bank's counterparties cannot fulfil their contractual obligations.

Introduction

Non-performing and forborne exposures.

In July 2017, the European Council agreed on an action plan to tackle non-performing loans (NPLs). The Council's conclusion was that a comprehensive approach consisting of a mix of policy actions was needed, in order to prevent the emergence and accumulation of new non performing exposures (NPEs) on banks' balance sheets.

In April 2019, Regulation (EU) 2019/630 amending Regulation (EU) No 575/2013 as regards minimum loss coverage for non-performing exposures, entered into force. The regulation introduces a developed asset quality review and an updated stress testing environment.

According to Commission Implementing Regulation (EU) No 680/2014 on supervisory reporting, it is appropriate that the classification of NPEs build on the existing framework and refers to defaulted exposures as defined for the purpose of calculating own funds requirements for credit risk and impaired exposures pursuant to the applicable accounting framework (IFRS 9).

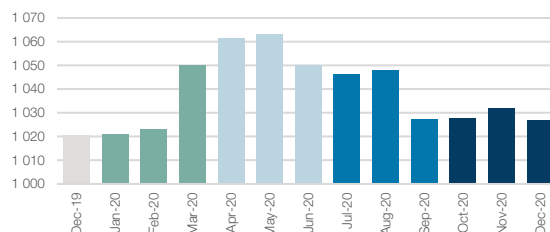
The longer an exposure has been non-performing, the lower the probability that its value will be recovered. Therefore, the portion of the exposure that should be covered by provisions, other adjustments or deductions should increase with time, following a pre-defined calendar. Secured NPEs are generally expected to result in a less significant loss than unsecured NPEs, as the credit protection securing the NPE gives the institution a specific claim on an asset or against a third party in addition to the institution's general claim against the defaulted borrower. In the case of an unsecured NPE, only the general claim against the defaulted borrower would be available. Given the higher loss expected on unsecured NPEs, a stricter calendar should be applied.

In EBA guidelines on disclosure of non-performing and forborne exposures (EBA/GL/2018/10) the EBA specifies the content and uniform disclosure formats for credit institutions for disclosures related to non-performing exposures (NPEs), forborne exposures (FBEs) and foreclosed assets. Tables T3, T4, T8 and T9 have been added to meet the requirements stipulated in said guidelines. As Handelsbanken's gross NPL ratio is less than 5 per cent the Bank discloses only the minimum numbers of templates.

The Covid-19 crisis

As has been the case all over the world, for the Bank, 2020 has been characterised by the global Covid-19 pandemic. As regards corporate lending, the Bank saw increased demand in corporate financing in the first quarter of 2020. As shown in the table below, this effect was temporary and, as of September 2020, the volumes were at the same level as before the start of the pandemic.

Figure 3.0 Corporate lending (SEK bn)



In response to the Covid-19 crisis and in accordance with the EBA Guidelines on legislative and non-legislative moratoria on loan payments applied in the light of the Covid-19 crisis (EBA/GL/2020/02), private customers have been able to apply for a temporary exemption from mortgage repayments. 39 071 of the Banks private customers have applied for and been granted temporary exemptions.

As part of an overall package of measures with the aim to mitigate the economic impact of the Covid-19 pandemic, state credit guarantees, particularly to benefit small and medium-sized companies that had been financially impacted by the Covid-19 pandemic but that were otherwise viable, were issued in Sweden and in other countries. In Sweden the National Debt Office issued the guarantees to credit institutions that, in turn, issued loans to the companies.

EBA guidelines on reporting and disclosure of exposures subject to measures applied in response to the Covid-19 crisis (EBA/GL/2020/07) have been developed. These address data gaps associated with measures taken to manage the Covid-19 crisis and cover disclosure requirements on exposures subject to the moratoria on payments and disclosure requirements on newly originated exposures, which are subject to public guarantee schemes applied in response to the Covid-19 crisis. Tables T27, T28 and T29 have been added to meet the requirements in EBA/GL/2020/07.

In the Capital Requirements Regulation (CRR), credit risk adjustments are loss provisions that are divided into two categories: specific and general. The term 'Credit risk adjustments' in CRR corresponds to 'provisions' in accounting rules. Expected credit losses (ECL) determined in accordance with IFRS 9 correspond to Specific Credit Risk Adjustments in CRR. The impairment rules presented in IFRS 9 apply to financial assets at amortised cost, financial assets at fair value through other comprehensive income, as well as financial guarantees and other irrevocable commitments, and are based on a model for the recognition of expected credit losses (ECL). The assets to be tested for impairment are divided into three stages, depending on the degree of credit impairment.

In order to cover the effects of the Covid-19 crisis on certain specific sectors, where the assessment has been made that the effects are not fully captured in the models for calculating expected credit losses in stage 1 and stage 2, a "Covid add-on" has been introduced. The add-on to the ECL (expected credit losses) consists of the difference between the effects from a stressed scenario and the model based calculations for actual sub-portfolios. The add-on complements the results from the model calculations. For a definition of credit-impaired assets, see the section titled Default/Credit-impaired assets in note G1 of the Annual Report. For further information on expected credit losses please see note G2 of the Annual Report, Calculation of expected credit losses.

Table 3.1 EU CR1-A – Credit quality of exposures by exposure class and instrument

The following table specifies gross exposures by exposure class and by instrument. It further specifies credit risk adjustments, write-offs and net values. It comprises figures obtained using both the standardised and the IRB Approach. Total net values have increased compared to the previous period. (For on-balance-sheet items, the net value is the gross carrying value of exposure less allowances/impairments. For off-balance-sheet items, the net value is the gross carrying value of exposure less provisions.) Please note that Accumulated write-offs have increased compared to previous publications. This is due to the fact that Handelsbanken from Q3 2020 also recognize historical write-offs where the entire loan has been written off but where Handelsbanken still have a claim towards the original obligor.

EU CR1-A – Credit quality of exposures by exposure class and instrument 2020		Gross carrying values of						
		Defaulted exposures	Non-defaulted exposures	Specific credit risk adjustment	General credit risk adjustment	Accumulated write-offs	Credit risk adjustment charges of the period	Net values
SEK m								
1	Central governments or central banks	0	452 367	1		-	-	452 366
2	Institutions	0	21 841	6		-	-	21 835
3	Corporates	4 420	1 406 513	2 244		1 568	724	1 408 689
4	Of which: Specialised lending							
5	Of which: SMEs	2 398	751 231	1 459		1 568	440	752 170
6	Retail	1 985	1 156 603	1 239		2 327	479	1 157 349
7	Secured by real estate property	1 194	1 101 317	432		253	159	1 102 079
8	SMEs	114	11 001	103		0	33	11 012
9	Non-SMEs	1 080	1 090 316	329		253	127	1 091 067
10	Qualifying revolving							
11	Other retail	791	55 286	807		2 074	319	55 270
12	SMEs	275	12 384	281		1 315	111	12 378
13	Non-SMEs	516	42 902	526		708	208	42 892
14	Equity	0	799	0		0	0	799
15	Total IRB Approach	6 405	3 038 123	3 490		3 895	1 203	3 041 038
16	Central governments or central banks	0	1 439	0		-	-	1 439
17	Regional governments or local authorities	0	0	0		-	-	0
18	Public sector entities							
19	Multilateral development banks	0	923	0		-	-	923
20	International organisations							
21	Institutions	0	3 988	4		-	-	3 984
22	Corporates	77	10 779	22		0	11	10 834
23	Of which: SMEs	34	2 750	8		0	4	2 776
24	Retail	754	27 407	272		51	67	27 889
25	Of which: SMEs	22	2 074	12		0	3	2 084
26	Secured by mortgages on immovable property	210	149 272	44		0	9	149 438
27	Of which: SMEs	8	33 883	14		0	2	33 877
28	Exposures in default¹	1 041		342		51	87	699
29	Items associated with particularly high risk	-	28	-		-	-	28
30	Covered bonds							
31	Claims on institutions and corporates with a short-term credit assessment							
32	Collective investments undertakings							
33	Equity exposures	-	6 541	-		-	-	6 541
34	Other exposures	-	8 158	1		-	-	8 157
35	Total standardised approach	1 041	208 535	343		51	87	209 233
36	Total	7 446	3 246 658	3 833		3 946	1 290	3 250 271
37	Of which: Loans	7 013	2 703 678	3 830		3 946	1 290	2 706 861
38	Of which: Debt securities	-	9 127	2		-	-	9 125
39	Of which: Off-balance-sheet exposures	433	533 852	-		-	-	534 285

¹ In compliance with EBA Q&A 2017:3481, row 28 shows the gross carrying value for the exposure class Exposures in default under CRR 112 j. This row is not included in the total (row 35). The defaulted exposures are recognised in their original exposure class, that is, the exposure class before default, on rows 22–27.

EU CR1-A – Credit quality of exposures by exposure class and instrument 2019		Gross carrying values of						
		Defaulted exposures	Non-defaulted exposures	Specific credit risk adjustment	General credit risk adjustment	Accumulated write-offs	Credit risk adjustment charges of the period	Net values
SEK m								
1	Central governments or central banks	-	382 485	1		-	-	382 484
2	Institutions	-	23 792	5		-	-	23 787
3	Corporates	6 339	1 449 969	3 384		1 807	1 092	1 452 924
4	Of which: Specialised lending							
5	Of which: SMEs	2 590	770 541	1 330		1 595	337	771 801
6	Retail	2 503	1 122 658	1 307		993	384	1 123 854
7	Secured by real estate property	1 449	1 057 029	444		284	127	1 058 034
8	SMEs	182	11 911	93		35	30	12 000
9	Non-SMEs	1 267	1 045 118	351		248	96	1 046 034
10	Qualifying revolving							
11	Other retail	1 054	65 630	863		744	257	65 821
12	SMEs	297	13 289	239		673	83	13 347
13	Non-SMEs	757	52 342	624		71	174	52 475
14	Equity	-	3 028	-		-	-	3 028
15	Total IRRB Approach	8 842	2 981 932	4 697		2 800	1 476	2 986 077
16	Central governments or central banks	-	36	-		-	-	36
17	Regional governments or local authorities	-	-	-		-	-	-
18	Public sector entities							
19	Multilateral development banks	-	-	-		-	-	-
20	International organisations							
21	Institutions	-	4 290	10		-	-	4 280
22	Corporates	51	14 359	18		0	6	14 392
23	Of which: SMEs	20	3 121	5		0	1	3 136
24	Retail	551	24 828	58		35	19	25 321
25	Of which: SMEs	22	2 443	10		0	3	2 455
26	Secured by mortgages on immovable property	100	147 356	31		0	6	147 425
27	Of which: SMEs	8	29 421	11		0	1	29 418
28	Exposures in default¹	701		117		35	31	584
29	Items associated with particularly high risk	-	26	-		-	-	26
30	Covered bonds							
31	Claims on institutions and corporates with a short-term credit assessment							
32	Collective investments undertakings	-	151	-		-	-	151
33	Equity exposures	-	6 254	-		-	-	6 254
34	Other exposures	-	4 958	1		-	-	4 957
35	Total standardised approach	702	202 258	118		35	31	202 842
36	Total	9 544	3 184 190	4 815		2 835	1 507	3 188 919
37	Of which: Loans	8 831	2 656 085	4 813		2 835	1 507	2 660 103
38	Of which: Debt securities	-	6 368	2		-	-	6 366
39	Of which: Off-balance-sheet exposures	713	521 737	-		-	-	522 450

¹ In compliance with EBA Q&A 2017:3481, row 28 shows the gross carrying value for the exposure class Exposures in default under CRR 112 j. This row is not included in the total (row 35). The defaulted exposures are recognised in their original exposure class, that is, the exposure class before default, on rows 22–27.

Table 3.2 EU CR2-A – Changes in the stock of general and specific credit risk adjustments

The following table shows the changes for the amount of general and specific credit risk adjustments. The closing balance has decreased compared to the previous period.

EU CR2-A – Changes in the stock of general and specific credit risk adjustments 2020		Accumulated specific credit risk adjustment	Accumulated general credit risk adjustment
SEK m			
1	Opening balance	-4 815	
2	Increases due to amounts set aside for estimated loan losses during the period	-235	
3	Decreases due to amounts reversed for estimated loan losses during the period	369	
4	Decreases due to amounts taken against accumulated credit risk adjustments	1 757	
5	Transfers between credit risk adjustments	-539	
6	Impact of exchange rate differences	121	
7	Business combinations, including acquisitions and disposals of subsidiaries		
8	Other adjustments	-491	
9	Closing balance	-3 833	
10	Recoveries on credit risk adjustments recorded directly to the statement of profit or loss	148	
11	Specific credit risk adjustments directly recorded to the statement of profit or loss	-77	

EU CR2-A – Changes in the stock of general and specific credit risk adjustments 2019		Accumulated specific credit risk adjustment	Accumulated general credit risk adjustment
SEK m			
1	Opening balance	-3 955	
2	Increases due to amounts set aside for estimated loan losses during the period	-101	
3	Decreases due to amounts reversed for estimated loan losses during the period	255	
4	Decreases due to amounts taken against accumulated credit risk adjustments	421	
5	Transfers between credit risk adjustments	-978	
6	Impact of exchange rate differences	-69	
7	Business combinations, including acquisitions and disposals of subsidiaries		
8	Other adjustments	-388	
9	Closing balance	-4 815	
10	Recoveries on credit risk adjustments recorded directly to the statement of profit or loss	252	
11	Specific credit risk adjustments directly recorded to the statement of profit or loss	-80	

CALCULATION OF CAPITAL REQUIREMENTS FOR CREDIT RISK

Since 2007, the Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB approach. The permission applies to the consolidated situation, which the parent company Svenska Handelsbanken AB (publ) leads, and to the companies Svenska Handelsbanken AB (publ), Stadshypotek AB (publ), Handelsbanken Finans AB, Ecster AB, Handelsbanken Rahoitus Oy and Handelsbanken Plc.

During 2020, Handelsbanken plc used the standardised approach to calculate the capital requirement for credit risk on a solo level, whereas Svenska Handelsbanken AB had permission to use the IRB approach at the consolidated level for corporate exposures in Handelsbanken plc. From 1 January 2021 the capital requirement for credit risk for all exposures in Handelsbanken plc has to be calculated in accordance with the standardised approach at both solo and consolidated level.

The Swedish Financial Supervisory Authority has also granted exceptions for Handelsbanken to apply the standardised approach instead of the IRB approach for certain exposures. These exceptions cover 'insignificant size' portfolios.

In 2020, reporting according to the IRB approach comprised the portfolios in Handelsbanken Sweden, Handelsbanken plc, Handelsbanken Norway, Handelsbanken Denmark, Handelsbanken Finland, Handelsbanken Finans in Sweden and Finland, Ecster AB, Handelsbanken Rahoitus Oy, parts of the regional bank in the Netherlands, the Bank's exposures to other banks (exposures to institutions), and large parts of the Handelsbanken Capital Markets business area.

Handelsbanken has the permission of the Swedish Financial Supervisory Authority to report portfolios according to the IRB approach with own estimates of LGD and CCF. The relevant permits cover counterparties which are categorised as retail, medium-sized companies, property companies, and housing co-operative associations, as well as exposures to large corporates in the home markets (excluding the Netherlands). The exposures approved for reporting according to the IRB approach, but not yet with own estimates of LGD and CCF, will be reported for the time being according to the IRB approach without own estimates of LGD and CCF.

At the end of 2020, the Bank calculated the capital requirement using the IRB approach for about 86 per cent (86) of the total risk exposure amount. The Bank's exposures in UK will be subject to the standardised method from the first quarter of 2021 at the consolidated level. The Bank has calculated the additional risk-weighted exposure amount resulting from this change. In the reporting per 31 December 2020, this amount has been set aside as additional risk-weighted exposure amounts in accordance with Article 3 of CRR. The amount is specified in Table 2.11 EU OV1 - Overview of RWAs.

Risk rating system

Handelsbanken's risk rating system comprises a number of different systems, methods, processes and procedures to support the Bank's classification and quantification of credit risk.

Handelsbanken's internal rating system is used to measure the credit risk in all operations reliably and consistently. The risk rating builds on the Bank's internal rating, which is based on an assessment of each counterparty's repayment capacity. The rating is determined by the risk of financial strain and by the assessed resistance to this strain.

The internal rating is the most important component when it comes to the risk assessment of customers and it provides the basis for analysing credit risk and regulatory IRB compliance. The rating is dynamic; it is reassessed if there are signs that the counterparty's repayment capacity has changed. The rating is also reviewed periodically as stipulated in the regulations. The rating is made by the person responsible for granting the credit and is subsequently checked by independent bodies.

Exposure classes

One of the basic premises of the capital adequacy regulations is that the institution's exposures are categorised into the exposure classes stipulated by the regulations. The number of exposure classes depends on the method used to calculate the credit risk. Exposures to be calculated according to the standardised approach can be allocated to 17 different exposure classes, while there are seven exposure classes in the IRB approach.

The Bank uses different models for calculating credit risk, depending on the type of exposure. The overall division into exposure classes in the IRB approach comprises sovereign, institutional, corporate, retail and equity exposures, as well as securitised exposures. In addition there are also non-credit-obligation assets, assets which do not require any performance by the counterparty, such as property and equipment.

Some exposure classes contain sub-groups where special models are applied. In practical terms, the division into exposure classes and sub-groups is made when the officer at a branch or unit responsible for the customer decides, in accordance with internal instructions, which business evaluation template is to be used when assigning the counterparty a rating.

Exposures to central governments, central banks, regional governments and local authorities are classed as sovereign exposures. Exposures to institutions refers to exposures to counterparties defined as banks and other credit institutions and certain investment firms.

Retail exposures include exposures both to private individuals and to small and medium-sized enterprises (SMEs), where the total exposure within the Group does not exceed SEK 5 million (excluding mortgage) loans. Retail exposures are divided into two sub-groups: mortgage loans and other retail exposures.

Corporate exposures refer to exposures to non-financial companies, consisting of legal entities with a total exposure within the Group in excess of SEK 5 million or where the company's turnover is more than SEK 50 million, and SMEs with a total exposure within the Group in excess of SEK 5 million. Apart from ordinary non-financial companies, this exposure class includes insurance companies, housing co-operative associations and exposure in the form of 'specialised lending'.

Equity exposures refer to the Bank's holdings of shares that are not in the trading book. Equity exposures are calculated using the standardised and the IRB approach.

For division into exposure classes according to the standardised approach, the Bank's volumes refer to one of the following exposure classes: multilateral development banks, international organisations, institutions, corporates, retail, exposures with collateral in property, exposures in default/non-performing items, other items and shares. Non-performing items in the standardised approach are exposures where overdue interest or principal amounts have remained unpaid for

more than 90 days, calculated from the original contracted payment date. The exposure class called Other items includes prepaid expenses, cash in hand and unminted gold. Previously, exposures to central governments, central banks, regional governments and local authorities were subject to the standardised approach but as of May 2017, these have been subject to the IRB approach.

Risk classification methods

To quantify its credit risks, the Bank calculates the probability of default, PD, the exposure the Bank is expected to have if a default occurs, EAD, and the proportion of the loan that the Bank would be expected to lose in the case of default, LGD. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

The PD value is expressed as a percentage where, for example, a PD value of 0.5 per cent means that one borrower of 200 with the same PD value would be expected to default within one year. A credit in default does not necessarily mean that the Bank will incur a loss, since in most cases there is collateral for the exposure. Nor does a default mean that it is out of the question that the counterparty will pay at some time in the future, since the payment problems may be temporary.

For exposures to corporates and to institutions, as well as for exposures to central governments, central banks, regional governments and local authorities (sovereign exposures), the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types and sovereign exposures into two counterparty types, based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type. For exposures that are subject to a capital requirement according to the IRB approach without own estimates of LGD and CCF, prescribed values are applied for those parameters. The prescribed value that may be used is determined by the collateral provided for each exposure.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups on the basis of certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and on the basis of this, the groups are sorted into one of the 10 risk classes. Different models are used for exposures to private individuals and to small companies (that are also classified as retail exposures), but the principle is the same.

For retail exposures and exposures to medium-sized companies, property companies and housing co-operative associations, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB approach with own estimates of LGD and CCF, the LGD is determined on the basis of internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the type of product and similar factors.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements. The PD is based on calculations of the historical percentage of defaults for different types of exposures. The average default rate is then adjusted using different margins, such as margins of conservatism.

In 2017, Handelsbanken was granted approval to use new PD models for corporates. These are based on the historical default frequency, by risk class and by portfolio. The estimates for each portfolio are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account, as required by the Swedish Financial Supervisory Authority. Significant margins of conservatism are added to these estimates, and the PD for these portfolios is normally not expected to vary year on year. The estimates by risk class are based on the Bank's internal default data and a model that determines the relationship of PD between different risk classes. The margins are then added so that each portfolio's aggregate PD coincides with the estimate of portfolio PD. This means that the PD for each risk class may vary over time although the portfolio PD does not, as the distribution of counterparties among the risk classes varies over time.

When establishing LGD, the risk measure shall reflect the loss rates in economically unfavourable circumstances, known as 'downturn LGD'. For collateral in property, the downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1996 can be explained by the risk measures with a good margin. For exposures with property collateral, in many cases LGD is estimated on the basis of the property's loan-to-value-ratio (LTV). Since the value of the property, and consequently also the LTV, usually varies with the business cycle, this means that the capital requirement will also to some extent have a cyclical dependency.

When the exposure amount is to be calculated, certain adjustments are made to the carried exposure. Examples of this are committed loan offers or revolving credits, where the Bank agrees with the customer that the customer may borrow up to a certain amount in the future. This type of commitment constitutes a credit risk that must also be covered by adequate capital. Normally this means that the credit granted is adjusted using a certain CCF for the part of the credit that is unutilised at the time of reporting. For certain product categories for corporate exposures and exposures to institutions, the credit conversion factors are determined by the regulatory code, while for retail exposures and certain product categories for large corporates, medium-sized companies, property companies and housing co-operative associations, the Bank uses its own calculated conversion factors. Here, it is the product referred to that mainly governs the CCF, but the utilisation level may also be relevant.

In addition to the Capital Adequacy Calculation, measures of risk (PD, EAD, LGD) are used to calculate the cost of capital in each individual transaction and to calculate economic capital (EC). This means that conservatism adjustments in the risk measurements are also included in the cost of capital in individual transactions and in calculations of EC, which means that the loss levels implied by the risk measurements are conservative. The method used means that the Bank's historical losses have a direct impact on risk calculations and capital requirements.

Table 3.3 Calculation of credit risks broken down by method and business area, 2020

Approach	Handelsbanken in the Nordic countries ¹	Handelsbanken in the UK ^{1,2}	Handelsbanken in the Netherlands ¹	Outside Handelsbanken's home markets ¹
Standardised approach	'Insignificant size portfolio' according to SFSA approval Exposure to international organisations, public sector entities and multilateral development banks	'Insignificant size portfolio' according to SFSA approval Exposure to international organisations, public sector entities and multilateral development banks Retail exposures	'Insignificant size portfolio' according to SFSA approval Exposure to international organisations, public sector entities and multilateral development banks Retail exposures Corporate exposures (except Large corporates)	'Insignificant size portfolio' according to SFSA approval Exposure to international organisations, public sector entities and multilateral development banks Retail exposures Corporate exposures (except Large corporates)
IRB Approach without own estimates of LGD and CCF	Corporate exposures Institution exposures Non credit-obligation assets Equity exposures Sovereign exposures (central governments, central banks, regional governments and local authorities)	Corporate exposures Institution exposures Non credit-obligation assets Equity exposures Sovereign exposures (central governments, central banks, regional governments and local authorities)	Corporate exposures (Large corporates) Institution exposures Non credit-obligation assets Equity exposures Sovereign exposures (central governments, central banks, regional governments and local authorities)	Corporate exposures (Large corporates) Institution exposures Non credit-obligation assets Equity exposures Sovereign exposures (central governments, central banks, regional governments and local authorities) Securitisation positions
IRB Approach with own estimates of LGD and CCF	Corporate exposures (Medium-sized companies, Property companies, Housing co-operative associations) Corporate exposures (Large corporates) Retail exposures	Corporate exposures (Medium-sized companies, Property companies, Housing co-operative associations) Corporate exposures (Large corporates)		

¹May include legal entities in addition to the parent company (Stadshypotek, Handelsbanken Finans and others).

²From the first quarter of 2021 the Bank's credit risk exposures in the UK will be reported according to the standardised approach at group level. Today these exposures are mainly reported according to the IRB approach. The Bank has calculated the additional risk exposure amounts that will arise in the reporting at group level as a result of this change. In the reporting as of 31 December 2020 this amount has been reported as an additional risk exposure amount in accordance with CRR Article 3. The amount is specified in: Table 2.11 EU OV1 – Overview of RWAs.

Comparisons with external ratings

The Bank's risk classes are not directly comparable with the ratings applied by external credit rating agencies. The agencies' ratings do not correspond to a direct classification of the probability of the counterparty defaulting, as the Bank's rating model does. In addition, the rating agencies vary in the extent to which they factor in the seriousness of the losses that default can lead to. The time horizon for which creditworthiness is assessed is not always the same for the Bank as it is for the credit rating agencies. The Bank's risk classes do not state a uniform scale, whereby a certain risk class always corresponds to a certain probability of default. Furthermore, different PD scales are applied to different parts of the credit portfolio and the PD value changes over time.

Generally, it is not possible to unambiguously and consistently translate the internal risk classes into an external rating. However, by analysing the historical default rate in Handelsbanken's risk classes in relation to the default rate in the external rating classes according to Moody's rating agency, a fair table of comparison can be obtained. Table 3.4 shows the external rating classes that best correspond to the historical default rate in each of Handelsbanken's risk classes. However, it should be noted that the Bank performs its own credit assessment and that the comparison here is a model which only applies at portfolio level. Individual companies that also have a rating from Moody's may have been given a risk class that deviates from the comparison table. For exposures to institutions, there are insufficient internal defaults, and the rating comparison is instead based on customers with an external credit assessment. Since the comparison is model-based, it should also be noted that changes in the table may depend on changes at Handelsbanken and on changes at Moody's, or a combination of the two.

Quality assurance of the rating system

The Bank performs a detailed annual review of its rating systems. The review checks that internal ratings for corporate customers are assigned in a consistent, correct and fit-for-purpose manner (evaluation). The Bank also reviews whether automatic rating models for retail customers and other IRB models measure risk in a satisfactory manner (validation).

The purpose of evaluating internal ratings is to ensure that they function well as the central factor in the risk differentiation of the Bank's counterparties. For example, the analysis includes evaluating whether customers are assessed equally regardless of where in the Bank the rating takes place, the use of overrides and whether ratings are reviewed regularly. The evaluation aims to identify areas needing improvement, suggests risk-mitigating actions and reports the status on measures to improve previously identified deficiencies. Such measures may include more frequent, specifically targeted follow-up action, changes to rating instructions or adaptations to models.

The models, as well as the risk measurements they produce are validated at least annually. The validation aims to ensure that the rating systems satisfactorily measure the risk in the different risk dimensions: PD, EAD, and LGD. They are primarily assessed to ascertain whether the outcomes observed confirm that the models applied by the Bank function as intended and do not underestimate the capital requirement. To achieve this, a number of statistical tests are used with pre-defined threshold values for identifying deficiencies in the models. The validation also covers comparative tests of a more qualitative nature. The validation may result in changes to the risk estimates or models.

The principles for evaluation and validation of the credit risk rating system are set by Group Risk Control and communicated to the Swedish Financial Supervisory Authority within the framework of the permission to use the IRB approach. Group Risk Control is responsible for the execution and reports the results of the evaluation and validation to the Bank's CEO, CFO, Board and risk committee. Reports and execution are examined by Group Audit as part of the audit of the Bank's IRB approach to ensure compliance with the established principles and regulatory requirements.

Forecasts and outcomes in IRB approach

In the IRB approach, the Bank's risks are calculated on the basis of internal experience and observations. The regulations define what the risk measures must reflect and how these are to be quantified. The internal models' forecasts and the actual outcomes are aggregated in Table 3.7 and in the figures on the following pages at exposure class level, in order to provide an overview of the models' function over a longer time period. The table and figures present forecasts and outcomes for PD, LGD, and CCF, and the loss rates for each exposure class; here, 'forecast' refers to expected loss (EL).

Table 3.7 presents the average value of PD, exposure-weighted and case-weighted, the number of counterparties at the beginning and end of the year, defaults and the average annual default frequency. The table also shows the number of defaults that have occurred among new counterparties to the Bank during the past year and, for institutions, the external rating that a specific PD interval corresponds to. This indicates how ratings from Moody's would be mapped according to Table 3.4. In a few cases, the method to assign counterparties or agreements to categories has changed and some agreements have been added to the table, which means that some values regarding 2019 have been changed this year.

The performing population in Table 3.7 is defined as non-defaulted counterparties as at 31 December 2019, with outcomes measured during 2020. Because the models for households are created at the agreement level, for these the mean and number of agreements, not counterparties, are specified. If there is a guarantee, the risk can be transferred from the counterparty to the guarantor, which has been taken into account here and in the figures for EL, PD, LGD, and CCF. This means that, for such exposures, the PD value usually decreases, which is often also the case for LGD and thus also for EL.

The number of counterparties in an interval at the start of the year consists of those whose PD values were within that PD interval at year-end. Similarly, the number at the end of the year consists of those who were within that particular interval at that time. PD values can change during the year, so a specific counterparty can move to another interval. For example, at the start of 2020 there were 3 366 counterparties in interval 2 for Corporate exposures: SMEs in the Advanced IRB (IRB-A) but none at the end of 2020, chiefly because their PD values had changed during the year.

The arithmetic mean for PD per counterparty can be compared primarily with the historical mean, but this comparison is not without problems. The main reason is that the distribution of counterparties can change year on year, such that an interval consists primarily of counterparties towards the upper end of the interval during one year but counterparties towards the lower end during another year. Thus, the expected values will also vary year on year. Some of the intervals also contain few counterparties, so the outcomes for those intervals can vary widely. Furthermore, it is worth noting that many corporate counterparties have exposures subject to capital requirement calculations both according to the Foundation IRB approach and the Advanced IRB approach. This means that they are reported in two places in the table, under AIRB and FIRB, which also occurs when there are defaults. Thus, the totals for both counterparties and defaults are less than the sums of the numbers from the different parts of the table.

The forecasts and outcomes in the figures refer to non-defaulted exposures as at 31 December and defaults during the following year. Note that the years on the horizontal axes in the figures refer to the year of the outcome in defaults. Regarding the calculation of LGD outcomes, the measure accounts for increases in exposures after default by adding the increase also to the exposure at default. This prevents the values from becoming artificially high.

Regarding losses, it is not unusual for the level to be adjusted over time – as recoveries are realised, for example. This means that historical outcomes for LGD and EL may also be adjusted from year to year, but normally only the preceding year's figure is affected. If adjustments have been made, the comparison figures in the text below are also updated.

Forecasts and outcomes are at agreement level for retail exposures and at counterparty level for PD and LGD for corporate and exposures to institutions. Regarding CCF for corporate exposures, forecasts and outcomes are at agreement level. The last reference date stated in the figures is 2021, which means that the outcome is still not complete and is therefore not reported for this date.

To forecast how large the exposure amount will be at default, off-balance-sheet commitments must be managed. For corporate exposures, this is done by multiplying the off-balance-sheet part by the CCF and adding this to the exposure on the balance sheet. For retail exposures, it is done by multiplying the total credit limit by the CCF. For certain risk classes in the internal models with own estimates of CCF, there is a very small number of internal defaults. The figures show the forecasts and outcomes only for the risk classes where a sufficient number of defaults has been observed. Nevertheless, the outcomes for corporate exposures are based on a relatively small number of observations and to highlight this, the number of observations per year is also indicated in the figure.

The forecasts show that the internal models generally work well for predicting the Bank's losses with a margin of conservatism. The trends that can be discerned for the actual outcomes correspond broadly to similar trends in the forecasts. For property exposures in the retail exposure class, EL outcomes are on average 75 per cent (74) lower than forecast. For other retail exposures, the outcomes are on average 43 per cent (42) lower than the forecast, and for corporate exposures 55 per cent (52) lower. During the most recent periods, outcomes have indicated a stable or declining loss rate for both types of retail exposures.

According to the regulations, PD must reflect a long-term average risk of default and is thus not a forecast for an individual year. Consequently, the probability that the outcome in a certain year is higher than the forecast is much higher for PD than for the other risk parameters. However, this risk has decreased with the introduction of new PD models for corporate exposures.

The figure shows that outcomes are in line with forecasts, with a slight variation over time. The outcomes are 9 per cent (5) lower than the forecasts for property exposures and 14 per cent (12) lower for other exposures in the retail exposure class during the period observed.

In 2016, the PD-models for retail exposures were altered by down-weighting historical data, thus reducing its influence. This had the effect of generally increasing the PD values. It is also worth noting that the capital requirement for mortgage loans is based on the Swedish Financial Supervisory Authority's risk weight floor for Swedish mortgage loans.

For corporate exposures, the average outcome is 37 per cent (33) lower than the forecast during the period observed. A sharp increase can be seen in institutional PD in 2014, despite the almost total absence of defaults in that exposure class. This is because it is very difficult to estimate the PD for institutions with high credit risk, because such institutions usually do not have an external rating from Moody's. As a result, the margin of conservatism is extremely high for such institutions, to which the Bank usually has exposures only of short maturity in connection with international trade finance.

As regards LGD, the forecast according to the regulations reflects the expected loss given default in unfavourable economic conditions. Here it may be noted that there are considerable margins of conservatism in relation to the loss levels observed since 2008. Average outcomes are 78 per cent (78) lower than the forecasts for property exposures, and 38 per cent (37) lower for other retail exposures. For corporate exposures, the outcomes are 43 per cent (43) lower than the forecasts. The outcome regarding LGD for corporates in 2019 was substantially higher than the forecast. Since the outcomes are exposure-weighted, one default with a very large exposure dominates this outcome. The outcomes in 2017 and 2018 are similarly dominated by one or two large defaults. Excluding these defaults, the outcomes for these years are in line with the previous ones.

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For retail exposures, the CCF outcomes are 19 per cent (18) lower than the forecasts, and for corporate exposures the outcomes are 63 per cent (71) lower. A high outcome of 47 per cent was recorded for corporate exposures in 2020. Similarly to the outcomes regarding LGD for corporates explained above, this outcome is dominated by a single observation with large exposure value. Excluding this observation the outcome drops to a mere 15 per cent.

Since 2017, the Bank also has approval to use a PD-model for exposures to governments and central banks. The forecasts of this model are very close to zero, which is consequently also the case for EL, and there are no defaults. These values are not presented in the graphs.

The expected loss rate according to the IRB approach presented here does not represent, despite its name, the most likely loss level for the Bank. One reason for this is that the PD values used according to the regulations are intended to correspond to a long-term average. Another reason is that a number of conservative prudential adjustments are made in the value calculated using the Bank's IRB approach. The main aim of these adjustments is to ensure that the Bank's internal models do not underestimate the actual risk.

Figure 3.5 illustrates how these adjustments affect the calculated value of expected losses. The first column shows the expected value for EL, this being EL based on the historical average default rates and loss rates given default per risk class, which is approximately 0.03 per cent (0.04). The other columns show how EL is affected by the introduction of margins and regulatory floors for applied PD levels.

The margins of conservatism are intended to ensure that the value applied does not underestimate the true risk as a result of various underlying factors, such as the statistical data on which the models are based not being sufficiently comprehensive, adjustments needing to be made for the business cycle or model risk, or the data being uncertain for other reasons. The downturn adjustment corrects measured values so that they are adequate for a period of economic downturn. The total contribution from the PD safety margins is greater than EL based on historical data.

Table 3.4 A comparison of external and internal ratings

A comparison of external and internal ratings		Corporate exposures			Institution exposures
Risk class	Large corporates	Medium-sized companies	Property companies	Housing co-operative associations	
1	Aaa,Aa	Aaa,Aa	Aaa,Aa	Aaa,Aa	Aaa,Aa
2	Aaa,Aa	A	A	Aa,A	Aa,A
3	A,Baa	Baa	A,Baa	A,Baa	A,Baa
4	A,Baa	Baa,Ba	Baa	A,Baa	Baa
5	Ba	Ba	Ba	Baa,Ba	Baa,Ba
6	Ba	B	Ba,B	Baa,Ba	Ba
7	B	B,Caa	B,Caa	Ba,B	B
8	Caa	Caa	B,Caa	B	B,Caa
9	Caa,C	Caa,C	Caa,C	Caa,C	Caa,C

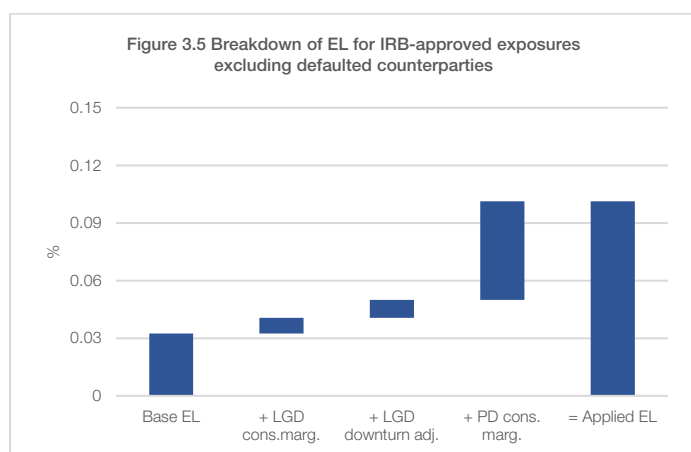
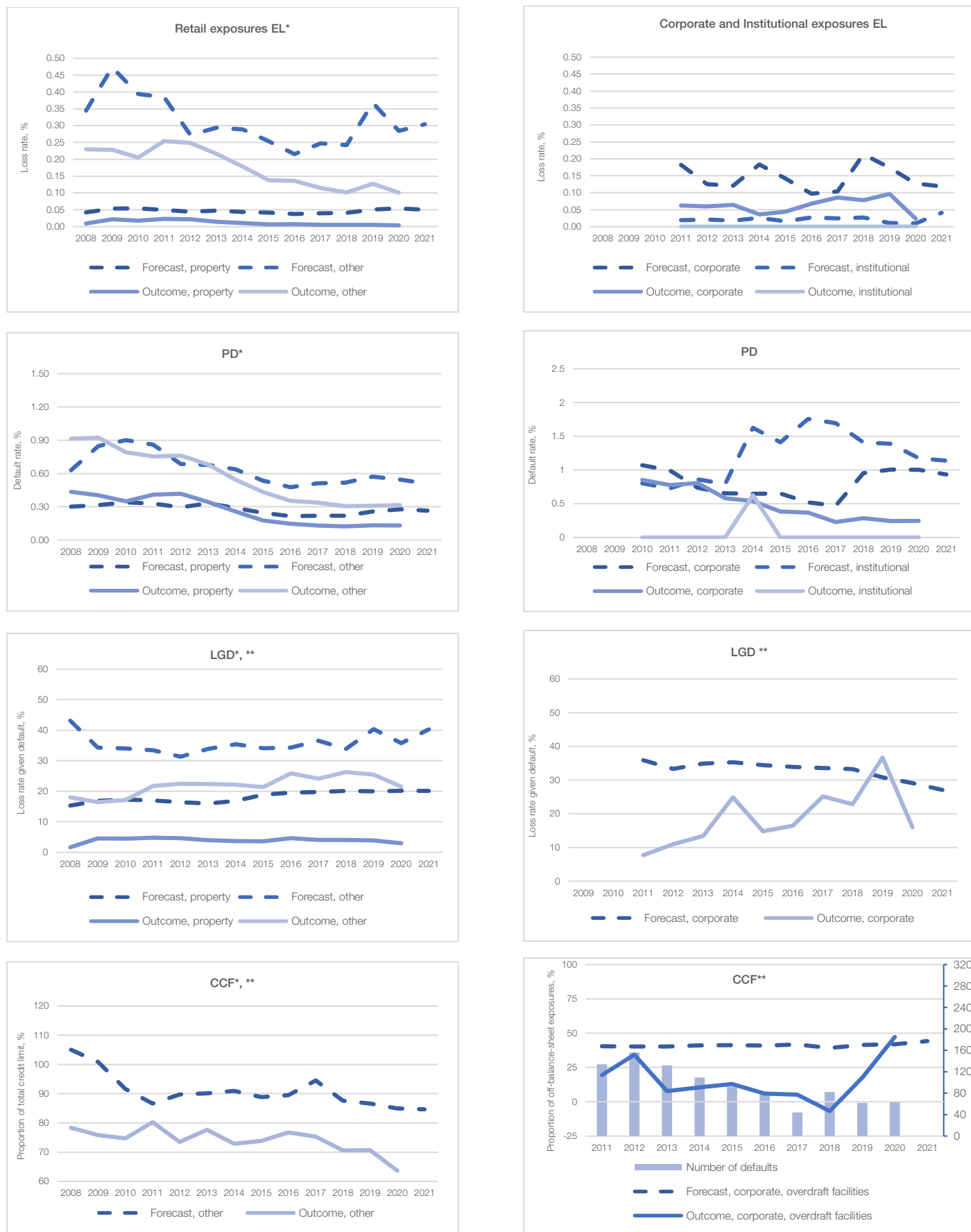


Figure 3.6 Forecast and outcome, IRB approach



* Excluding Handelsbanken Finans and Ecster.

** The forecasts are calculated as PD and exposure-weighted average values. The outcomes are calculated as exposure-weighted average values.

Table 3.7 EU CR9 – IRB approach – Backtesting of PD by exposure class

The table shows predictions and results of PD values for both the advanced and the Foundation IRB approach.

EU CR9 – IRB Approach – Backtesting of PD by exposure class 2020										
Exposure class ¹	IRB Approach ²	PD range	External rating equivalent ³	Weighted average PD	Arithmetic average PD by obligors	Number of obligors		Defaulted obligors in the year	Of which new obligors ⁴	Average historical annual default rate
						End of previous year	End of the year			
Corporate exposures	IRB-A	0.00 to <0.15		0.09%	0.09%	2 112	1 868	1		0.01%
Corporate exposures	IRB-A	0.15 to <0.25								0.05%
Corporate exposures	IRB-A	0.25 to <0.50		0.36%	0.35%	718	734			0.00%
Corporate exposures	IRB-A	0.50 to <0.75								0.00%
Corporate exposures	IRB-A	0.75 to <2.50		1.00%	1.09%	438	457	2		0.77%
Corporate exposures	IRB-A	2.50 to <10.00		7.40%	8.22%	48	33	2		1.59%
Corporate exposures	IRB-A	10.00 to <100.00		24.11%	28.75%	32	28	3		8.07%
Corporate exposures: SMEs	IRB-A	0.00 to <0.15		0.09%	0.08%	28 037	31 398	1		0.01%
Corporate exposures: SMEs	IRB-A	0.15 to <0.25		0.16%	0.16%	3 366		1		0.05%
Corporate exposures: SMEs	IRB-A	0.25 to <0.50		0.46%	0.46%	7 452	7 731	5	1	0.09%
Corporate exposures: SMEs	IRB-A	0.50 to <0.75		0.61%	0.61%	3 374	3 324	9	1	0.22%
Corporate exposures: SMEs	IRB-A	0.75 to <2.50		1.81%	1.91%	6 156	6 338	35	1	0.58%
Corporate exposures: SMEs	IRB-A	2.50 to <10.00		7.24%	7.68%	781	916	19	1	2.80%
Corporate exposures: SMEs	IRB-A	10.00 to <100.00		32.07%	30.59%	802	716	62	3	11.35%
Institution exposures	IRB-A	0.00 to <0.15								
Institution exposures	IRB-A	0.15 to <0.25								
Institution exposures	IRB-A	0.25 to <0.50								
Institution exposures	IRB-A	0.50 to <0.75								
Institution exposures	IRB-A	0.75 to <2.50								
Institution exposures	IRB-A	2.50 to <10.00								
Institution exposures	IRB-A	10.00 to <100.00								
Central governments or central banks	IRB-F	0.00 to <0.15		0.00%	0.01%	496	469			0.00%
Central governments or central banks	IRB-F	0.15 to <0.25		0.20%	0.20%	16	19			0.00%
Central governments or central banks	IRB-F	0.25 to <0.50								
Central governments or central banks	IRB-F	0.50 to <0.75								
Central governments or central banks	IRB-F	0.75 to <2.50		1.00%	1.00%	3	2			0.00%
Central governments or central banks	IRB-F	2.50 to <10.00								0.00%
Central governments or central banks	IRB-F	10.00 to <100.00		20.00%	20.00%	1	1			0.00%
Corporate exposures	IRB-F	0.00 to <0.15		0.07%	0.08%	1 101	829	1		0.05%
Corporate exposures	IRB-F	0.15 to <0.25								0.00%
Corporate exposures	IRB-F	0.25 to <0.50		0.30%	0.31%	305	305			0.06%
Corporate exposures	IRB-F	0.50 to <0.75								0.00%
Corporate exposures	IRB-F	0.75 to <2.50		0.91%	1.05%	245	223			0.41%
Corporate exposures	IRB-F	2.50 to <10.00		8.91%	8.91%	35	26			0.40%
Corporate exposures	IRB-F	10.00 to <100.00		23.65%	34.35%	11	11			8.29%
Corporate exposures: SMEs	IRB-F	0.00 to <0.15		0.07%	0.09%	1 994	2 783			0.00%
Corporate exposures: SMEs	IRB-F	0.15 to <0.25		0.16%	0.16%	1 336		1		0.03%
Corporate exposures: SMEs	IRB-F	0.25 to <0.50		0.46%	0.47%	706	715			0.11%
Corporate exposures: SMEs	IRB-F	0.50 to <0.75		0.61%	0.61%	1 690	1 574	2		0.22%
Corporate exposures: SMEs	IRB-F	0.75 to <2.50		2.05%	2.15%	1 227	1 300	7		0.81%
Corporate exposures: SMEs	IRB-F	2.50 to <10.00		7.41%	8.14%	195	248	7		3.47%
Corporate exposures: SMEs	IRB-F	10.00 to <100.00		30.72%	29.30%	128	140	7		13.39%
Institution exposures	IRB-F	0.00 to <0.15	Aaa, Aa, A	0.09%	0.10%	121	105			0.00%
Institution exposures	IRB-F	0.15 to <0.25	A, Baa	0.21%	0.21%	45	47			0.00%
Institution exposures	IRB-F	0.25 to <0.50	A, Baa							0.00%
Institution exposures	IRB-F	0.50 to <0.75		0.56%	0.56%	16	12			0.00%
Institution exposures	IRB-F	0.75 to <2.50	Ba	1.09%	1.25%	29	21			0.00%
Institution exposures	IRB-F	2.50 to <10.00								0.00%
Institution exposures	IRB-F	10.00 to <100.00	B, Caa, C	22.15%	20.00%	9	6			0.00%

EU CR9 – IRB Approach – Backtesting of PD by exposure class 2020

Exposure class ¹	IRB Approach ²	PD range	External rating equivalent ³	Weighted average PD	Arithmetic average PD by obligors	Number of obligors		Defaulted obligors in the year	Of which new obligors ⁴	Average historical annual default rate
						End of previous year	End of the year			
Retail exposures: Other	IRB-A	0.00 to <0.15		0.08%	0.07%	325 542	321 856	85	6	0.05%
Retail exposures: Other	IRB-A	0.15 to <0.25		0.17%	0.17%	223 252	35 015	757	163	0.23%
Retail exposures: Other	IRB-A	0.25 to <0.50		0.38%	0.37%	189 900	399 902	905	238	0.32%
Retail exposures: Other	IRB-A	0.50 to <0.75		0.58%	0.57%	36 754	32 363	175	8	0.61%
Retail exposures: Other	IRB-A	0.75 to <2.50		1.48%	1.25%	349 332	132 294	4 731	846	1.15%
Retail exposures: Other	IRB-A	2.50 to <10.00		6.37%	5.95%	96 943	51 868	5 241	553	4.11%
Retail exposures: Other	IRB-A	10.00 to <100.00		22.25%	24.58%	43 741	25 547	8 588	75	19.85%
Retail exposures: Secured by real estate property	IRB-A	0.00 to <0.15		0.07%	0.07%	1 001 534	1 004 760	242	4	0.02%
Retail exposures: Secured by real estate property	IRB-A	0.15 to <0.25		0.18%	0.18%	59 756	56 219	17	4	0.01%
Retail exposures: Secured by real estate property	IRB-A	0.25 to <0.50		0.31%	0.31%	123 341	116 536	144	4	0.15%
Retail exposures: Secured by real estate property	IRB-A	0.50 to <0.75		0.62%	0.62%	19 258	19 722	35		0.22%
Retail exposures: Secured by real estate property	IRB-A	0.75 to <2.50		1.77%	1.66%	40 791	38 348	262	3	0.70%
Retail exposures: Secured by real estate property	IRB-A	2.50 to <10.00		5.15%	6.00%	2 929	2 512	53	1	3.09%
Retail exposures: Secured by real estate property	IRB-A	10.00 to <100.00		12.52%	12.03%	11 184	10 325	888	8	11.04%

¹ The change is due to the Swedish Financial Supervisory Authority's approval of the Bank's application to apply the IRB Approach. These are exempt since data was not available for the period.

² There are two versions of the IRB Approach: the simplified version, the IRB Approach without own estimates of LGD and CCF (here IRB-F, in previous regulations called the foundation approach), and the more advanced method, the IRB Approach with own estimates of LGD and CCF (here IRB-A, in previous regulations called the advanced approach). Only distributions where Handelsbanken has exposures are shown.

³ External rating is only shown where it is relevant for the IRB model.

⁴ Defaults during the year include agreements that become performing after a short time and on which the Bank does not make any losses. This particularly applies to defaults for new customers in the category "Retail exposures: Other", which mainly contains retail financial sales at Ecster, where new customers are sometimes late in making their first payment.

EU CR9 – IRB Approach – Backtesting of PD by exposure class 2019

Exposure class ¹	IRB Approach ²	PD range	External rating equivalent ³	Weighted average PD	Arithmetic average PD by obligors	Number of obligors		Defaulted obligors in the year	Of which new obligors ⁴	Average historical annual default rate
						End of previous year	End of the year			
Corporate exposures	IRB-A	0.00 to <0.15		0.09%	0.09%	2 208	2 112			0.00%
Corporate exposures	IRB-A	0.15 to <0.25								0.03%
Corporate exposures	IRB-A	0.25 to <0.50		0.37%	0.35%	683	718			0.00%
Corporate exposures	IRB-A	0.50 to <0.75								0.00%
Corporate exposures	IRB-A	0.75 to <2.50		1.11%	1.11%	446	438			0.73%
Corporate exposures	IRB-A	2.50 to <10.00		6.25%	6.25%	5	48			1.00%
Corporate exposures	IRB-A	10.00 to <100.00		23.04%	24.67%	72	32	4	2	7.84%
Corporate exposures: SMEs	IRB-A	0.00 to <0.15		0.09%	0.08%	28 492	28 037	2		0.01%
Corporate exposures: SMEs	IRB-A	0.15 to <0.25		0.17%	0.17%	3 890	3 366	2		0.06%
Corporate exposures: SMEs	IRB-A	0.25 to <0.50		0.47%	0.46%	6 411	7 452	3		0.11%
Corporate exposures: SMEs	IRB-A	0.50 to <0.75		0.64%	0.64%	3 263	3 374	4		0.23%
Corporate exposures: SMEs	IRB-A	0.75 to <2.50		1.80%	1.93%	5 505	6 155	31		0.62%
Corporate exposures: SMEs	IRB-A	2.50 to <10.00		7.33%	7.85%	828	781	21		3.04%
Corporate exposures: SMEs	IRB-A	10.00 to <100.00		30.65%	30.50%	799	801	58		12.53%
Institution exposures	IRB-A	0.00 to <0.15								
Institution exposures	IRB-A	0.15 to <0.25								
Institution exposures	IRB-A	0.25 to <0.50								
Institution exposures	IRB-A	0.50 to <0.75								
Institution exposures	IRB-A	0.75 to <2.50								
Institution exposures	IRB-A	2.50 to <10.00								
Institution exposures	IRB-A	10.00 to <100.00								
Central governments or central banks	IRB-F	0.00 to <0.15		0.00%	0.01%	497	496			0.00%
Central governments or central banks	IRB-F	0.15 to <0.25		0.20%	0.20%	13	16			0.00%
Central governments or central banks	IRB-F	0.25 to <0.50								
Central governments or central banks	IRB-F	0.50 to <0.75								
Central governments or central banks	IRB-F	0.75 to <2.50		1.00%	1.00%	3	3			0.00%
Central governments or central banks	IRB-F	2.50 to <10.00		5.00%	5.00%	2				0.00%
Central governments or central banks	IRB-F	10.00 to <100.00					1			
Corporate exposures	IRB-F	0.00 to <0.15		0.07%	0.07%	1 249	1 101			0.03%
Corporate exposures	IRB-F	0.15 to <0.25								0.00%
Corporate exposures	IRB-F	0.25 to <0.50		0.31%	0.31%	336	305	1		0.07%
Corporate exposures	IRB-F	0.50 to <0.75								0.00%
Corporate exposures	IRB-F	0.75 to <2.50		0.92%	1.07%	252	245			0.41%
Corporate exposures	IRB-F	2.50 to <10.00					35			0.41%
Corporate exposures	IRB-F	10.00 to <100.00		23.52%	23.51%	39	11	2		12.34%
Corporate exposures: SMEs	IRB-F	0.00 to <0.15		0.08%	0.08%	2 219	1 994			0.00%
Corporate exposures: SMEs	IRB-F	0.15 to <0.25		0.17%	0.17%	1 673	1 336			0.01%
Corporate exposures: SMEs	IRB-F	0.25 to <0.50		0.46%	0.48%	590	706	2	1	0.16%
Corporate exposures: SMEs	IRB-F	0.50 to <0.75		0.64%	0.64%	1 454	1 690	3		0.20%
Corporate exposures: SMEs	IRB-F	0.75 to <2.50		1.88%	2.22%	947	1 227	9		0.88%
Corporate exposures: SMEs	IRB-F	2.50 to <10.00		8.45%	8.50%	159	194	5		3.45%
Corporate exposures: SMEs	IRB-F	10.00 to <100.00		29.62%	28.81%	144	127	13	2	16.09%
Institution exposures	IRB-F	0.00 to <0.15	Aaa, Aa, A	0.07%	0.08%	118	121			0.00%
Institution exposures	IRB-F	0.15 to <0.25	A, Baa	0.19%	0.19%	33	45			0.00%
Institution exposures	IRB-F	0.25 to <0.50	A, Baa	0.49%	0.49%	17				0.00%
Institution exposures	IRB-F	0.50 to <0.75					16			0.00%
Institution exposures	IRB-F	0.75 to <2.50	Ba	1.13%	1.29%	30	29			0.00%
Institution exposures	IRB-F	2.50 to <10.00								0.00%
Institution exposures	IRB-F	10.00 to <100.00	B, Caa, C	17.10%	20.00%	11	9			0.00%

EU CR9 – IRB Approach – Backtesting of PD by exposure class 2019

Exposure class ¹	IRB Approach ²	PD range	External rating equivalent ³	Weighted average PD	Arithmetic average PD by obligors	Number of obligors		Defaulted obligors in the year	Of which new obligors ⁴	Average historical annual default rate
						End of previous year	End of the year			
Retail exposures: Other	IRB-A	0.00 to <0.15		0.08%	0.07%	347 548	325 542	112	10	0.06%
Retail exposures: Other	IRB-A	0.15 to <0.25		0.18%	0.17%	265 214	223 252	619	124	0.09%
Retail exposures: Other	IRB-A	0.25 to <0.50		0.36%	0.36%	198 259	189 900	887	317	0.30%
Retail exposures: Other	IRB-A	0.50 to <0.75		0.57%	0.53%	151 518	36 753	1 078	20	0.66%
Retail exposures: Other	IRB-A	0.75 to <2.50		1.47%	1.48%	256 147	349 331	4 227	821	1.13%
Retail exposures: Other	IRB-A	2.50 to <10.00		6.24%	5.96%	105 657	96 942	5 379	696	3.85%
Retail exposures: Other	IRB-A	10.00 to <100.00		20.66%	24.43%	46 470	43 739	9 142	143	19.99%
Retail exposures: Secured by real estate property	IRB-A	0.00 to <0.15		0.07%	0.07%	998 117	1 001 532	238	6	0.03%
Retail exposures: Secured by real estate property	IRB-A	0.15 to <0.25		0.17%	0.17%	42 895	59 756	9	1	0.01%
Retail exposures: Secured by real estate property	IRB-A	0.25 to <0.50		0.31%	0.30%	124 252	123 339	174	5	0.16%
Retail exposures: Secured by real estate property	IRB-A	0.50 to <0.75		0.62%	0.62%	15 561	19 258	44	2	0.23%
Retail exposures: Secured by real estate property	IRB-A	0.75 to <2.50		1.83%	1.81%	31 504	40 791	263	1	0.72%
Retail exposures: Secured by real estate property	IRB-A	2.50 to <10.00		4.88%	6.07%	828	2 929	15	2	3.47%
Retail exposures: Secured by real estate property	IRB-A	10.00 to <100.00		12.26%	11.71%	10 919	11 182	892	15	12.04%

¹ The change is due to the Swedish Financial Supervisory Authority's approval of the Bank's application to apply the IRB Approach. These are exempt since data was not available for the period.

² There are two versions of the IRB Approach: the simplified version, the IRB Approach without own estimates of LGD and CCF (here IRB-F, in previous regulations called the foundation approach), and the more advanced method, the IRB Approach with own estimates of LGD and CCF (here IRB-A, in previous regulations called the advanced approach). Only distributions where Handelsbanken has exposures are shown.

³ External rating is only shown where it is relevant for the IRB model.

⁴ Defaults during the year include agreements that become performing after a short time and on which the Bank does not make any losses. This particularly applies to defaults for new customers in the category "Retail exposures: Other", which mainly contains retail financial sales at Ecster, where new customers are sometimes late in making their first payment.

COLLATERAL AND ACTIONS THAT REDUCE THE CAPITAL REQUIREMENT

Collateral for the exposures approved for the IRB approach is managed according to two different calculation methods: the IRB approach without own estimates of LGD and CCF, or the IRB approach with own estimates of LGD and CCF. Collateral affects the capital requirement in different ways in these two approaches. In the IRB approach without own estimates of LGD and CCF, only certain types of collateral are eligible and the estimates for LGD are applied as prescribed in the regulations. The Bank does, however, accept other types of collateral than those considered to be eligible.

When reporting exposures that are approved for the IRB approach with own estimates of LGD and CCF, the Bank applies LGD estimates which it has calculated itself. For these exposures, most collateral types affect the risk-weighted exposure amount and the capital requirement.

The Bank follows up and regularly updates the market value of the collateral used for corporate exposures. A control procedure is established whereby the market value is checked at least every third year for residential properties, and at least annually for other types of property. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent assessor is made at least every third year.

With the permission of the Swedish Financial Supervisory Authority, the Bank uses volatility adjustments (known as 'haircuts') when calculating capital requirements according to the IRB approach without own estimates of LGD and CCF for exposures that are secured by financial collateral. This means that, in its capital requirement calculations, the Bank adjusts the value of financial collateral based on the historical volatility of the financial collateral instead of using the standardised volatility adjustments otherwise prescribed by the regulations. This method allows for better risk measurement when using financial collateral. Handelsbanken regularly monitors the concentration risk in individual securities. During the year, the additional concentration risk, measured as further indirect exposure according to the regulations for large exposures, which has arisen by using financial collateral in the capital adequacy calculation, has on no occasion exceeded 0.4 per cent (0.9) of own funds.

The IRB approach with own estimates of LGD and CCF is used for retail exposures, where the exposures are categorised into various groups, partly based on the existence of collateral. Also, for most of the property collateral, a segmentation is made based on the loan-to-value of the collateral. The LGD of the exposure is established on the basis of these groups.

For corporate exposures and exposures to institutions for which collateral exists, the capital requirement is reduced, through an adjustment of either PD or LGD. The PD is adjusted in cases where there are approved protection providers, for example, an issuer of a guarantee or surety, with a lower PD value than the borrower. For other types of collateral, the LGD is adjusted.

Handelsbanken has also entered into a large number of netting agreements with, for example, institutional counterparties, thus reducing the exposure. Information concerning the netting effect is presented in the section on Counterparty credit risks.

Credit risk concentrations

Handelsbanken's branches focus strongly on establishing long-term relationships with customers of sound creditworthiness. If a branch identifies a good customer, it should be able to do business with this customer, whether or not the Bank as a whole has major exposure to the business sector that the customer represents. In granting credit, the Bank thus has no built-in restrictions to having relatively extensive exposures in individual sectors. However, the Bank monitors portfolio development and quality and calculates concentrations for various business sectors and geographic areas. The Bank also measures and monitors exposures to major individual counterparties. Special limits are applied to restrict the maximum credit exposure to individual counterparties, to augment the credit risk assessment. If the credit portfolio has a concentration in a particular sector or counterparty that can be assumed to increase risk, this concentration is monitored. Concentration risks are identified in the Bank's calculation of economic capital for credit risks and in the stress tests conducted in the internal capital adequacy assessment. The Swedish Financial Supervisory Authority also calculates a special capital charge under Pillar 2 for concentration risks in the credit portfolio. This ensures that Handelsbanken has sufficient capital, also taking into account concentration risks. If the concentration risks are judged to be excessive, the Bank has the opportunity and capacity to reduce them using various risk-mitigation measures.

In addition to mortgage loans and lending to housing co-operative associations, Handelsbanken has significant lending to property management of SEK 587 billion (594). Here, 'property management' refers to all companies classified as 'property companies' for risk-assessment purposes. It is common for groups of companies operating in other industries to have subsidiaries managing the properties in which the group conducts business, and such property companies are also considered to belong to property management here. However, the underlying credit risk in such cases is not solely property-related, because the counterparty's repayment capacity is determined by business operations other than property management. Also, private individuals with larger property holdings are classified as property companies for risk-assessment purposes.

A very large part of property lending consists of property mortgages with low loan-to-value ratios, which reduces the Bank's loan-loss risk. In addition, a large proportion of property lending is to government-owned property companies, municipal housing companies and other housing-related operations where the borrowers consistently have strong, stable cash flows and thus very high creditworthiness. Thus, a large part of lending to the property sector is to companies with a very low probability of encountering financial difficulty. The Bank's exposure to the property sector is specified in the tables below.

The proportion of exposures to property counterparties with a rating below the Bank's risk class 5 (normal risk) is very low. 99 per cent (99) of total property lending in Sweden is in risk class 5 or better. The corresponding figures for property lending in the UK are 98 per cent (98), Norway 99 per cent (98), Denmark 98 per cent (97), Finland 98 per cent (97). Netherlands' capital requirement is calculated by the standardised approach, which applies regulatory risk weights. Risk classes are therefore not applicable. For counterparties in poorer risk classes than normal, the majority are in risk classes 6–7, with only small volumes in the higher risk classes 8–9. For information about Handelsbanken's risk ratings, see the section titled Calculation of capital requirements for credit risk.

In the past few years, Handelsbanken's lending to property companies has grown partly because of the substantial credit growth in the UK following the expansion of the UK branch network. A large part of this growth has been in property-related credits. In the UK, Handelsbanken has the same strict requirements on repayment capacity, LTVs and collateral quality as in its other home markets.

See Handelsbanken's Annual Report, note G2 for tables specifying figures for property management.

Loan-to-value ratio for property lending

For property financing, like all granting of credit, Handelsbanken's credit assessment is always based on the borrower's repayment capacity. For mortgage loans to private individuals, Handelsbanken applies recommendations regarding debt ratio. In Sweden, for example, this is four and a half times gross income. Deviations from this are possible, but in such cases there must be a special justification. When assessing repayment capacity for mortgage loans, a calculation interest rate is also used, 7.5 per cent in Sweden, for example. As regards loan-to-value ratios (LTV) for mortgage loans, the Bank follows the supervisory authority's regulations such as the mortgage cap and amortisation requirements.

For property loans to companies, there are internal recommendations for the maximum loan-to-value ratios that should be approved. The following recommendations concerning maximum LTVs for property loans to companies apply to the whole Handelsbanken Group. The LTV is based on the market value.

- Multi-family dwellings, including housing co-operative associations, 75 per cent.
- Commercial and office property, 60 per cent.
- Family farms, forest and agricultural properties, 75 per cent.

The recommended LTVs correspond to what is applied at Stadshypotek. At the time of granting the credit, LTVs which exceed the recommendations are never permitted at Stadshypotek. For loans in the Bank, LTVs which exceed the recommendations may occur, but must be specially justified. The value of industrial and warehouse properties and undeveloped land may often be much more volatile than for other property, partly due to factors such as location or alternative use. The LTV should therefore be well below 60 per cent. Financing of industrial and warehouse properties and undeveloped land is only permitted in the Bank.

The tables and figure here provide a breakdown of loan volumes based on the loan-to-value ratios for all property lending in Handelsbanken's home markets. An accumulated breakdown of the LTVs at 31 December 2020 is also presented. It should be noted that here and in the following sections, the residential property category relates to all lending for which the collateral is a property for residential purposes, such as second homes, housing co-operative apartments, and rental properties. The figure shows that a very heavy fall in property prices would be required for large parts of the lending volume to exceed a 100 per cent LTV. The LTVs for property lending in the UK are at a level similar to those in Handelsbanken's other home markets.

The LTV shows all lending secured by collateral in relation to its market value. The calculation takes into account any pledging with other credit institutions. The most recent valuation is used as the market value when compiling the LTV. In addition to distributing the loan volume by LTVs, the average LTV at Handelsbanken is calculated by weighting each property's highest LTV according to the principal debt (LTV Max).

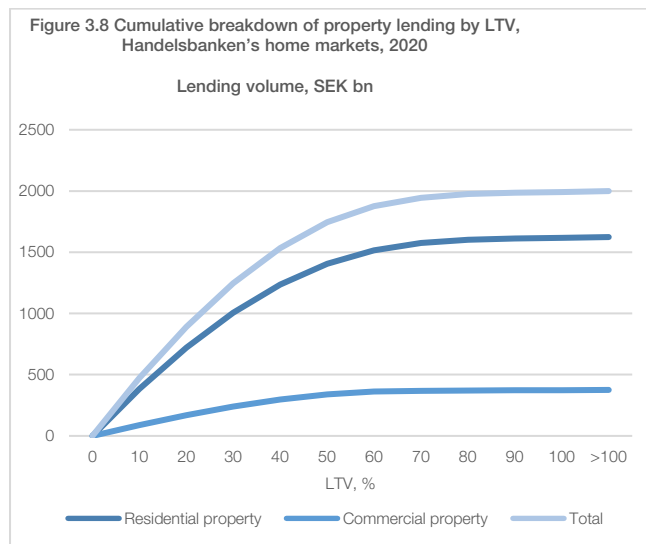


Table 3.9 Breakdown of property lending by LTV, Handelsbanken's home markets

%	2020			2019		
	Residential property	Commercial property	Total	Residential property	Commercial property	Total
0–40%	76.1	79.3	76.7	74.2	77.2	74.8
41–60%	17.2	16.9	17.1	17.9	18.1	17.9
61–75%	4.8	2.4	4.4	5.4	2.7	4.8
> 75%	2.0	1.3	1.8	2.5	2.0	2.4
LTV-Max	53.3	50.8	52.8	55.4	53.7	55.0

LTV for property lending if property prices fall by 10 per cent, Handelsbanken's home markets

%	2020			2019		
	Residential property	Commercial property	Total	Residential property	Commercial property	Total
LTV-Max	59.2	56.4	58.7	61.5	59.7	61.1

LTV-Max The highest loan-to-value of the property is weighted according to the principal debt.
 Values regarding 2019 have been slightly adjusted due to improvements to the calculation methods

Table 3.10 Breakdown of property lending by LTV, UK

%	2020			2019		
	Residential property	Commercial property	Total	Residential property	Commercial property	Total
0–40%	78.1	85.5	80.9	77.5	83.5	79.8
41–60%	18.2	13.1	16.3	18.6	15.0	17.2
61–75%	3.1	0.7	2.2	3.1	0.9	2.3
> 75%	0.7	0.6	0.6	0.7	0.6	0.7
LTV-Max	52.0	45.8	49.7	52.4	47.5	50.5

LTV for property lending if property prices fall by 10 per cent, UK

%	2020			2019		
	Residential property	Commercial property	Total	Residential property	Commercial property	Total
LTV-Max	57.8	50.9	55.2	58.3	52.7	56.1

LTV-Max The highest loan-to-value of the property is weighted according to the principal debt.
 Values regarding 2019 have been slightly adjusted due to improvements to the calculation methods

Exposures approved for the IRB approach

For capital requirement calculations of corporate exposures, exposures secured by property correspond to about 74 per cent (71) of the total exposure amount. The equivalent figure for guarantees is approximately 5 per cent (5), for financial collateral around 1 per cent (1), and for other collateral around 1 per cent (1).

For retail exposures, exposures secured by collateral in residential property comprise about 95 per cent (92) of the total exposure amount. Of the remaining exposure amounts, about 1 percentage point (1) can be assigned to some form of collateral, while the other 4 percentage points (7) are assigned an LGD value based on other terms. These terms are chiefly determined by factors such as the type of borrower, type of credit, and number of borrowers.

For exposures to institutions, financial collateral covers some 26 per cent (39) of the exposure amount. The corresponding figure for guarantees is about 0 per cent (5).

Of the exposures covered by guarantees, totalling SEK 55 608 million (67 570), SEK 39 526 million (45 096) relates to guarantees from sovereigns, SEK 961 million (1 262) to guarantees from institutions, and SEK 15 121 million (21 212) to guarantees from corporates.

If an exposure is covered by several collateral objects and no individual collateral covers the total exposure, the exposure is divided into sub-exposures, one for each collateral object. The capital requirement is then calculated by sub-exposure, based on the existence of collateral.

Table 3.11 Acceptable collateral which reduces the capital requirement, IRB Approach

Acceptable collateral which reduces the capital requirement, IRB Approach		2020		2019	
SEK m	Type of collateral	Exposure amount covered by collateral	Proportion of exposure amount, %	Exposure amount covered by collateral	Proportion of exposure amount, %
Sovereign exposures	- Financial collateral	40	0	31	0
Corporate exposures	- Guarantees	54 049	5	63 000	5
	- Receivables	15	0	693	0
	- Financial collateral	14 556	1	14 416	1
	- Property	849 103	74	854 082	71
	- Other collateral	13 413	1	14 872	1
Retail exposures	- Residential property ¹	1 099 663	95	1 029 076	92
	- Other collateral ²	14 531	1	14 900	1
Institution exposures	- Guarantees	127	0	2 867	5
	- Financial collateral	10 005	26	23 138	39
Securitisation positions	- Guarantees	889	98	1 148	100
Total		2 060 862	74	2 022 347	74

¹ Including shares in housing co-operative associations

² Including guarantees

Exposures calculated according to the standardised approach

For exposures reported in the institutional, corporate, and retail exposure categories according to the standardised approach, and exposures secured by property, collateral covers about 86 per cent (86) of the reported exposure value, of which about 2 percentage point (1) refers to guarantees and the remaining 84 percentage points (85) refer to property and financial collateral.

For all exposures calculated using the standardised approach, the regulations state a risk weight based on the exposure class of the counterparty.

Table 3.13 shows the exposure amount per exposure class, broken down by risk weights according to the standardised approach.

Table 3.12 Acceptable collateral which reduces the capital requirement, Standardised Approach

Acceptable collateral which reduces the capital requirement, Standardised Approach		2020		2019	
SEK m	Type of collateral	Exposure value covered by collateral ¹	Proportion of exposure value, %	Exposure value covered by collateral ¹	Proportion of exposure value, %
Sovereign exposures	- Financial collateral	13	1	20	6
Corporate exposures	- Guarantees	1 010	2	1 117	2
	- Financial collateral	751	1	322	1
	- Property	44 691	83	40 594	80
Retail exposures	- Guarantees	814	1	700	1
	- Financial collateral	7 040	6	6 646	6
	- Property	95 919	85	102 446	86
Institution exposures	- Guarantees	1 347	11	363	2
	- Financial collateral	4 417	35	6 620	45
Total		157 279	86	159 726	86

¹ Exposure value according to the standardised method is calculated excluding exposures with financial collateral. Those exposures are included in the exposure values in this table.

CREDIT RISK

Table 3.13 EU CR5 – Standardised approach 2020

The table below shows the EAD broken down by exposure class and risk weight. It comprises figures obtained using the standardised approach. Total EAD has increased compared with the previous period.

EU CR5 – Standardised approach 2020		Risk weight															De- ducted	Total	Of which unrated
Exposure classes SEK m		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1 250%	Others			
1	Central governments or central banks	1 827																1 827	
2	Regional government or local authorities	0																0	
3	Public sector entities																		
4	Multilateral development banks	923																923	
5	International organisations																		
6	Institutions	0				2 760		357										3 117	
7	Corporates							155			7 168							7 323	7 323
8	Retail									9 872								9 872	9 872
9	Secured by mortgages on immovable property						123 363	14 147		3	1 103							138 616	138 616
10	Exposures in default										625	232						857	857
11	Exposures associated with particularly high risk											28						28	28
12	Covered bonds																		
13	Institutions and corporates with a short-term credit assessment																		
14	Collective investments undertakings																		
15	Equity										287		6 254					6 541	6 541
16	Other items	49				3 274					2 850		0			105		6 278	6 278
17	Total	2 799				6 034	123 363	14 659		9 875	12 033	260	6 254			105		175 382	169 515

EU CR5 – Standardised approach 2019		Risk weight															De- ducted	Total	Of which unrated
Exposure classes SEK m		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1 250%	Others			
1	Central governments or central banks	350											3					353	
2	Regional government or local authorities	0																0	
3	Public sector entities																		
4	Multilateral development banks	2																2	
5	International organisations																		
6	Institutions	0				2 057		412										2 469	
7	Corporates							0			8 491							8 491	7 401
8	Retail									10 205								10 205	10 205
9	Secured by mortgages on immovable property						125 988	14 303		10	1 197							141 498	141 498
10	Exposures in default										344	254						598	563
11	Exposures associated with particularly high risk											26						26	26
12	Covered bonds																		
13	Institutions and corporates with a short-term credit assessment																		
14	Collective investments undertakings										151							151	151
15	Equity												6 254					6 254	6 254
16	Other items	137									2 883		5			220		3 245	3 243
17	Total	489				2 057	125 988	14 715		10 215	13 066	280	6 262			220		173 292	163 389

Table 3.14 Credit risk exposures approved for IRB Approach

Credit risk exposures approved for IRB Approach SEK m	Exposure amount		Of which off-balance-sheet		Risk-weighted exposure amount		Capital requirement		Average risk weight, %	
	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019
Sovereign exposures	490 718	426 414	14 002	10 983	7 214	7 098	577	568	1.5	1.7
Corporate exposures	854 312	909 304	111 944	121 194	211 791	246 710	16 943	19 737	24.8	27.1
Corporate lending	843 585	900 795	111 944	121 194	208 608	244 106	16 689	19 529	24.7	27.1
of which other lending, IRB Approach without own estimates of LGD and CCF	93 833	110 550	57 203	64 725	26 186	33 651	2 094	2 693	27.9	30.4
of which other lending, IRB Approach with own estimates of LGD and CCF	749 752	790 245	54 741	56 469	182 422	210 455	14 594	16 836	24.3	26.6
of which large corporates	125 572	140 751	33 017	32 185	48 644	51 641	3 892	4 131	38.7	36.7
of which medium-sized companies	84 512	91 926	8 206	9 533	27 212	37 399	2 177	2 992	32.2	40.7
of which property companies	539 668	557 568	13 518	14 751	106 566	121 415	8 525	9 713	19.7	21.8
Counterparty risk	10 727	8 509	-	-	3 183	2 604	255	208	29.7	30.6
Housing co-operative associations	245 789	235 554	2 494	2 796	7 997	9 806	641	783	3.3	4.2
Retail exposures	1 154 770	1 119 800	71 160	58 312	78 540	82 406	6 283	6 593	6.8	7.4
Private individuals	1 132 800	1 095 928	64 940	52 195	71 797	74 659	5 744	5 973	6.3	6.8
of which property loans	1 091 524	1 046 593	52 045	36 074	63 586	63 871	5 087	5 110	5.8	6.1
of which other	41 276	49 335	12 895	16 121	8 211	10 788	657	863	19.9	21.9
Small companies	21 970	23 872	6 220	6 117	6 743	7 747	539	620	30.7	32.5
of which property loans	10 918	11 892	991	1 010	3 644	4 268	292	341	33.4	35.9
of which other	11 052	11 980	5 229	5 197	3 099	3 479	247	279	28.0	29.0
Institution exposures	38 453	57 663	5 857	6 316	10 683	14 436	855	1 155	27.8	25.0
Lending to institutions	17 178	16 554	5 857	6 316	5 279	5 920	422	474	30.7	35.8
Counterparty risk	21 275	41 109	-	-	5 404	8 516	433	681	25.4	20.7
Equity exposures	799	3 028	-	-	2 955	10 299	236	824	370.0	340.2
of which listed equities	-	1 129	-	-	-	3 274	-	262	-	290.0
of which other equities	799	1 899	-	-	2 955	7 025	236	562	370.0	370.0
Non credit-obligation asset exposures	6 417	6 946	-	-	6 417	6 946	513	556	100.0	100.0
Securitisation positions	16	-	-	-	49	-	4	-	312.3	-
of which traditional securitisation	16	-	-	-	49	-	4	-	312.3	-
of which synthetic securitisation	-	-	-	-	-	-	-	-	-	-
Total IRB Approach	2 791 274	2 758 709	205 457	199 601	325 646	377 702	26 052	30 216	11.7	13.7
Risk weight floor for Swedish mortgage*					186 614	173 604	14 929	13 888		
Total IRB Approach including floor	2 791 274	2 758 709	205 457	199 601	512 260	551 306	40 981	44 104	18.4	20.0

*The exposure amount subject to the risk weight floor for Swedish mortgage loans is SEK 889 285 million as of 31 December 2020

Table 3.15 Credit risk exposures according to standardised approach

Credit risk exposures according to standardised approach ¹ SEK m	Exposure value		Of which off-balance-sheet		Risk-weighted exposure amount		Capital requirement		Average risk weight, %	
	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019
Sovereign and central banks	1 827	353	49	79	0	7	0	1	0	1.9
Municipalities	-	-	-	-	-	-	-	-	-	-
Multilateral development banks	956	274	0	2	0	0	0	0	0.0	0.0
International organisations	-	-	-	-	-	-	-	-	-	-
Institutions	9 561	9 639	169	407	902	762	72	61	9.4	7.9
Corporate	7 339	8 495	1 749	2 326	6 929	8 408	554	673	94.4	99.0
Retail	9 885	10 226	2 434	2 898	7 250	7 460	580	597	73.3	72.9
Property mortgages	138 617	141 499	2 745	2 064	48 405	50 655	3 872	4 052	34.9	35.8
Past due items	857	598	5	21	973	725	78	58	113.6	121.2
High risk items	28	26	-	-	41	39	3	3	150.0	150.0
CIU'S	-	151	-	-	-	151	-	12	-	100.0
Equities	6 541	6 254	-	-	15 923	15 636	1 274	1 251	243.4	250.0
of which listed equities	-	-	-	-	-	-	-	-	-	-
of which unlisted equities	6 541	6 254	-	-	15 923	15 636	1 274	1 251	243.4	250.0
Other items	6 278	3 244	37	17	3 510	2 905	282	232	55.9	89.6
Total standardised approach	181 889	180 759	7 188	7 814	83 933	86 748	6 715	6 940	46.1	48.0

¹ Details of capital requirements for exposure classes where there are exposures.

CAPITAL REQUIREMENTS FOR CREDIT RISK

This section presents the credit portfolio based on CRR. The presentations show both the IRB approach and the standardised approach. Portfolios in the IRB approach are divided into the IRB approach with own estimates of LGD and CCF, and the IRB approach without own estimates of LGD and CCF. When the capital requirement is calculated, this is normally done for the exposure amount, which is the sum of the exposure on the balance sheet and the exposure off the balance sheet multiplied by a conversion factor.

Exposure, exposure amounts and capital requirements

Tables 3.14 and 3.15 include information about exposures approved for the IRB approach and the standardised approach based on different definitions. They also include details of capital requirements for various exposure classes, the exposures and the total exposure amounts in the credit portfolio approved for the IRB approach and their risk-weighted amounts as well as the capital requirement that these exposures give rise to. The Tables section specifies the geographic distribution of exposures (Table T10) and their breakdown by industry or counterparty (Table T11). 'Exposures' refers to the total exposures on and off the balance sheet. The exposure amount is the exposure on which the capital requirement is calculated according to CRR. The following are also shown: the average exposure amount during the year, the average risk weight for the exposures (the risk-weighted amount divided by the exposure amount), and the average LGD value applied.

The risk estimates according to the IRB approach with own estimates of LGD and CCF are based on the Bank's historical outcome data applying the margins of conservatism approved by the Swedish Financial Supervisory Authority. In the IRB approach with own estimates of LGD and CCF, the capital requirement is also affected by the maturity of the credit, unlike in the IRB approach without own estimates of LGD and CCF.

When there is a guarantor with a lower PD than the counterparty, the capital requirement is calculated based on this PD instead of the original counterparty's, a practice known as substitution. This means that the guarantor's more advantageous PD can be used instead of the borrower's PD. On the other hand, the capital requirement does not take into account the fact that the credit risk is less, since both the borrower and the guarantor must default in order for the Bank to incur a loan loss.

For the parts of the credit portfolio which are not approved for the IRB approach and also where a permanent or time-limited approval has been given by the Swedish Financial Supervisory Authority, the capital requirements for credit risk are calculated using the standardised approach. Table 3.15 shows the exposures and capital requirements for the standardised portfolio.

When calculating risk weights according to the standardised approach, information regarding the external rating from external rating agencies is used, where applicable. Handelsbanken uses an external rating from Standard & Poor's for exposures to institutions and corporate exposures. Table 3.17 shows the exposure values for each credit quality step. No deduction is made from own funds for exposures in the standardised approach with external ratings.

Table 3.16 presents Handelsbanken's net exposures at the end of 2020 and the average value for the net exposure at the end of each quarter for the observation period. The table shows that these values are stable over time.

Table T13 in the Tables section shows the risk-weighted exposure amounts, before credit derivatives and net after credit risk-mitigation measures, by exposure class at the end of 2020. The amounts are calculated for exposures processed according to the Foundation IRB approach and exposures processed according to the Advanced IRB approach. The table shows that Handelsbanken's risk-weighted exposure amounts have not been affected by credit derivatives.

Table 3.16 EU CRB-B – Total and average net amount of exposures

The table below shows the total net exposure and average net exposure broken down by exposure class at year-end. For on-balance sheet items, the net value is the gross carrying value of exposure less allowances/impairments. For off-balance sheet items, the net value is the gross carrying value of the exposure less provisions. It comprises figures obtained using both the standardised and the IRB Approach. Net exposures have been stable over time based on an average of the three preceding quarters.

EU CRB-B – Total and average net amount of exposures 2020		Net value of exposures at the end of the period	Average net exposures over the period
SEK m			
1	Central governments or central banks	452 366	392 465
2	Institutions	21 835	23 227
3	Corporates	1 408 689	1 450 962
4	Of which: Specialised lending		
5	Of which: SMEs	752 170	763 984
6	Retail	1 157 349	1 129 644
7	Secured by real estate property	1 102 079	1 060 327
8	SMEs	11 012	10 636
9	Non-SMEs	1 091 067	1 049 692
10	Qualifying revolving		
11	Other retail	55 270	69 317
12	SMEs	12 378	14 534
13	Non-SMEs	42 892	54 783
14	Equity	799	2 183
15	Total IRB Approach	3 041 038	2 998 481
16	Central governments or central banks	1 439	407
17	Regional governments or local authorities	0	0
18	Public sector entities		
19	Multilateral development banks	923	328
20	International organisations		
21	Institutions	3 984	3 585
22	Corporates	10 776	13 921
23	Of which: SMEs	2 749	3 349
24	Retail	27 259	26 437
25	Of which: SMEs	2 067	2 294
26	Secured by mortgages on immovable property	149 244	145 336
27	Of which: SMEs	33 872	29 994
28	Exposures in default	882	720
29	Items associated with particularly high risk	28	19
30	Covered bonds		
31	Claims on institutions and corporates with a short-term credit assessment		
32	Collective investments undertakings		151
33	Equity exposures	6 541	6 326
34	Other exposures	8 157	6 724
35	Total standardised approach	209 233	203 803
36	Total	3 250 271	3 202 284

EU CRB-B – Total and average net amount of exposures 2019

SEK m		Net value of exposures at the end of the period	Average net exposures over the period
1	Central governments or central banks	382 484	386 399
2	Institutions	23 787	25 584
3	Corporates	1 452 923	1 469 083
4	Of which: Specialised lending		
5	Of which: SMEs	771 801	763 786
6	Retail	1 123 855	1 114 521
7	Secured by real estate property	1 058 034	1 037 681
8	SMEs	12 000	9 701
9	Non-SMEs	1 046 034	1 027 980
10	Qualifying revolving		
11	Other retail	65 821	76 840
12	SMEs	13 347	16 154
13	Non-SMEs	52 474	60 686
14	Equity	3 028	2 557
15	Total IRB Approach	2 986 077	2 998 144
16	Central governments or central banks	36	66
17	Regional governments or local authorities	0	0
18	Public sector entities		
19	Multilateral development banks	-	35
20	International organisations	-	0
21	Institutions	4 280	3 341
22	Corporates	14 357	16 969
23	Of which: SMEs	3 120	3 525
24	Retail	24 819	27 550
25	Of which: SMEs	2 440	2 441
26	Secured by mortgages on immovable property	147 341	140 238
27	Of which: SMEs	29 412	27 813
28	Exposures in default	621	672
29	Items associated with particularly high risk	26	13
30	Covered bonds		
31	Claims on institutions and corporates with a short-term credit assessment		
32	Collective investments undertakings	151	151
33	Equity exposures	6 254	6 254
34	Other exposures	4 957	6 937
35	Total standardised approach	202 842	202 226
36	Total	3 188 919	3 200 370

Table 3.17 Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2020

SEK m	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
Credit quality step								
1	1439	1827	0	0	1 964	2 277	-	-
2	-	-	-	-	1 340	953	0	-
3	-	-	-	-	191	70	0	-
4	-	-	-	-	111	19	-	-
5	-	-	-	-	13	5	-	-
6	-	-	-	-	5	1	-	-

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2019

SEK m	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
Credit quality step								
1	36	353	0	0	1 298	1 525	-	-
2	-	-	-	-	1 968	376	1089	0
3	-	-	-	-	179	108	0	-
4	-	-	-	-	274	77	-	-
5	-	-	-	-	223	67	-	-
6	-	-	-	-	2	1	-	-

Risk weight and breakdown into risk classes

Table 3.18 shows exposures by exposure class and PD interval, in accordance with the EBA's division of PD intervals. This table includes gross exposures, average PD, LGD and CCF, the number of debtors, risk-weighted exposure amounts, risk weights, expected loss, value adjustments and other data.

The PD values applied in the IRB approach for corporate and retail exposures are based on the Bank's own loss and default history. Handelsbanken's PD models for corporates are based on the historical default frequency, by risk class and by portfolio. The estimates for each portfolio are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account. Significant margins of conservatism are also added to these. See also the Risk classification methods section. Handelsbanken's low, stable default rates and loan loss ratio mean that the Bank's PD values are low, particularly in good risk classes where defaults have been extremely rare even in times of major economic turbulence. The risk weights are also affected by the LGD values used. These are also calculated on the basis of the Bank's own loss history for all exposures covered by the IRB approach with own estimates of LGD and CCF.

The applied PD and LGD include margins of conservatism. Comprehensive tests have also been performed to ensure that the risk measures are applicable to the Bank's current portfolios. This means that differences between different banks' average risk weights are due to the credit quality of the existing exposures and the historic loan losses.

In January 2018, the SFSA approved the introduction of a Pillar 1 IRB system that results in a risk weight of 50 per cent for the aggregated UK commercial real estate ("CRE") portfolio. In 2017 the SFSA applied a Pillar 2 add-on for the CRE portfolio. The background was that the SFSA deemed that earlier applied risk weight levels in Handelsbanken for UK commercial real estate were not conservative enough, given the historic levels of losses that UK banks experienced in 2008-2009.

Differing portfolio composition is another factor which leads to variations in different banks' average risk weights for various exposure classes. One important aspect of several is how banks have chosen to categorise their exposures. Handelsbanken has classified its lending to housing co-operative associations as corporate exposures, while certain other banks have decided to classify this as retail exposures. At the same time, lending to housing co-operative associations has lower risk than corporate lending on average. This means that the total average risk weight for the corporate exposures class including housing co-operative associations will be lower for Handelsbanken than for banks which have classified housing co-operative associations as retail exposures. The average risk weight for corporate exposures excluding housing co-operative associations is 24.8 per cent (22.4).

Handelsbanken's choice is conservative, because exposures that are classified as corporates have a higher risk weight in the IRB approach than retail exposures with the same risk measure.

The Bank has very low exposures to counterparties in poorer risk classes. For corporate exposures, 98 per cent (98) of the exposure amount is in risk classes 1–5 with low PD values. The corresponding figure for exposures to institutions is 99 per cent (99). For retail exposures – private individuals and small companies – the corresponding figures in the better risk classes are 95 per cent (95) and 77 per cent (71), respectively. A clear majority of the Bank's exposures are in risk classes 1–4, which means that the average risk level in the credit portfolio is significantly lower than the level which is assessed as normal risk. See tables, AR:11 - AR:16 in the Annual Report, note G2.

The risk weights applied by Handelsbanken result in a capital requirement that is, in relation to the Bank's actual historical loan losses in the past 10 years, considerably higher than the corresponding ratio for other Nordic and European banks on average. This means that Handelsbanken's risk weights are more cautious in relation to the Bank's historical losses than in models applied by other banks.

CREDIT RISK

Table 3.18 EU CR6 – IRB approach – Credit risk exposures by exposure class and PD range

The following table shows the total EAD, undrawn commitments, exposure-weighted average PD, LGD and CCF, and exposure-weighted average risk weights broken down by exposure class and obligor grade. The SFSA's board of directors decided to change the method used to apply current risk weight floor for Swedish mortgages on 25% though Pillar 2 by replacing it with a corresponding requirement under Article 458 of CRR. The change entered into force on 31 December 2018. RWA and RWA density is here calculated using the IRB approach not including the risk weight floor.

EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2020			Original on-balance-sheet gross exposures, SEK m	Off-balance-sheet exposures pre-CCF, SEK m	Average CCF	EAD post CRM and post CCF, SEK m	Average PD	Number of obligors ²	Average LGD	Average maturity, year	RWAs, SEK m	RWA density	EL, SEK m	Value adjustments and provisions, SEK m
Exposure class	IRB Approach ¹	PD scale												
Sovereign exposures	IRB-F	0.00 to <0.15	429 001	23 228	37.05%	486 207	0.00%	367	44.81%	1.2	7 049	1.45%	6	-5
Sovereign exposures	IRB-F	0.15 to <0.25	74	0	20.00%	201	0.20%	16	44.81%	2.5	89	44.09%	0	0
Sovereign exposures	IRB-F	0.25 to <0.50												
Sovereign exposures	IRB-F	0.50 to <0.75												
Sovereign exposures	IRB-F	0.75 to <2.50	63	0	20.00%	2	1.00%	2	45.00%	2.5	1	75.68%	0	0
Sovereign exposures	IRB-F	2.50 to <10.00												
Sovereign exposures	IRB-F	10.00 to <100.00	1			1	20.00%	1	45.00%	2.5	3	252.53%	0	0
Sovereign exposures	IRB-F	100.00 (Default)												
Sovereign exposures	IRB-F	Other												
Sovereign exposures	IRB-F	Subtotal	429 139	23 228	37.05%	486 411	0.00%	386	44.81%	1.2	7 142	1.47%	6	-5
Institution exposures	IRB-F	0.00 to <0.15	9 404	7 432	53.67%	13 695	0.10%	68	31.09%	2.5	3 603	26.31%	4	-4
Institution exposures	IRB-F	0.15 to <0.25	1 864	2 630	43.27%	3 120	0.21%	41	29.88%	2.5	1 258	40.33%	2	-2
Institution exposures	IRB-F	0.25 to <0.50												
Institution exposures	IRB-F	0.50 to <0.75	38	283	63.19%	266	0.56%	9	45.00%	2.5	270	101.43%	1	0
Institution exposures	IRB-F	0.75 to <2.50	44	109	34.83%	82	1.49%	20	44.96%	2.5	112	135.72%	1	0
Institution exposures	IRB-F	2.50 to <10.00												
Institution exposures	IRB-F	10.00 to <100.00	1	36	39.37%	15	28.79%	6	45.00%	2.5	36	245.30%	2	-1
Institution exposures	IRB-F	100.00 (Default)												
Institution exposures	IRB-F	Other												
Institution exposures	IRB-F	Subtotal	11 351	10 490	51.07%	17 178	0.16%	144	31.17%	2.5	5 279	30.73%	10	-7
Corporate exposures	IRB-F	0.00 to <0.15	36 279	92 623	57.07%	75 310	0.07%	2 830	37.93%	2.5	14 931	19.83%	20	-8
Corporate exposures	IRB-F	0.15 to <0.25												
Corporate exposures	IRB-F	0.25 to <0.50	4 630	12 998	39.82%	9 521	0.33%	859	36.23%	2.5	4 225	44.37%	11	-2
Corporate exposures	IRB-F	0.50 to <0.75	1 744	1 957	37.02%	2 444	0.56%	1 496	36.51%	2.5	1 031	42.20%	5	-5
Corporate exposures	IRB-F	0.75 to <2.50	3 251	8 269	51.31%	6 786	1.26%	1 417	39.97%	2.5	5 479	80.74%	32	-29
Corporate exposures	IRB-F	2.50 to <10.00	452	441	45.32%	610	7.49%	252	36.97%	2.5	615	100.79%	17	-13
Corporate exposures	IRB-F	10.00 to <100.00	64	186	39.56%	154	21.15%	143	33.82%	2.5	196	127.48%	10	-12
Corporate exposures	IRB-F	100.00 (Default)	53	54	51.23%	81	100.00%	30	41.38%	2.5	0	0.00%	26	-37
Corporate exposures	IRB-F	Other												
Corporate exposures	IRB-F	Subtotal	46 473	116 528	54.33%	94 906	0.36%	7 027	37.86%	2.5	26 477	27.90%	121	-106
Corporate exposures	IRB-A	0.00 to <0.15	695 507	196 401	19.19%	721 040	0.09%	32 793	18.98%	3.2	72 423	10.04%	127	-45
Corporate exposures	IRB-A	0.15 to <0.25												
Corporate exposures	IRB-A	0.25 to <0.50	161 428	47 039	20.56%	157 570	0.44%	8 355	25.30%	2.5	47 959	30.44%	168	-43
Corporate exposures	IRB-A	0.50 to <0.75	17 988	6 687	37.88%	21 635	0.56%	3 236	31.22%	2.6	7 833	36.20%	38	-44
Corporate exposures	IRB-A	0.75 to <2.50	78 835	25 820	24.39%	78 740	1.58%	6 710	28.93%	2.5	44 801	56.90%	355	-373
Corporate exposures	IRB-A	2.50 to <10.00	8 316	1 091	41.53%	8 287	7.16%	938	29.36%	2.5	6 655	80.31%	177	-154
Corporate exposures	IRB-A	10.00 to <100.00	3 905	602	39.03%	3 544	31.42%	737	30.16%	2.7	3 952	111.52%	321	-187
Corporate exposures	IRB-A	100.00 (Default)	3 977	335	26.46%	3 653	100.00%	257	38.79%	2.4	6 505	178.07%	1 288	-1 285
Corporate exposures	IRB-A	Other												
Corporate exposures	IRB-A	Subtotal	969 956	277 975	20.49%	994 469	0.81%	53 026	21.24%	3.0	190 128	19.12%	2 474	-2 131
Corporate exposures	Total	0.00 to <0.15	731 785	289 023	31.33%	796 350	0.08%	33 939	20.78%	3.1	87 354	10.97%	147	-53
Corporate exposures	Total	0.15 to <0.25												
Corporate exposures	Total	0.25 to <0.50	166 058	60 038	24.73%	167 091	0.43%	8 633	25.92%	2.5	52 184	31.23%	180	-45
Corporate exposures	Total	0.50 to <0.75	19 732	8 644	37.68%	24 079	0.56%	3 922	31.76%	2.6	8 864	36.81%	43	-49
Corporate exposures	Total	0.75 to <2.50	82 086	34 089	30.92%	85 526	1.56%	7 318	29.80%	2.5	50 280	58.79%	387	-402
Corporate exposures	Total	2.50 to <10.00	8 768	1 532	42.62%	8 897	7.19%	1 023	29.88%	2.5	7 270	81.71%	194	-167
Corporate exposures	Total	10.00 to <100.00	3 969	788	39.16%	3 698	31.00%	795	30.31%	2.7	4 148	112.18%	331	-199
Corporate exposures	Total	100.00 (Default)	4 031	389	29.90%	3 734	100.00%	265	38.85%	2.4	6 505	174.21%	1 313	-1 323
Corporate exposures	Total	Other												
Corporate exposures	Total	Subtotal	1 016 429	394 503	30.49%	1 089 375	0.77%	55 895	22.68%	3.0	216 605	19.88%	2 595	-2 238
Corporate exposures: SMEs	IRB-F	0.00 to <0.15	7 467	6 139	46.29%	9 149	0.09%	2 204	22.84%	2.5	1 009	11.02%	2	-6
Corporate exposures: SMEs	IRB-F	0.15 to <0.25												
Corporate exposures: SMEs	IRB-F	0.25 to <0.50	1 538	1 036	62.32%	1 943	0.47%	545	34.05%	2.5	705	36.28%	3	0
Corporate exposures: SMEs	IRB-F	0.50 to <0.75	1 744	1 957	37.02%	2 444	0.56%	1 496	36.51%	2.5	1 031	42.20%	5	-5
Corporate exposures: SMEs	IRB-F	0.75 to <2.50	1 020	1 700	40.57%	1 572	1.87%	1 200	36.23%	2.5	948	60.34%	11	-15
Corporate exposures: SMEs	IRB-F	2.50 to <10.00	419	333	37.66%	534	7.37%	232	37.28%	2.5	505	94.48%	15	-13
Corporate exposures: SMEs	IRB-F	10.00 to <100.00	64	169	38.02%	144	21.08%	133	35.92%	2.5	195	135.29%	10	-12
Corporate exposures: SMEs	IRB-F	100.00 (Default)	53	12	24.43%	56	100.00%	26	39.80%	2.5	0	0.00%	16	-13
Corporate exposures: SMEs	IRB-F	Other												
Corporate exposures: SMEs	IRB-F	Subtotal	12 305	11 346	44.90%	15 842	1.18%	5 836	28.32%	2.5	4 393	27.73%	62	-64

EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2020			Original on-balance-sheet gross exposures, SEK m	Off-balance-sheet exposures pre-CCF, SEK m	Average CCF	EAD post CRM and post CCF, SEK m	Average PD	Number of obligors ²	Average LGD	Average maturity, year	RWAs, SEK m	RWA density	EL, SEK m	Value adjustments and provisions, SEK m
Exposure class	IRB Approach ¹	PD scale												
Corporate exposures: SMEs	IRB-A	0.00 to <0.15	512 222	25 523	32.74%	521 669	0.08%	30 503	15.38%	3.5	35 629	6.83%	79	-37
Corporate exposures: SMEs	IRB-A	0.15 to <0.25												
Corporate exposures: SMEs	IRB-A	0.25 to <0.50	100 495	3 262	36.38%	93 053	0.47%	7 203	21.96%	2.7	20 694	22.24%	97	-23
Corporate exposures: SMEs	IRB-A	0.50 to <0.75	17 988	6 687	37.88%	21 635	0.56%	3 236	31.22%	2.6	7 833	36.20%	38	-44
Corporate exposures: SMEs	IRB-A	0.75 to <2.50	44 061	5 406	39.71%	40 054	1.77%	6 146	25.70%	2.8	17 232	43.02%	190	-177
Corporate exposures: SMEs	IRB-A	2.50 to <10.00	6 947	913	42.11%	6 866	7.18%	888	29.68%	2.5	5 184	75.50%	147	-124
Corporate exposures: SMEs	IRB-A	10.00 to <100.00	3 596	547	40.69%	3 323	30.85%	704	30.32%	2.8	3 637	109.45%	297	-183
Corporate exposures: SMEs	IRB-A	100.00 (Default)	2 172	160	31.83%	1 888	100.00%	231	39.56%	2.4	3 161	167.46%	792	-791
Corporate exposures: SMEs	IRB-A	Other												
Corporate exposures: SMEs	IRB-A	Subtotal	687 481	42 498	35.01%	688 488	0.74%	48 911	17.65%	3.3	93 370	13.56%	1 640	-1 379
Corporate exposures: SMEs	Total	0.00 to <0.15	519 689	31 660	35.37%	530 819	0.08%	31 344	15.51%	3.5	36 638	6.90%	81	-43
Corporate exposures: SMEs	Total	0.15 to <0.25												
Corporate exposures: SMEs	Total	0.25 to <0.50	102 032	4 298	42.63%	94 996	0.47%	7 346	22.21%	2.7	21 399	22.53%	100	-24
Corporate exposures: SMEs	Total	0.50 to <0.75	19 732	8 644	37.68%	24 079	0.56%	3 922	31.76%	2.6	8 864	36.81%	43	-49
Corporate exposures: SMEs	Total	0.75 to <2.50	45 081	7 106	39.91%	41 625	1.78%	6 643	26.10%	2.8	18 180	43.68%	201	-192
Corporate exposures: SMEs	Total	2.50 to <10.00	7 366	1 247	40.92%	7 400	7.19%	965	30.23%	2.5	5 689	76.87%	162	-136
Corporate exposures: SMEs	Total	10.00 to <100.00	3 660	717	40.06%	3 467	30.45%	753	30.55%	2.8	3 832	110.53%	307	-195
Corporate exposures: SMEs	Total	100.00 (Default)	2 226	172	31.30%	1 944	100.00%	238	39.56%	2.4	3 161	162.60%	809	-803
Corporate exposures: SMEs	Total	Other												
Corporate exposures: SMEs	Total	Subtotal	699 786	53 844	37.10%	704 330	0.75%	51 211	17.89%	3.3	97 763	13.88%	1 703	-1 442
Retail exposures	IRB-A	0.00 to <0.15	851 075	54 750	98.72%	905 144	0.07%	1 326 680	14.37%		24 712	2.73%	94	-35
Retail exposures	IRB-A	0.15 to <0.25	62 205	6 476	93.49%	68 274	0.18%	91 237	24.60%		6 423	9.41%	30	-7
Retail exposures	IRB-A	0.25 to <0.50	92 453	7 044	81.92%	98 222	0.32%	516 479	20.62%		11 736	11.95%	65	-24
Retail exposures	IRB-A	0.50 to <0.75	30 113	2 753	85.27%	32 460	0.62%	52 091	26.75%		7 974	24.56%	53	-27
Retail exposures	IRB-A	0.75 to <2.50	33 250	2 899	72.71%	35 365	1.73%	170 692	23.29%		12 872	36.40%	130	-66
Retail exposures	IRB-A	2.50 to <10.00	3 894	918	75.69%	4 590	5.65%	54 449	31.81%		2 942	64.11%	85	-116
Retail exposures	IRB-A	10.00 to <100.00	8 604	167	74.74%	8 726	13.24%	36 342	22.22%		8 870	101.66%	280	-90
Retail exposures	IRB-A	100.00 (Default)	1 972	14	77.19%	1 989	100.00%	15 689	35.75%		3 042	152.94%	874	-874
Retail exposures	IRB-A	Other												
Retail exposures	IRB-A	Subtotal	1 083 566	75 021	94.86%	1 154 770	0.45%	2 263 318	16.29%		78 571	6.80%	1 611	-1 239
Retail exposures: Secured by real estate property	IRB-A	0.00 to <0.15	840 785	46 462	100.18%	887 345	0.07%	1 004 818	13.83%		23 057	2.60%	88	-29
Retail exposures: Secured by real estate property	IRB-A	0.15 to <0.25	60 501	3 879	101.13%	64 436	0.18%	56 222	23.37%		5 788	8.98%	26	-4
Retail exposures: Secured by real estate property	IRB-A	0.25 to <0.50	80 996	653	80.21%	81 520	0.31%	116 542	18.96%		8 995	11.03%	49	-9
Retail exposures: Secured by real estate property	IRB-A	0.50 to <0.75	27 933	1 102	95.63%	28 987	0.62%	19 726	25.32%		6 981	24.08%	45	-19
Retail exposures: Secured by real estate property	IRB-A	0.75 to <2.50	28 192	803	93.87%	28 959	1.77%	38 376	20.51%		10 413	35.96%	97	-17
Retail exposures: Secured by real estate property	IRB-A	2.50 to <10.00	2 059	179	88.21%	2 218	5.02%	2 515	28.77%		1 797	81.01%	33	-23
Retail exposures: Secured by real estate property	IRB-A	10.00 to <100.00	7 705	68	105.14%	7 778	12.51%	10 433	19.98%		8 084	103.94%	211	-40
Retail exposures: Secured by real estate property	IRB-A	100.00 (Default)	1 189	5	102.78%	1 199	100.00%	1 655	26.77%		2 146	179.00%	291	-291
Retail exposures: Secured by real estate property	IRB-A	Other												
Retail exposures: Secured by real estate property	IRB-A	Subtotal	1 049 360	53 151	99.78%	1 102 442	0.36%	1 249 947	15.33%		67 261	6.10%	840	-432

CREDIT RISK

EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2020			Original on-balance-sheet gross exposures, SEK m	Off-balance-sheet exposures pre-CCF, SEK m	Average CCF	EAD post CRM and post CCF, SEK m	Average PD	Number of obligors ²	Average LGD	Average maturity, year	RWAs, SEK m	RWA density	EL, SEK m	Value adjustments and provisions, SEK m
Exposure class	IRB Approach ¹	PD scale												
Retail exposures: Other	IRB-A	0.00 to <0.15	10 292	8 287	90.53%	17 797	0.08%	321 862	41.12%		1 654	9.29%	6	-6
Retail exposures: Other	IRB-A	0.15 to <0.25	1 704	2 598	82.09%	3 838	0.18%	35 015	45.21%		635	16.55%	3	-3
Retail exposures: Other	IRB-A	0.25 to <0.50	11 457	6 391	82.10%	16 702	0.36%	399 937	28.73%		2 741	16.41%	17	-15
Retail exposures: Other	IRB-A	0.50 to <0.75	2 180	1 651	78.36%	3 474	0.58%	32 365	38.67%		993	28.58%	8	-8
Retail exposures: Other	IRB-A	0.75 to <2.50	5 058	2 096	64.60%	6 407	1.54%	132 316	35.83%		2 459	38.39%	34	-49
Retail exposures: Other	IRB-A	2.50 to <10.00	1 835	740	72.67%	2 372	6.25%	51 934	34.67%		1 145	48.30%	51	-93
Retail exposures: Other	IRB-A	10.00 to <100.00	898	99	54.07%	948	19.27%	25 909	40.55%		787	82.96%	69	-50
Retail exposures: Other	IRB-A	100.00 (Default)	783	8	60.17%	790	100.00%	14 034	49.37%		896	113.41%	583	-583
Retail exposures: Other	IRB-A	Other												
Retail exposures: Other	IRB-A	Subtotal	34 207	21 870	82.88%	52 328	2.52%	1 013 371	36.48%		11 310	21.61%	771	-807
Equity exposures	IRB-F	0.00 to <0.15												
Equity exposures	IRB-F	0.15 to <0.25												
Equity exposures	IRB-F	0.25 to <0.50												
Equity exposures	IRB-F	0.50 to <0.75												
Equity exposures	IRB-F	0.75 to <2.50												
Equity exposures	IRB-F	2.50 to <10.00												
Equity exposures	IRB-F	10.00 to <100.00												
Equity exposures	IRB-F	100.00 (Default)												
Equity exposures	IRB-F	Other	799			799		2			2 955	370.00%	19	0
Equity exposures	IRB-F	Subtotal	799			799		2			2 955	370.00%	19	0
Total	IRB-F	0.00 to <0.15	474 684	123 281	53.10%	575 212	0.01%	3 265	43.58%	1.4	25 583	4.45%	30	-17
Total	IRB-F	0.15 to <0.25	1 937	2 631	43.27%	3 321	0.21%	57	30.78%	2.5	1 347	40.56%	2	-2
Total	IRB-F	0.25 to <0.50	4 630	12 998	39.82%	9 521	0.33%	859	36.23%	2.5	4 225	44.37%	11	-2
Total	IRB-F	0.50 to <0.75	1 782	2 240	40.33%	2 710	0.56%	1 505	37.35%	2.5	1 301	48.02%	6	-6
Total	IRB-F	0.75 to <2.50	3 359	8 379	51.09%	6 870	1.26%	1 439	40.03%	2.5	5 592	81.40%	33	-29
Total	IRB-F	2.50 to <10.00	452	441	45.32%	610	7.49%	252	36.97%	2.5	615	100.79%	17	-13
Total	IRB-F	10.00 to <100.00	66	222	39.53%	170	21.80%	150	34.87%	2.5	235	138.61%	12	-13
Total	IRB-F	100.00 (Default)	53	54	51.23%	81	100.00%	30	41.38%	2.5	0	0.00%	26	-36
Total	IRB-F	Other	799			799		2			2 955	370.00%	19	0
Total	IRB-F	Subtotal	487 762	150 246	51.43%	599 294	0.06%	7 558	43.26%	1.4	41 853	6.98%	156	-118
Total	IRB-A	0.00 to <0.15	1 546 583	251 152	36.53%	1 626 183	0.07%	1 359 473	16.41%	1.4	97 133	5.97%	221	-80
Total	IRB-A	0.15 to <0.25	62 205	6 476	93.49%	68 274	0.18%	91 237	24.60%		6 423	9.41%	30	-7
Total	IRB-A	0.25 to <0.50	253 881	54 083	28.55%	255 792	0.39%	524 834	23.50%	1.5	59 695	23.34%	234	-66
Total	IRB-A	0.50 to <0.75	48 101	9 440	51.70%	54 096	0.59%	55 327	28.54%	1.1	15 806	29.22%	91	-70
Total	IRB-A	0.75 to <2.50	112 085	28 719	29.27%	114 105	1.63%	177 402	27.18%	1.7	57 674	50.54%	485	-439
Total	IRB-A	2.50 to <10.00	12 210	2 009	57.14%	12 877	6.63%	55 387	30.23%	1.6	9 598	74.54%	261	-269
Total	IRB-A	10.00 to <100.00	12 508	769	46.78%	12 270	18.49%	37 079	24.51%	0.8	12 823	104.51%	601	-276
Total	IRB-A	100.00 (Default)	5 949	348	28.43%	5 642	100.00%	15 946	37.72%	1.6	9 547	169.21%	2 161	-2 163
Total	IRB-A	Other												
Total	IRB-A	Subtotal	2 053 522	352 996	36.30%	2 149 239	0.62%	2 316 344	18.58%	1.4	268 699	12.50%	4 084	-3 370
Total	Total	0.00 to <0.15	2 021 269	374 432	41.98%	2 201 397	0.06%	1 361 054	23.51%	1.4	122 716	5.57%	251	-97
Total	Total	0.15 to <0.25	64 142	9 107	78.98%	71 595	0.18%	91 294	24.89%	0.1	7 770	10.85%	32	-9
Total	Total	0.25 to <0.50	258 511	67 081	30.73%	265 312	0.39%	525 112	23.96%	1.6	63 920	24.09%	245	-68
Total	Total	0.50 to <0.75	49 882	11 681	49.52%	56 806	0.59%	56 022	28.96%	1.1	17 108	30.12%	97	-76
Total	Total	0.75 to <2.50	115 443	37 098	34.20%	120 975	1.61%	178 032	27.91%	1.8	63 266	52.30%	518	-468
Total	Total	2.50 to <10.00	12 662	2 450	55.02%	13 487	6.66%	55 472	30.54%	1.7	10 212	75.72%	278	-282
Total	Total	10.00 to <100.00	12 574	991	45.15%	12 439	18.54%	37 144	24.65%	0.8	13 058	104.97%	612	-290
Total	Total	100.00 (Default)	6 002	402	31.49%	5 723	100.00%	15 954	37.77%	1.6	9 547	166.81%	2 188	-2 199
Total	Total	Other	799			799		2			2 955	370.00%	19	0
Total (all portfolios)			2 541 284	503 242	40.81%	2 748 533	0.50%	2 319 743	23.96%	1.4	310 552	11.30%	4 240	-3 489

¹ There are two versions of the IRB Approach: the simplified version, the IRB Approach without own estimates of LGD and CCF (here IRB-F, in previous regulations called the foundation approach), and the more advanced method, the IRB Approach with own estimates of LGD and CCF (here IRB-A, in previous regulations called the advanced approach).

² The amount is based on the number of agreements rather than counterparties for retail exposures.

EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2019

Exposure class	IRB Approach ¹	PD scale	Original on-balance-sheet gross exposures, SEK m	Off-balance-sheet exposures pre-CCF, SEK m	Average CCF	EAD post CRM and post CCF, SEK m	Average PD	Number of obligors ²	Average LGD	Average maturity, year	RWAs, SEK m	RWA density	EL, SEK m	Value adjustments and provisions, SEK m
Sovereign exposures	IRB-F	0.00 to <0.15	360 762	21 618	35.89%	422 443	0.00%	391	44.79%	1.3	6 993	1.66%	5	-5
Sovereign exposures	IRB-F	0.15 to <0.25	28	0	75.00%	49	0.20%	15	45.00%	2.5	22	44.01%	0	0
Sovereign exposures	IRB-F	0.25 to <0.50												
Sovereign exposures	IRB-F	0.50 to <0.75												
Sovereign exposures	IRB-F	0.75 to <2.50	75	0	75.00%	2	1.00%	3	45.00%	2.5	2	79.55%	0	0
Sovereign exposures	IRB-F	2.50 to <10.00												
Sovereign exposures	IRB-F	10.00 to <100.00	2			2	20.00%	1	45.00%	2.5	5	252.53%	0	0
Sovereign exposures	IRB-F	100.00 (Default)												
Sovereign exposures	IRB-F	Other												
Sovereign exposures	IRB-F	Subtotal	360 867	21 618	35.89%	422 496	0.00%	410	44.79%	1.3	7 022	1.66%	5	-5
Institution exposures	IRB-F	0.00 to <0.15	8 697	8 606	54.04%	11 037	0.09%	82	37.66%	2.5	3 403	30.84%	3	-3
Institution exposures	IRB-F	0.15 to <0.25	4 069	1 681	43.30%	4 951	0.21%	37	27.61%	2.5	1 877	37.90%	3	-3
Institution exposures	IRB-F	0.25 to <0.50												
Institution exposures	IRB-F	0.50 to <0.75	30	459	61.08%	375	0.56%	13	45.00%	2.5	380	101.29%	1	0
Institution exposures	IRB-F	0.75 to <2.50	126	91	50.00%	172	1.10%	27	44.94%	2.5	217	126.17%	1	0
Institution exposures	IRB-F	2.50 to <10.00												
Institution exposures	IRB-F	10.00 to <100.00	5	28	50.00%	19	22.15%	9	45.00%	2.5	43	229.81%	2	0
Institution exposures	IRB-F	100.00 (Default)												
Institution exposures	IRB-F	Other												
Institution exposures	IRB-F	Subtotal	12 927	10 865	52.63%	16 554	0.17%	168	34.90%	2.5	5 920	35.76%	10	-6
Corporate exposures	IRB-F	0.00 to <0.15	43 295	97 341	58.93%	86 980	0.07%	2 404	39.53%	2.5	19 155	22.02%	25	-4
Corporate exposures	IRB-F	0.15 to <0.25	1 635	2 269	36.96%	2 506	0.16%	1 227	28.01%	2.5	492	19.66%	1	-2
Corporate exposures	IRB-F	0.25 to <0.50	7 664	8 328	46.11%	9 562	0.35%	871	34.61%	2.5	4 422	46.25%	11	-2
Corporate exposures	IRB-F	0.50 to <0.75	2 102	2 387	41.22%	3 076	0.61%	1 611	37.50%	2.5	1 634	53.11%	7	-6
Corporate exposures	IRB-F	0.75 to <2.50	3 452	10 536	50.63%	8 040	1.15%	1 376	39.94%	2.5	6 488	80.69%	35	-12
Corporate exposures	IRB-F	2.50 to <10.00	761	536	58.89%	868	7.95%	217	36.33%	2.5	1 067	122.97%	25	-12
Corporate exposures	IRB-F	10.00 to <100.00	325	207	50.56%	435	27.97%	136	32.87%	2.5	700	160.88%	37	-15
Corporate exposures	IRB-F	100.00 (Default)	259	416	88.05%	623	100.00%	38	44.68%	2.5	0	0.00%	240	-239
Corporate exposures	IRB-F	Other												
Corporate exposures	IRB-F	Subtotal	59 493	122 020	56.67%	112 090	0.91%	7 880	38.80%	2.5	33 958	30.30%	381	-292
Corporate exposures	IRB-A	0.00 to <0.15	707 168	204 398	19.19%	729 215	0.09%	29 787	20.19%	3.2	89 355	12.25%	136	-29
Corporate exposures	IRB-A	0.15 to <0.25	24 246	8 411	40.57%	29 326	0.16%	3 226	34.44%	2.6	7 233	24.67%	16	-16
Corporate exposures	IRB-A	0.25 to <0.50	171 138	32 820	21.37%	167 541	0.43%	8 068	25.90%	2.5	57 325	34.22%	183	-52
Corporate exposures	IRB-A	0.50 to <0.75	22 676	6 670	41.85%	25 281	0.61%	3 300	31.93%	2.7	11 263	44.55%	49	-35
Corporate exposures	IRB-A	0.75 to <2.50	55 363	21 592	25.44%	55 034	1.60%	6 516	28.62%	2.7	31 326	56.92%	252	-157
Corporate exposures	IRB-A	2.50 to <10.00	7 891	783	38.52%	7 786	7.28%	805	32.34%	2.8	8 273	106.26%	188	-71
Corporate exposures	IRB-A	10.00 to <100.00	5 052	923	30.44%	4 931	31.15%	833	33.39%	2.7	7 105	144.08%	501	-158
Corporate exposures	IRB-A	100.00 (Default)	5 457	207	28.58%	5 145	100.00%	243	39.98%	1.9	8 074	156.93%	2 598	-2 569
Corporate exposures	IRB-A	Other												
Corporate exposures	IRB-A	Subtotal	998 991	275 804	21.24%	1 024 259	0.95%	52 778	22.53%	3.0	219 954	21.47%	3 923	-3 087
Corporate exposures	Total	0.00 to <0.15	750 464	301 739	32.01%	816 197	0.08%	30 726	22.25%	3.1	108 509	13.29%	161	-33
Corporate exposures	Total	0.15 to <0.25	25 881	10 680	39.81%	31 832	0.16%	3 755	33.93%	2.6	7 726	24.27%	17	-19
Corporate exposures	Total	0.25 to <0.50	178 803	41 148	26.38%	177 102	0.43%	8 361	26.37%	2.5	61 748	34.87%	194	-55
Corporate exposures	Total	0.50 to <0.75	24 777	9 057	41.69%	28 357	0.61%	3 978	32.53%	2.7	12 896	45.48%	56	-40
Corporate exposures	Total	0.75 to <2.50	58 815	32 128	33.70%	63 074	1.54%	7 133	30.06%	2.7	37 814	59.95%	287	-169
Corporate exposures	Total	2.50 to <10.00	8 652	1 319	46.79%	8 653	7.35%	891	32.74%	2.8	9 340	107.93%	213	-84
Corporate exposures	Total	10.00 to <100.00	5 377	1 130	34.13%	5 366	30.89%	888	33.35%	2.7	7 805	145.44%	538	-173
Corporate exposures	Total	100.00 (Default)	5 716	623	68.31%	5 768	100.00%	252	40.49%	1.9	8 074	139.97%	2 839	-2 806
Corporate exposures	Total	Other												
Corporate exposures	Total	Subtotal	1 058 485	397 824	32.11%	1 136 349	0.94%	55 984	24.14%	3.0	253 912	22.34%	4 305	-3 379
Corporate exposures: SMEs	IRB-F	0.00 to <0.15	7 674	4 692	51.84%	6 795	0.06%	1 529	19.85%	2.5	561	8.26%	1	-1
Corporate exposures: SMEs	IRB-F	0.15 to <0.25	1 635	2 269	36.96%	2 506	0.16%	1 227	28.01%	2.5	492	19.66%	1	-2
Corporate exposures: SMEs	IRB-F	0.25 to <0.50	1 664	531	57.83%	1 888	0.45%	545	31.13%	2.5	672	35.59%	3	-1
Corporate exposures: SMEs	IRB-F	0.50 to <0.75	2 102	2 387	41.22%	3 076	0.61%	1 611	37.50%	2.5	1 635	53.11%	7	-6
Corporate exposures: SMEs	IRB-F	0.75 to <2.50	1 146	1 509	43.97%	1 636	2.07%	1 151	35.69%	2.5	1 133	69.28%	12	-7
Corporate exposures: SMEs	IRB-F	2.50 to <10.00	497	181	34.34%	552	7.41%	184	32.06%	2.5	465	84.17%	13	-7
Corporate exposures: SMEs	IRB-F	10.00 to <100.00	135	150	53.27%	220	32.15%	126	31.41%	2.5	280	127.30%	21	-9
Corporate exposures: SMEs	IRB-F	100.00 (Default)	62	38	29.16%	70	100.00%	28	42.19%	2.5	0	0.00%	28	-11
Corporate exposures: SMEs	IRB-F	Other												
Corporate exposures: SMEs	IRB-F	Subtotal	14 915	11 757	45.75%	16 743	1.50%	6 401	27.78%	2.5	5 238	31.28%	86	-44

EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2019

Exposure class	IRB Approach ¹	PD scale	Original on-balance-sheet gross exposures, SEK m	Off-balance-sheet exposures pre-CCF, SEK m	Average CCF	EAD post CRM and post CCF, SEK m	Average PD	Number of obligors ²	Average LGD	Average maturity, year	RWAs, SEK m	RWA density	EL, SEK m	Value adjustments and provisions, SEK m
Corporate exposures: SMEs	IRB-A	0.00 to <0.15	491 952	24 483	30.58%	489 601	0.08%	27 230	15.62%	3.5	38 191	7.80%	72	-19
Corporate exposures: SMEs	IRB-A	0.15 to <0.25	24 246	8 411	40.57%	29 326	0.16%	3 226	34.44%	2.6	7 233	24.67%	16	-16
Corporate exposures: SMEs	IRB-A	0.25 to <0.50	104 618	4 023	34.98%	97 812	0.46%	7 023	22.54%	2.8	25 445	26.01%	104	-28
Corporate exposures: SMEs	IRB-A	0.50 to <0.75	22 676	6 670	41.85%	25 281	0.61%	3 300	31.93%	2.7	11 263	44.55%	49	-35
Corporate exposures: SMEs	IRB-A	0.75 to <2.50	41 484	4 490	39.55%	38 234	1.82%	6 029	25.98%	2.9	18 811	49.20%	192	-135
Corporate exposures: SMEs	IRB-A	2.50 to <10.00	5 294	636	40.15%	5 274	7.28%	754	32.85%	2.8	5 033	95.43%	129	-44
Corporate exposures: SMEs	IRB-A	10.00 to <100.00	4 451	534	37.10%	4 267	31.60%	798	33.21%	2.8	5 855	137.19%	439	-146
Corporate exposures: SMEs	IRB-A	100.00 (Default)	2 326	164	29.89%	2 005	100.00%	220	42.03%	2.5	3 926	195.86%	877	-856
Corporate exposures: SMEs	IRB-A	Other												
Corporate exposures: SMEs	IRB-A	Subtotal	697 047	49 411	35.17%	691 800	0.79%	48 580	18.88%	3.3	115 757	16.73%	1 878	-1 279
Corporate exposures: SMEs	Total	0.00 to <0.15	499 630	29 176	34.00%	496 396	0.08%	27 683	15.67%	3.5	38 753	7.81%	73	-20
Corporate exposures: SMEs	Total	0.15 to <0.25	25 881	10 680	39.81%	31 832	0.16%	3 755	33.93%	2.6	7 726	24.27%	17	-19
Corporate exposures: SMEs	Total	0.25 to <0.50	106 282	4 553	37.65%	99 700	0.46%	7 168	22.71%	2.8	26 117	26.20%	106	-29
Corporate exposures: SMEs	Total	0.50 to <0.75	24 777	9 057	41.69%	28 357	0.61%	3 978	32.53%	2.7	12 896	45.48%	56	-40
Corporate exposures: SMEs	Total	0.75 to <2.50	42 629	6 000	40.66%	39 870	1.83%	6 508	26.38%	2.9	19 944	50.02%	204	-142
Corporate exposures: SMEs	Total	2.50 to <10.00	5 790	817	38.86%	5 826	7.29%	816	32.77%	2.7	5 498	94.36%	142	-51
Corporate exposures: SMEs	Total	10.00 to <100.00	4 586	684	40.64%	4 487	31.62%	848	33.12%	2.8	6 134	136.71%	460	-155
Corporate exposures: SMEs	Total	100.00 (Default)	2 388	201	29.76%	2 075	100.00%	226	42.04%	2.5	3 926	189.23%	906	-868
Corporate exposures: SMEs	Total	Other												
Corporate exposures: SMEs	Total	Subtotal	711 963	61 168	37.20%	708 543	0.81%	50 982	19.09%	3.3	120 994	17.08%	1 964	-1 324
Retail exposures	IRB-A	0.00 to <0.15	816 776	42 891	98.42%	859 003	0.07%	1 327 131	14.39%		23 720	2.76%	90	-36
Retail exposures	IRB-A	0.15 to <0.25	67 629	7 126	93.75%	74 324	0.18%	283 032	24.93%		7 115	9.57%	33	-8
Retail exposures	IRB-A	0.25 to <0.50	92 226	3 783	67.67%	94 786	0.32%	313 254	20.05%		11 092	11.70%	62	-14
Retail exposures	IRB-A	0.50 to <0.75	31 363	2 526	84.71%	33 503	0.62%	56 017	25.10%		7 741	23.10%	52	-23
Retail exposures	IRB-A	0.75 to <2.50	36 282	5 672	63.94%	39 928	1.69%	390 185	24.59%		14 857	37.21%	154	-54
Retail exposures	IRB-A	2.50 to <10.00	5 009	1 382	64.22%	5 902	5.86%	99 935	34.16%		3 930	66.58%	121	-68
Retail exposures	IRB-A	10.00 to <100.00	9 674	321	56.37%	9 861	14.00%	55 325	22.69%		9 871	100.11%	361	-117
Retail exposures	IRB-A	100.00 (Default)	2 458	45	57.02%	2 493	100.00%	25 811	36.42%		4 114	165.03%	1 009	-987
Retail exposures	IRB-A	Other												
Retail exposures	IRB-A	Subtotal	1 061 417	63 746	91.48%	1 119 800	0.55%	2 550 352	16.48%		82 440	7.36%	1 882	-1 307
Retail exposures: Secured by real estate property	IRB-A	0.00 to <0.15	805 076	32 870	100.37%	838 082	0.07%	1 001 580	13.98%		22 247	2.65%	84	-31
Retail exposures: Secured by real estate property	IRB-A	0.15 to <0.25	65 635	1 960	103.30%	67 672	0.18%	59 760	23.66%		6 180	9.13%	28	-6
Retail exposures: Secured by real estate property	IRB-A	0.25 to <0.50	80 585	636	81.87%	81 106	0.31%	123 347	19.00%		8 987	11.08%	49	-7
Retail exposures: Secured by real estate property	IRB-A	0.50 to <0.75	28 831	544	91.82%	29 331	0.62%	19 262	24.12%		6 751	23.02%	44	-18
Retail exposures: Secured by real estate property	IRB-A	0.75 to <2.50	29 218	862	93.77%	30 042	1.77%	40 805	20.50%		10 798	35.94%	101	-12
Retail exposures: Secured by real estate property	IRB-A	2.50 to <10.00	2 280	192	86.94%	2 449	5.15%	2 931	29.70%		2 062	84.20%	39	-9
Retail exposures: Secured by real estate property	IRB-A	10.00 to <100.00	8 277	65	102.75%	8 348	12.51%	11 278	19.70%		8 533	102.22%	223	-35
Retail exposures: Secured by real estate property	IRB-A	100.00 (Default)	1 444	5	100.37%	1 455	100.00%	1 910	26.46%		2 614	179.65%	332	-326
Retail exposures: Secured by real estate property	IRB-A	Other												
Retail exposures: Secured by real estate property	IRB-A	Subtotal	1 021 344	37 134	99.87%	1 058 485	0.40%	1 260 535	15.55%		68 172	6.44%	900	-444

EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2019

Exposure class	IRB Approach ¹	PD scale	Original on-balance-sheet gross exposures, SEK m	Off-balance-sheet exposures pre-CCF, SEK m	Average CCF	EAD post CRM and post CCF, SEK m	Average PD	Number of obligors ²	Average LGD	Average maturity, year	RWAs, SEK m	RWA density	EL, SEK m	Value adjustments and provisions, SEK m
Retail exposures: Other	IRB-A	0.00 to <0.15	11 699	10 019	92.00%	20 922	0.08%	325 551	30.69%		1 471	7.03%	5	-5
Retail exposures: Other	IRB-A	0.15 to <0.25	1 994	5 166	90.13%	6 652	0.17%	223 272	37.92%		935	14.06%	4	-2
Retail exposures: Other	IRB-A	0.25 to <0.50	11 640	3 148	64.80%	13 680	0.38%	189 907	26.25%		2 105	15.39%	13	-7
Retail exposures: Other	IRB-A	0.50 to <0.75	2 533	1 982	82.75%	4 172	0.58%	36 755	32.01%		990	23.72%	8	-5
Retail exposures: Other	IRB-A	0.75 to <2.50	7 065	4 810	58.59%	9 886	1.48%	349 380	37.05%		4 059	41.07%	53	-42
Retail exposures: Other	IRB-A	2.50 to <10.00	2 729	1 191	60.57%	3 453	6.37%	97 004	37.32%		1 868	54.09%	82	-60
Retail exposures: Other	IRB-A	10.00 to <100.00	1 398	256	44.66%	1 513	22.27%	44 047	39.22%		1 338	88.44%	139	-82
Retail exposures: Other	IRB-A	100.00 (Default)	1 014	40	51.69%	1 038	100.00%	23 901	50.38%		1 501	144.54%	678	-660
Retail exposures: Other	IRB-A	Other												
Retail exposures: Other	IRB-A	Subtotal	40 072	26 612	79.77%	61 316	3.01%	1 289 817	32.51%		14 267	23.27%	982	-863
Equity exposures	IRB-F	0.00 to <0.15												
Equity exposures	IRB-F	0.15 to <0.25												
Equity exposures	IRB-F	0.25 to <0.50												
Equity exposures	IRB-F	0.50 to <0.75												
Equity exposures	IRB-F	0.75 to <2.50												
Equity exposures	IRB-F	2.50 to <10.00												
Equity exposures	IRB-F	10.00 to <100.00												
Equity exposures	IRB-F	100.00 (Default)												
Equity exposures	IRB-F	Other	3 028			3 028		15			10 299	340.17%	55	0
Equity exposures	IRB-F	Subtotal	3 028			3 028		15			10 299	340.17%	55	0
Total	IRB-F	0.00 to <0.15	412 753	127 564	54.70%	520 460	0.02%	2 877	43.76%	1.5	29 553	5.68%	34	-12
Total	IRB-F	0.15 to <0.25	5 732	3 951	39.66%	7 506	0.19%	1 279	27.85%	2.5	2 391	31.85%	4	-4
Total	IRB-F	0.25 to <0.50	7 664	8 328	46.11%	9 562	0.35%	871	34.61%	2.5	4 422	46.25%	11	-2
Total	IRB-F	0.50 to <0.75	2 132	2 846	44.43%	3 451	0.60%	1 624	38.31%	2.5	2 014	58.35%	8	-6
Total	IRB-F	0.75 to <2.50	3 653	10 627	50.63%	8 214	1.15%	1 406	40.05%	2.5	6 706	81.65%	36	-12
Total	IRB-F	2.50 to <10.00	761	536	58.89%	868	7.95%	217	36.33%	2.5	1 067	122.97%	25	-12
Total	IRB-F	10.00 to <100.00	332	235	50.50%	455	27.70%	146	33.41%	2.5	747	164.04%	39	-16
Total	IRB-F	100.00 (Default)	259	416	88.05%	623	100.00%	38	44.68%	2.5	0	0.00%	239	-239
Total	IRB-F	Other	3 028			3 028		15			10 299	340.17%	55	0
Total	IRB-F	Subtotal	436 314	154 503	53.48%	554 167	0.19%	8 466	43.04%	1.5	57 199	10.32%	451	-303
Total	IRB-A	0.00 to <0.15	1 523 945	247 288	32.93%	1 588 218	0.08%	1 356 918	17.05%	1.5	113 074	7.12%	226	-65
Total	IRB-A	0.15 to <0.25	91 875	15 537	64.97%	103 650	0.17%	286 258	27.62%	0.7	14 349	13.84%	49	-25
Total	IRB-A	0.25 to <0.50	263 364	36 603	26.16%	262 327	0.39%	321 322	23.79%	1.6	68 417	26.08%	245	-66
Total	IRB-A	0.50 to <0.75	54 039	9 195	53.62%	58 784	0.61%	59 317	28.04%	1.2	19 003	32.33%	101	-58
Total	IRB-A	0.75 to <2.50	91 645	27 264	33.45%	94 963	1.64%	396 701	26.93%	1.6	46 183	48.63%	406	-211
Total	IRB-A	2.50 to <10.00	12 900	2 166	54.93%	13 688	6.67%	100 740	33.13%	1.6	12 203	89.15%	309	-140
Total	IRB-A	10.00 to <100.00	14 726	1 244	37.14%	14 792	19.72%	56 158	26.26%	0.9	16 976	114.77%	863	-275
Total	IRB-A	100.00 (Default)	7 914	252	33.68%	7 638	100.00%	26 054	38.82%	1.3	12 188	159.58%	3 606	-3 554
Total	IRB-A	Other												
Total	IRB-A	Subtotal	2 060 408	339 549	34.43%	2 144 060	0.74%	2 603 130	19.37%	1.4	302 393	14.10%	5 805	-4 394
Total	Total	0.00 to <0.15	1 936 697	374 852	40.34%	2 108 678	0.06%	1 358 330	23.64%	1.5	142 626	6.76%	260	-77
Total	Total	0.15 to <0.25	97 607	19 488	59.84%	111 156	0.17%	286 839	27.64%	0.9	16 739	15.06%	53	-29
Total	Total	0.25 to <0.50	271 028	44 931	29.86%	271 889	0.39%	321 615	24.17%	1.7	72 840	26.79%	257	-69
Total	Total	0.50 to <0.75	56 171	12 042	51.45%	62 235	0.61%	60 008	28.61%	1.2	21 017	33.77%	108	-64
Total	Total	0.75 to <2.50	95 298	37 891	38.27%	103 177	1.60%	397 348	27.97%	1.7	52 890	51.26%	441	-223
Total	Total	2.50 to <10.00	13 661	2 701	55.71%	14 556	6.75%	100 826	33.32%	1.6	13 270	91.17%	334	-152
Total	Total	10.00 to <100.00	15 058	1 479	39.26%	15 247	19.96%	56 223	26.47%	0.9	17 723	116.24%	901	-290
Total	Total	100.00 (Default)	8 174	668	67.55%	8 261	100.00%	26 063	39.26%	1.4	12 188	147.53%	3 848	-3 793
Total	Total	Other	3 028			3 028		15			10 299	340.17%	55	0
Total (all portfolios)			2 496 722	494 052	40.38%	2 698 227	0.62%	2 606 916	24.23%	1.5	359 592	13.33%	6 257	-4 697

¹ There are two versions of the IRB Approach: the simplified version, the IRB Approach without own estimates of LGD and CCF (here IRB-F, in previous regulations called the foundation approach), and the more advanced method, the IRB Approach with own estimates of LGD and CCF (here IRB-A, in previous regulations called the advanced approach).

² The amount is based on the number of agreements rather than counterparties for retail exposures.

Evolution of risk exposure amount for credit risk during 2020

In 2020, the Bank's risk exposure amount for credit risk decreased by SEK 42 billion. The standardised approach accounted for a decrease of SEK 3 billion. The changes related to the IRB approach are described in more detail in the text and table below.

The largest decrease in the risk exposure amount during the year came from the implementation of the revised SME supporting factor which was a part of the EU's banking package. This decreased the risk exposure amount by SEK 17 billion. The effect of exchange rate movements, comprising a general strengthening of the Swedish krona, led to a decrease of the risk exposure amount in the IRB approach by SEK 17 billion. Larger lending volumes to mortgages in Sweden increased the effect of the risk weight floor by SEK 13 billion. Changes in asset quality, reflecting the credit quality of the Bank's clients and the quality of collateral, decreased the risk exposure amount by SEK 2 billion. The three main components of asset quality were; new business done with counterparties who had risk weights that were lower than the average in the Bank's existing credit portfolio, SEK -14 billion, impact of improved use of collateral SEK -5 billion and the net effect of existing counterparties having migrated between risk classes – in other words, the net of exposures to customers that migrate to better risk classes and customers that migrate to poorer classes, SEK +17 billion. This negative net migration on existing counterparties was in part related to the corona virus situation.

Excluding the effect of the risk weight floor on Swedish mortgages, the underlying increase in credit volume increased the risk exposure amount by SEK 1 billion. Updates of model estimates decreased the risk exposure amount by SEK 1 billion. With respect to credit risk, the 'Other' item includes factors such as changes in shareholdings, the effects of defaults, and changes in maturity. In net terms, these factors contributed to a decrease in the risk exposure amount of SEK 13 billion.

Table 3.19 EU CR8 – RWA flow statements of credit risk exposures under the IRB Approach

The following table shows the change for risk exposure amount for credit risk calculated by the IRB Approach. It further specifies the capital requirement. The change of risk exposure amount is broken down by type of driver. The risk exposure amount has decreased compared to the previous Period. The main drivers are foreign exchange movements and SME supporting factor.

EU CR8 – RWA flow statements of credit risk exposures under the IRB Approach 2020		RWA amounts	Capital requirements
SEK bn			
1	RWAs as at the end of the previous reporting period	551.3	44.1
2	Asset size	1.2	0.1
3	Asset quality	-1.6	-0.1
4	Model updates	-1.1	-0.1
5	Methodology and policy	-2.9	-0.2
6	Acquisitions and disposals	0.0	0.0
7	Foreign exchange movements	-17.1	-1.4
8a	Risk weight floor for Swedish mortgages	13.0	1.0
8b	SME supporting factor	-17.2	-1.3
8	Other	-13.3	-1.1
9	RWAs as at the end of the reporting period	512.3	41.0

EU CR8 – RWA flow statements of credit risk exposures under the IRB Approach 2019		RWA amounts	Capital requirements
SEK bn			
1	RWAs as at the end of the previous reporting period	541.2	43.3
2	Asset size	3.4	0.3
3	Asset quality	-8.9	-0.7
4	Model updates	-2.7	-0.2
5	Methodology and policy	0.0	0.0
6	Acquisitions and disposals	0.0	0.0
7	Foreign exchange movements	10.3	0.8
8a	Risk weight floor for Swedish mortgages	10.5	0.8
8	Other	-2.5	-0.2
9	RWAs as at the end of the reporting period	551.3	44.1

Figure 3.20 Proportion of counterparties migrating between internal risk classes, corporate exposures, 2016–2020

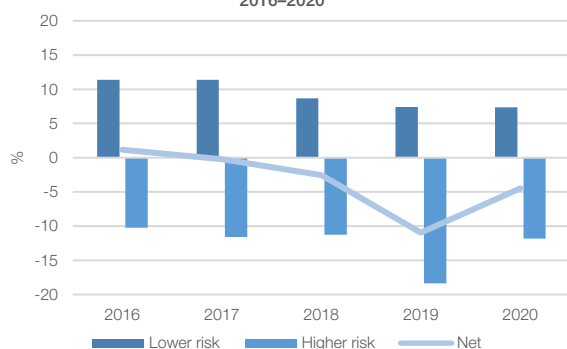
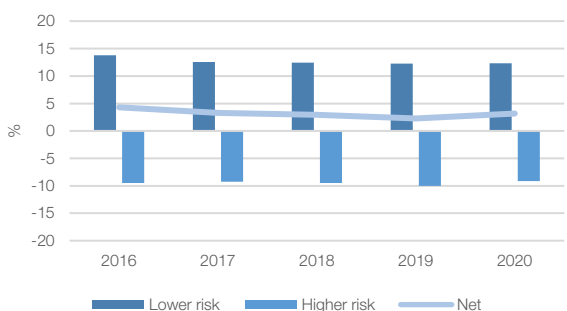


Figure 3.21 Proportion of counterparties migrating between internal risk classes, retail exposures – small companies, 2016–2020



Figure 3.22 Proportion of counterparties whose internal rating migrates, retail exposures – private individuals, 2016–2020



Migrations

Trends in the quality of the credit portfolio can, to some extent, be identified by analysing changes in the internal risk assessment at counterparty level. This is known as rating migration. In this section, the number of migrating counterparties is measured.

Handelsbanken's internal rating method is dynamic, which means that the rating is re-assessed when there are signs that the counterparty's repayment capacity has changed to lower or higher risk. The internal rating is always updated once a year for all counterparties, regardless of whether there are signs that the repayment capacity has changed or not.

Migration for corporate counterparties is monitored at the risk class calculated from the internal rating. In the adjoining figures, the proportion of counterparties migrating between risk classes is presented for corporate exposures and small companies. For small companies, this is done by transforming the two-digit internal rating in to a one-digit figure which corresponds to the internal risk class for corporate exposures. Migration for retail exposures to private individuals is based on the internal rating.

The negative net migration during 2020 for corporates was largely due to Covid-19 effects, mostly for customers outside of the real estate sector. Most of the rating changes were small and primarily between ratings indicating low risk of default.

Securitisation

Handelsbanken has no securitisations of its own. Handelsbanken has limited exposures which are securitisations. These are holdings in bonds and other debt instruments issued by special purpose vehicles. These exposures are only in the Bank's liquidity portfolio. Existing holdings mature at regular intervals and no new investments are made in securitisations. The purpose of the holdings is to utilise them as collateral with various central banks and thus create liquidity facilities.

Handelsbanken has applied the IRB Approach for capital adequacy for securitisations in the non-trading book since Q4 2008.

All securitised exposures were acquired prior to 2008. Handelsbanken's total exposure 2020, as an investor, in securitised exposures after credit risk protection, was SEK 16 million. Handelsbanken has no resecuritisations.

All risks related to the securitisation positions are managed in the same way as the Bank's other processes, since the limited extent of these positions does not justify separate processes.

Table 3.23 Securitisation positions in the non-trading book by risk weight

Securitisation positions in the non-trading book by risk weight 2020				
SEK m	Exposure amount	Risk weight		
		7–10%	12–850%	1 250%
Traditional securitisation	16	-	16	-
Synthetic securitisation	-	-	-	-
Total IRB Approach	16	-	16	-

¹ No securitisation positions in trading portfolio 2019 or 2020

² The exposures have an external rating from Standard & Poors, Moody's and Fitch respectively.

Securitisation positions in the non-trading book by risk weight 2019				
SEK m	Exposure amount	Risk weight		
		7–10%	12–850%	1 250%
Traditional securitisation	-	-	-	-
Synthetic securitisation	-	-	-	-
Total IRB Approach	-	-	-	-

COUNTERPARTY CREDIT RISKS

Counterparty credit risk arises when the Bank has entered into a derivative contract or a contract for the loan of securities with a counterparty. Thus, in addition to derivatives, the capital adequacy regulations treat both repurchase agreements and securities lending as counterparty credit risks.

Counterparty credit risk is regarded as a credit risk where the market value of the contract determines the size of the exposure. If the contract has a positive value, the default of the counterparty means a potential loss for the Bank.

In calculating the capital requirement and economic capital (EC), counterparty credit exposures are taken into account based on the exposure amounts stipulated by the capital adequacy regulations. Handelsbanken applies the mark-to-market method to calculate exposure amounts for derivatives contracts for capital adequacy purposes. To determine the current replacement cost for all contracts with a positive value, the contracts are assigned their prevailing market values. To estimate the possible future credit exposure, the nominal amount of the contract is multiplied by the percentage rate stipulated in the regulations, which depends on the type of derivative and the maturity of the exposure.

Mitigation of counterparty credit risk

Counterparty credit risk occurs from the trade date up until delivery and means that the Bank can incur costs for winding down the position if the counterparty cannot fulfil its obligations. This risk exists in both derivative transactions and in securities financing transactions.

The size of counterparty credit exposures is restricted by setting credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take the risk that the exposure may increase into account, supplements are added to the value of the exposure when setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily.

The Bank has very limited exposure to wrong-way risk as derivative transactions are generally client driven with the purpose of hedging the clients' business from market risk exposures (i.e. the opposite of wrong-way risk). In order to formalise the evaluation of specific wrong-way risk to ensure no client deviates from the general assessment of correlation, a formal evaluation will be integrated in the client onboarding process.

The counterparty credit risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with credit support annex (CSA) agreements, for issuing collateral for the net exposure, which further reduces the counterparty credit risk. The collateral for these transactions is mainly cash, but government instruments are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning ratings-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further collateral for the counterparty in question, in the event of external parties lowering the Bank's rating. At year-end, a downgrading from AA/Aa2 to AA-/Aa3 would have meant the Bank having to provide additional collateral of SEK 60 million (60).

The majority of Handelsbanken's contracts contain close-out netting, and the contracts with the largest exposures also contain CSA agreements.

Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility for fulfilling the parties' obligations. All parties which use a central counterparty must provide collateral for all transactions. In most cases, the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives. The risk-weighted exposure amount for derivative transactions with central counterparties was SEK 123 million (143) at year-end.

Non-cleared derivative transactions also result in capital requirements for credit valuation adjustment (CVA) risk. This risk is related to the counterparty's credit quality. Currently, the Bank does not hedge its CVA risk. The capital requirement for CVA risk was SEK 217 million (329) at year-end.

Payment risk

Payment risk arises in transactions where the Bank has fulfilled its commitments in the form of foreign exchange conversion, payments or delivery of securities, but cannot at the same time ensure that the counterparty has fulfilled its commitments to the Bank. The risk amount equals the amount of the payment transaction. The payment risks are not included in the credit limit of each customer; instead, they are covered by a separate limit. At Handelsbanken, the risk of value changes in spot transactions is categorised as payment risk, while the risk of value changes in derivative transactions is categorised as credit risk.

Table 3.24 Counterparty credit risk broken down into exposure classes, exposure amounts and risk-weighted exposure amounts, IRB Approach

Exposure amount broken down into derivatives and SFTs (securities financing transactions).

Counterparty risk broken down into exposure classes, exposure amounts and risk-weighted exposure amounts, IRB Approach	2020		2019	
	Exposure amount	Risk-weighted exposure amount	Exposure amount	Risk-weighted exposure amount
SEK m				
Exposure classes IRB Approach				
Institution exposures	21 275	5 404	41 109	8 516
Corporate exposures	10 727	3 183	8 509	2 604
Sovereign exposures	4 306	72	3 918	76
Total IRB Approach	36 308	8 659	53 536	11 196

Table 3.25 Counterparty credit risk broken down into exposure classes, exposure values and risk-weighted exposure amounts, standardised approach

Exposure value broken down into derivatives and SFTs (securities financing transactions).

Counterparty risk broken down into exposure classes, exposure values and risk-weighted exposure amounts, standardised approach	2020		2019	
	Exposure value	Risk-weighted exposure amount	Exposure value	Risk-weighted exposure amount
SEK m				
Exposure classes standardised approach				
Institution exposures	6 444	172	7 169	144
<i>of which cleared via central counterparties</i>	6 210	124	7 165	143
Other	63	21	299	19
Total standardised approach	6 507	193	7 468	163
Total IRB and standardised approach	42 815	8 852	61 004	11 359

Table 3.26 Counterparty credit risks in derivative contracts excluding standard add-ons for potential future exposure

Counterparty credit risks in derivative contracts excluding standard add-ons for potential future exposure			
SEK m		2020	2019
Gross fair value		55 958	66 877
Netting benefits		-32 860	-29 673
Netted current credit exposure		23 098	37 204
Collateral held ¹		-14 833	-30 022
Net credit exposure		8 265	7 182

¹ Including collateral used to offset market value in the balance sheet**Table 3.27 Counterparty credit risks in derivative contracts including potential future exposure**

Counterparty credit risks in derivative contracts including potential future exposure 2020					
SEK m	Current set-off exposure	Potential future exposure	Exposure amount	Risk-weighted exposure amount	Capital requirement
Sovereign exposures	1 460	619	2 079	72	6
Institution exposures	10 283	14 596	24 879	5 243	419
Corporate exposures	7 444	4 649	12 093	3 192	255
Others	2	12	14	9	1
Total	19 189	19 876	39 065	8 516	681
<i>of which operations in the trading book</i>	<i>10 493</i>	<i>8 712</i>	<i>19 204</i>	<i>4 157</i>	<i>333</i>

Counterparty credit risks in derivative contracts including potential future exposure 2019

SEK m	Current set-off exposure	Potential future exposure	Exposure amount	Risk-weighted exposure amount	Capital requirement
Sovereign exposures	1 433	577	2 010	76	6
Institution exposures	24 023	21 870	45 893	8 419	674
Corporate exposures	5 103	4 634	9 737	2 604	208
Others	7	15	22	15	1
Total	30 566	27 096	57 662	11 114	889
<i>of which operations in the trading book</i>	<i>7 557</i>	<i>10 459</i>	<i>18 016</i>	<i>3 960</i>	<i>317</i>

Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Capital Markets as a result of customer-driven transactions, in its role as market maker and in connection with the Bank's funding and liquidity management. In addition, market risk arises in the pension system. Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risk, equity price risk, exchange rate risk and commodity price risk.

For a more detailed description of the Banks market risks, see Handelsbanken's Annual Report, note G2.

Table 4.1 EU MR1 – Market risk under the standardised approach

The following table shows capital requirements and REA for market risk according to the standardised approach (CRR) at year-end 2020

EU MR1 – Market risk under the standardised approach SEK m	2020		2019	
	REA	Capital requirements	REA	Capital requirements
Outright products				
Interest rate risk	7 448	596	8 130	651
<i>of which general risk</i>	6 135	491	6 923	554
<i>of which specific risk</i>	1 313	105	1 207	97
Equity risk	26	2	43	3
<i>of which general risk</i>	9	1	12	1
<i>of which specific risk</i>	17	1	30	2
<i>of which CIUs</i>	0	0	1	0
Foreign exchange risk	-	-	-	-
Commodity risk	15	1	54	4
Options				
Scenario approach	24	2	36	3
<i>of which interest rate risk</i>	1	0	3	0
<i>of which equity risk</i>	23	2	33	3
<i>of which foreign exchange risk</i>	-	-	-	-
<i>of which commodity risk</i>	-	-	-	-
Securitisation (specific risk)	-	-	-	-
Settlement risk	0	0	9	1
Total	7 513	601	8 272	662

Funding and liquidity risk

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations as they fall due without being affected by unacceptable costs or losses.

The Bank has a low tolerance of liquidity risks and works actively to minimise them, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of high quality.

For a more detailed description of the Banks funding and liquidity risk, see Handelsbanken's Annual Report, note G2.

Table 5.1 EU LIQ1 – LCR disclosure template

The following table shows weighted and unweighted components and levels for the liquidity coverage ratio (LCR) where the values presented are simple averages of month-end observations over the 12 months preceding the end of each quarter.

EU LIQ1 – LCR disclosure template Consolidated situation		Total unweighted value (average)				Total weighted value (average)			
SEK m	Quarter ending on	31 Dec 20	30 Sep 20	30 Jun 20	31 Mar 20	31 Dec 20	30 Sep 20	30 Jun 20	31 Mar 20
	Number of data points used in the calculation of averages	12	12	12	12	12	12	12	12
	HIGH-QUALITY LIQUID ASSETS								
1	Total high-quality liquid assets (HQLA)					736 681	718 947	684 750	615 336
	CASH – OUTFLOWS								
2	Retail deposits and deposits from small business customers, of which:								
3	Stable deposits	681 138	674 662	674 225	672 285	60 045	59 721	60 177	60 490
4	Less stable deposits	310 944	306 135	302 327	298 308	15 547	15 307	15 116	14 915
5	Unsecured wholesale funding	370 194	368 527	371 898	373 977	44 498	44 414	45 061	45 575
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	770 550	752 138	719 646	645 762	411 921	410 476	401 028	352 910
7	Non-operational deposits (all counterparties)	315 703	293 330	267 463	240 657	76 893	71 448	65 218	58 751
8	Unsecured debt	376 723	381 989	367 145	326 818	256 904	262 209	250 772	215 872
9	Secured wholesale funding	78 124	76 819	85 038	78 287	78 124	76 819	85 038	78 287
10	Additional requirements	6 751	6 338	6 271	7 103	6 751	6 338	6 271	7 103
11	Outflows related to derivative exposures and other collateral requirements	419 388	365 624	307 986	269 385	61 813	56 482	46 597	40 266
12	Outflows related to loss of funding on debt products	19 758	19 190	14 255	11 732	18 932	18 514	13 735	11 267
13	Credit and liquidity facilities	-	-	-	-	-	-	-	-
14	Other contractual funding obligations	399 630	346 434	293 731	257 653	42 881	37 968	32 862	28 999
15	Other contingent funding obligations	4 707	5 194	4 848	4 052	4 707	5 194	4 848	4 052
16	TOTAL CASH OUTFLOWS	132 927	181 231	231 312	271 224	1 028	1 243	1 549	1 843
	CASH – INFLOWS								
17	Secured lending (e.g. reverse repos)	-	-	-	-	546 265	539 454	520 470	466 664
18	Inflows from fully performing exposures	34 830	40 442	45 027	50 377	21 147	23 829	25 314	27 013
19	Other cash inflows	49 708	49 692	51 881	52 609	26 825	26 963	28 495	29 167
EU-19a	(Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies)	17 576	18 675	22 321	20 723	17 576	18 675	22 322	20 722
EU-19b	(Excess inflows from a related specialised credit institution)	-	-	-	-	-	-	-	-
20	TOTAL CASH INFLOWS	102 114	108 809	119 229	123 709	65 548	69 467	76 131	76 902
EU-20a	Fully exempt inflows	-	-	-	-	-	-	-	-
EU-20b	Inflows subject to 90% cap	-	-	-	-	-	-	-	-
EU-20c	Inflows subject to 75% cap	100 308	104 350	112 357	114 237	65 548	69 467	76 131	76 902
21	LIQUIDITY BUFFER					736 681	718 947	684 750	615 336
22	TOTAL NET CASH OUTFLOWS					480 717	469 987	444 339	389 762
23	LIQUIDITY COVERAGE RATIO (%)					154	154	155	158

Table 5.2 Encumbered and unencumbered assets

The following table shows encumbered and unencumbered assets. The information is presented as quarterly medians over the previous 12 months.

Encumbered and unencumbered assets 2020		Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of unencumbered assets		Fair value of unencumbered assets	
		of which notionally eligible EHQLA and HQLA		of which notionally eligible EHQLA and HQLA		of which EHQLA and HQLA		of which EHQLA and HQLA	
SEK m		010	030	040	050	060	080	090	100
010	Assets of the reporting institution	721 472	6 818			2 538 413	168 985		
030	Equity instruments	5 093	0			13 941	0		
040	Debt securities	8 263	6 818	8 262	6 818	171 163	168 985	171 163	168 985
050	of which: covered bonds	1 614	1 614	1 614	1 614	36 201	35 879	36 201	35 879
060	of which: asset-backed securities	0	0	0	0	0	0	0	0
070	of which: issued by general governments	3 529	3 529	3 529	3 529	25 260	25 260	25 260	25 260
080	of which: issued by financial corporations	1 614	1 614	1 614	1 614	37 931	37 406	37 931	37 406
090	of which: issued by non-financial corporations	0	0	0	0	3 742	349	3 125	349
120	Other assets	708 475	0			2 363 772	0		

Table 5.3 Collateral received

The following table shows collateral received. The information is presented as quarterly medians over the previous 12 months.

Collateral received 2020		Fair value of encumbered collateral received or own debt securities issued		Unencumbered	
		of which notionally eligible EHQLA and HQLA		Fair value of collateral received or own debt securities issued available for encumbrance	
SEK m		010	030	040	060
130	Collateral received by the reporting institution	12 816	3 264	20 621	16 473
140	Loans on demand	0	0	0	0
150	Equity instruments	9 553	0	3 858	0
160	Debt securities	3 264	3 264	16 524	16 473
170	of which: covered bonds	1 727	1 727	9 055	9 026
180	of which: asset-backed securities	0	0	0	0
190	of which: issued by general governments	1 397	1 397	1 765	1 743
200	of which: issued by financial corporations	2 124	2 124	14 759	14 730
210	of which: issued by non-financial corporations	0	0	0	0
220	Loans and advances other than loans on demand	0	0	0	0
230	Other collateral received	0	0	0	0
240	Own debt securities issued other than own covered bonds or asset-backed securities	0	0	0	0
241	Own covered bonds and asset-backed securities issued and not yet pledged			0	0
250	Total assets, collateral received and own debt securities issued	735 846	11 542		

Table 5.4 Sources of encumbrance

The following table shows sources of encumbrance. The information is presented as quarterly medians over the previous 12 months.

Sources of encumbrance 2020		Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
SEK m		010	030
010	Carrying amount of selected financial liabilities	646 899	712 634

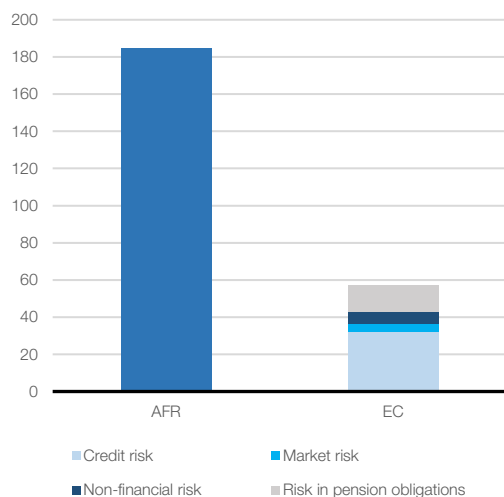
Economic capital

Group Risk Control is responsible for comprehensive monitoring of the Group's various risks. The Bank's model for economic capital (EC) is an instrument in this monitoring. It is also part of the Bank's assessment of the internal capital requirement which is reported regularly to the Board. This assessment is intended to ensure that the Group has sufficient capital at all times in relation to all risks in the Group. The Group perspective means that EC includes risks in the insurance operations and risks in the Bank's pension obligations.

Handelsbanken's model for calculating EC identifies in one measurement the Group's overall risks and indicates the capital that, with very high probability, will cover unexpected losses or decreases in value. The capital and other financial resources that form a buffer to absorb negative outcomes are called available financial resources (AFR).

For a more detailed description of the Bank's capital, see Handelsbanken's Annual Report, note G2.

Figure 6.1 Total of AFR and EC including diversification 2020
SEK bn



Operational risk

Handelsbanken has a low tolerance for operational risk and strives to keep the operational risk at a low level so that the operational losses remain low.

Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk.

The Board has established the Handelsbanken Group's tolerance for operational risk. Handelsbanken has a low tolerance of operational risk, while operational risk is an inevitable component of all operations at the Bank. An operational risk that may lead to a material deterioration of the Group's profit must be reduced through risk-mitigation measures to a lower risk level so that the risks lie within the Bank's risk tolerance, that is, so that the consequences and/or probability of an incident become acceptable. Losses resulting from an operational risk event can be covered by insurance or other solutions.

Operational risk must be managed so that the Group's operational losses remain low. The Group Chief Executive has established limits and threshold levels for operational risk. Risks above the limit must have an action plan for risk-mitigation measures. The action plan must also be sufficient and the plan must be progressing according to the approved time schedule.

Handelsbanken's operational losses, which comprise expected and recognised operational losses and any recoveries, totalled SEK 89 million in 2020 (47). It is not unusual that the amount referring to operational losses is adjusted over time due to recoveries, or that additional losses are added which are related to a previously reported incident. This may affect the comparison figures for previously reported losses.

ORGANISATIONAL STRUCTURE

The responsibility for identifying, assessing and managing operational risk is an integral part of managerial responsibility at all levels in the Handelsbanken Group. The Bank's decentralised way of working and cost-consciousness promote good management of operational risk, which leads to vigilance against potential loss risks in daily procedures and events.

Operational risk management is described in Handelsbanken's Annual Report, note G2.

CAPITAL REQUIREMENT FOR OPERATIONAL RISK

Handelsbanken uses the standardised approach to calculate the capital requirement for operational risk. According to the standardised approach, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

At the end of 2020, the total capital requirement for operational risk for the consolidated situation was SEK 5 489 million (5 282).

Compliance risk

Handelsbanken has a low tolerance of compliance risks and, as far as possible, must prevent these risks. In cases where the Compliance function has reported a compliance risk as major or critical, and there is no action plan, or Compliance considers the action plan to be inadequate, the risk level is regarded as being outside the Bank's risk tolerance.

Compliance risks are the risks that are associated with inadequate compliance.

By compliance is meant the observance of regulations, laws, directives and recommendations from public authorities, internal rules, as well as generally accepted business practices or standards relating to operations that are subject to a license conducted by the Handelsbanken Group. The Handelsbanken Group has high ambitions regarding good administrative order, ethical standards and compliance with laws and regulations. In its Policy for Compliance, Handelsbanken's Board has established that the Handelsbanken Group "has a low tolerance of compliance risks and, as far as possible, must prevent these risks." Inadequate compliance may lead to increased operational risks, risk of sanctions or other interventions, financial losses or a loss of confidence in the Handelsbanken Group's operations. Measures to ensure that compliance is observed are part of internal control and the responsibility for ensuring compliance rests with function managers, and product owners, as well as with managers and employees of Handelsbanken. The primary responsibilities of the Compliance function are to work actively to ensure a high level of compliance and to ensure that the low tolerance of compliance risks is fulfilled. The work of the Compliance function aims to protect the Bank from compliance risks. Management of compliance risk is described in Handelsbanken's Annual Report.

ORGANISATION

The Compliance function is organised into Group Compliance as well as local compliance units in subsidiaries and other legal entities. All compliance units must be independent of the business operations and organisationally separate from the functions and areas which are subject to control.

Tables

CREDIT RISK

Information about past due and impaired loans

Table T1 EU CR1-B – Credit quality of exposures by industry or counterparty types

The following table specifies gross exposures by exposure class and by industry. It further specifies credit risk adjustments, write-offs and net values. Specific credit risk adjustment has decreased compared to the previous period. The total net value has increased compared to the previous period. Please note that Accumulated write-offs have increased compared to previous publications. This is due to the fact that Handelsbanken from Q3 2020 also recognize historical write-offs where the entire loan has been written off but where Handelsbanken still have a claim towards the original obligor.

EU CR1-B – Credit quality of exposures by industry or counterparty types 2020		Gross carrying values of						
		Defaulted exposures	Non-defaulted exposures	Specific credit risk adjustment	General credit risk adjustment	Accumulated write-offs	Credit risk adjustment charges	Net values
SEK m								
1	Agriculture, forestry and fishing	120	61 738	109		0	37	61 749
2	Mining and quarrying	1	8 945	40		0	1	8 906
3	Manufacturing	265	91 953	227		51	95	91 991
4	Electricity, gas, steam and air conditioning supply	3	30 320	5		0	1	30 318
5	Water supply	1	4 238	8		0	0	4 231
6	Construction	253	71 195	224		51	70	71 224
7	Wholesale and retail trade	557	60 881	243		961	66	61 195
8	Transport and storage	1 206	24 111	348		0	166	24 969
9	Accommodation and food service activities	73	37 463	256		101	8	37 280
10	Information and communication	98	11 118	79		0	38	11 137
10a	Financial and insurance activities	139	90 236	103		0	37	90 272
11	Real estate activities	1 038	809 223	476		354	167	809 785
12	Professional, scientific and technical activities	261	142 700	195		0	78	142 766
13	Administrative and support service activities	156	15 649	100		0	42	15 705
14	Public administration and defence, compulsory social security	322	50 225	5		0	0	50 542
15	Education	31	14 881	37		0	17	14 875
16	Human health services and social work activities	11	30 744	16		0	3	30 739
17	Arts, entertainment and recreation	138	12 900	92		0	31	12 946
17a	Activities of households as employers	0	1 401	0		0	0	1 401
17b	Activities of extraterritorial organisations and bodies	9	1 992	7		0	2	1 994
18	Other services¹	2 764	1 674 744	1 263		2 428	431	1 676 246
19	Total	7 446	3 246 658	3 833		3 946	1 290	3 250 271

¹ Other services include retail exposures.

EU CR1-B – Credit quality of exposures by industry or counterparty types 2019		Gross carrying values of						
		Defaulted exposures	Non-defaulted exposures	Specific credit risk adjustment	General credit risk adjustment	Accumulated write-offs	Credit risk adjustment charges	Net values
SEK m								
1	Agriculture, forestry and fishing	142	56 472	89		0	23	56 525
2	Mining and quarrying	0	5 763	2		0	0	5 761
3	Manufacturing	1 416	95 021	1 313		248	491	95 124
4	Electricity, gas, steam and air conditioning supply	9	34 062	12		0	3	34 059
5	Water supply	0	5 154	8		390	0	5 146
6	Construction	505	76 476	322		0	105	76 659
7	Wholesale and retail trade	250	68 853	200		496	55	68 903
8	Transport and storage	2 002	29 242	565		213	211	30 679
9	Accommodation and food service activities	57	15 248	32		0	5	15 273
10	Information and communication	85	10 542	76		0	27	10 551
10a	Financial and insurance activities	128	93 770	110		106	32	93 788
11	Real estate activities	1 045	833 467	460		709	110	834 052
12	Professional, scientific and technical activities	181	142 507	131		0	32	142 557
13	Administrative and support service activities	52	19 564	52		0	14	19 564
14	Public administration and defence, compulsory social security	294	48 069	8		0	0	48 355
15	Education	71	18 768	22		0	7	18 817
16	Human health services and social work activities	83	26 944	13		0	1	27 014
17	Arts, entertainment and recreation	132	12 627	67		0	23	12 692
17a	Activities of households as employers	0	1 462	0		0	0	1 462
17b	Activities of extraterritorial organisations and bodies	9	1 586	5		0	1	1 590
18	Other services¹	3 083	1 588 593	1 328		673	367	1 590 348
19	Total	9 544	3 184 190	4 815		2 835	1 507	3 188 919

¹ Other services include retail exposures.

Table T2 EU CR1-C – Credit quality of exposures by geography

The following table specifies gross exposures by exposure class and by geography. It further specifies credit risk adjustments, write-offs and net values. The total net value has increased compared to the previous period. Please note that Accumulated write-offs have increased compared to previous publications. This is due to the fact that Handelsbanken from Q3 2020 also recognize historical write-offs where the entire loan has been written off but where Handelsbanken still have a claim towards the original obligor.

EU CR1-C - Credit quality of exposures by geography 2020		Gross carrying values of						
		Defaulted exposures	Non-defaulted exposures	Specific credit risk adjustment	General credit risk adjustment	Accumulated write-offs	Credit risk adjustment charges	Net values
SEK m								
1	Sweden	2 464	1 847 939	1 612		2 764	540	1 848 791
2	UK	870	384 721	426		-	69	385 165
3	Norway	1 397	342 973	517		113	181	343 853
4	Denmark	543	154 498	397		1 031	139	154 644
5	Finland	1 977	291 696	736		38	308	292 937
6	The Netherlands	24	83 726	35		-	2	83 715
18	Other countries	171	141 105	110		-	51	141 166
19	Total	7 446	3 246 658	3 833		3 946	1 290	3 250 271

EU CR1-C - Credit quality of exposures by geography 2019		Gross carrying values of						
		Defaulted exposures	Non-defaulted exposures	Specific credit risk adjustment	General credit risk adjustment	Accumulated write-offs	Credit risk adjustment charges	Net values
SEK m								
1	Sweden	3 743	1 729 581	2 469		52	801	1 730 855
2	UK	782	405 929	262		-	38	406 449
3	Norway	2 019	369 545	748		151	247	370 816
4	Denmark	1 019	159 537	427		1 124	130	160 129
5	Finland	1 507	289 487	620		3	191	290 374
6	The Netherlands	27	74 654	12		-	1	74 669
18	Other countries	447	155 457	277		-	99	155 627
19	Total	9 544	3 184 190	4 815		2 835	1 507	3 188 919

TABLES

Table T3 Credit quality of performing and non-performing exposures by past due days

Gross carrying amount of performing and non-performing exposures according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

Credit quality of performing and non-performing exposures by past due days 2020		Gross carrying amount/nominal amount											
		Performing exposures				Non-performing exposures							
		Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days	Unlikely to pay that are not past due or are past due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 year ≤ 2 years	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	Of which defaulted		
SEK m													
1	Loans and advances	2 313 174	2 311 639	1 535	7 078	4 763	336	659	487	495	121	216	6 698
2	Central banks	21 396	21 396	-	-	-	-	-	-	-	-	-	-
3	General governments	9 536	9 536	-	137	123	14	-	-	-	-	-	127
4	Credit institutions	18 349	18 349	0	6	0	-	-	-	-	-	6	6
5	Other financial corporations	25 923	25 917	6	50	26	-	20	3	1	-	-	50
6	Non-financial corporations	998 746	997 829	917	3 999	2 993	99	364	207	191	51	93	3 841
7	Of which SMEs	718 671	718 040	631	2 091	1 309	88	314	167	129	29	56	1 942
8	Households	1 239 224	1 238 612	612	2 887	1 622	223	275	278	303	70	117	2 674
9	Debt securities	129 809	129 809	-	-	-	-	-	-	-	-	-	-
10	Central banks	71 326	71 326	-	-	-	-	-	-	-	-	-	-
11	General governments	23 861	23 861	-	-	-	-	-	-	-	-	-	-
12	Credit institutions	34 622	34 622	-	-	-	-	-	-	-	-	-	-
13	Other financial corporations	-	-	-	-	-	-	-	-	-	-	-	-
14	Non-financial corporations	-	-	-	-	-	-	-	-	-	-	-	-
15	Off-balance-sheet exposures	543 348			437								433
16	Central banks	-			-								-
17	General governments	26 424			73								73
18	Credit institutions	14 011			0								0
19	Other financial corporations	15 483			1								1
20	Non-financial corporations	380 845			338								335
21	Households	106 585			25								25
22	Total	2 986 331	2 441 448	1 535	7 515	4 763	336	659	487	495	121	216	7 131

In 2018, the European Banking Authority (EBA) published its final Guidelines on disclosure of non-performing and forborne exposures. The Guidelines aim to enhance credit institutions' disclosures on the credit quality of assets by defining the common content and uniform disclosure formats for disclosures of NPEs, forborne exposures and foreclosed assets. The Guidelines include a set of common templates applicable to all banks and additional templates applicable only to significant credit institutions with a gross NPL ratio of 5 per cent or above. Handelsbanken's disclosures in accordance with the EBA guidelines are made using the common templates since Handelsbanken has a gross NPL ratio well below 5 per cent.

TABLES

Credit quality of performing and non-performing exposures by past due days 2019		Gross carrying amount/nominal amount											
		Performing exposures			Non-performing exposures								
		Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days	Unlikely to pay that are not past due or are past due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 year ≤ 2 years	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	Of which defaulted		
SEK m													
1	Loans and advances	2 658 454	2 657 580	874	9 145	6 609	349	527	654	540	279	187	9 145
2	Central banks	347 386	347 386	-	-	-	-	-	-	-	-	-	-
3	General governments	12 607	12 607	-	-	-	-	-	-	-	-	-	-
4	Credit institutions	17 745	17 745	0	-	0	-	-	-	-	-	-	-
5	Other financial corporations	23 192	23 186	6	28	25	0	3	0	0	0	0	28
6	Non-financial corporations	1 038 410	1 038 128	282	5 342	4 639	56	191	144	145	87	80	5 342
7	Of which SMEs	727 166	726 943	223	2 040	1 537	41	160	97	102	51	52	2 040
8	Households	1 219 114	1 218 528	586	3 774	1 945	293	336	507	394	192	107	3 774
9	Debt securities	6 380	6 380	-	-	-	-	-	-	-	-	-	-
10	Central banks	1 006	1 006	-	-	-	-	-	-	-	-	-	-
11	General governments	403	403	-	-	-	-	-	-	-	-	-	-
12	Credit institutions	4 971	4 971	-	-	-	-	-	-	-	-	-	-
13	Other financial corporations	-	-	-	-	-	-	-	-	-	-	-	-
14	Non-financial corporations	-	-	-	-	-	-	-	-	-	-	-	-
15	Off-balance-sheet exposures	534 662			652								652
16	Central banks	-			-								-
17	General governments	17 441			-								-
18	Credit institutions	14 574			1								1
19	Other financial corporations	8 551			-								-
20	Non-financial corporations	415 564			585								585
21	Households	78 532			66								66
22	Total	3 199 496	2 663 960	874	9 797	6 609	349	527	654	540	279	187	9 797

TABLES

Table T4 Performing and non-performing exposures and related provisions

Gross carrying amount of performing and non-performing exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, accumulated partial write-off, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

Performing and non-performing exposures and related provisions 2020		Gross carrying amount/nominal amount						Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions						Collateral and financial guarantees received		
		Performing exposures		Non-performing exposures		Performing exposures accumulated impairment and provisions		Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Accumulated partial write off						
			Of which stage 1	Of which stage 2		Of which stage 2	Of which stage 3		Of which stage 1		Of which stage 2		Of which stage 2	Of which stage 3	On performing exposures	On non-performing exposures
SEK m																
1	Loans and advances	2 313 174	2 237 188	75 994	7 078	372	6 698	-1 214	-386	-828	-2 250	-12	-2 238	-3	2 154 417	3 530
2	Central banks	21 396	21 396	-	-	-	-	0	0	-	-	-	-	-	-	-
3	General governments	9 536	9 348	188	137	10	127	-3	-1	-2	-49	0	-49	-	8 494	72
4	Credit institutions	18 349	18 345	3	6	-	6	-2	-2	0	-6	-	-6	-	18 347	0
5	Other financial corporations	25 923	24 696	1 227	50	-	50	-14	-3	-11	-10	-	-10	-	18 297	40
6	Non-financial corporations	998 746	947 035	51 712	3 999	157	3 841	-783	-197	-585	-1 329	-7	-1 322	-	882 232	1 878
7	Of which SMEs	718 671	688 580	30 261	2 091	149	1 942	-503	-135	-368	-648	-6	-642	-	678 868	1 345
8	Households	1 239 224	1 216 367	22 864	2 887	205	2 674	-413	-183	-229	-856	-5	-852	-3	1 227 047	1 540
9	Debt securities	129 809	7 821	-	-	-	-	-2	-2	-	-	-	-	-	1 289	-
10	Central banks	71 326	762	-	-	-	-	-	-	-	-	-	-	-	-	-
11	General governments	23 861	-	-	-	-	-	-	-	-	-	-	-	-	401	-
12	Credit institutions	34 622	6 141	-	-	-	-	-2	-2	-	-	-	-	-	889	-
13	Other financial corporations	-	918	-	-	-	-	-	-	-	-	-	-	-	-	-
14	Non-financial corporations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15	Off-balance-sheet exposures	543 348	390 594	12 096	437	4	316	-246	-90	-156	-119	0	-119		190 857	262
16	Central banks	-	-	-	-	-	-	-	-	-	-	-	-		-	-
17	General governments	26 424	20 058	28	73	-	61	0	0	0	-48	-	-48		192	13
18	Credit institutions	14 011	12 241	353	0	-	0	-6	-1	-4	-	-	-		328	0
19	Other financial corporations	15 483	8 083	173	1	-	1	-1	-1	-1	-1	-	-1		6 248	-
20	Non-financial corporations	380 845	244 449	10 722	338	3	230	-166	-46	-120	-70	0	-70		121 817	242
21	Households	106 585	105 763	820	25	1	25	-73	-42	-31	0	0	0		62 272	8
22	Total	2 986 331	2 635 604	88 090	7 515	376	7 014	-1 463	-479	-984	-2 370	-12	-2 358	-3	2 346 564	3 793

Performing and non-performing exposures and related provisions 2019		Gross carrying amount/nominal amount						Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions						Collateral and financial guarantees received		
		Performing exposures			Non-performing exposures			Performing exposures accumulated impairment and provisions		Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			Accumulated partial write off	On performing exposures	On non-performing exposures	
SEK m		Of which stage 1	Of which stage 2		Of which stage 2	Of which stage 3		Of which stage 1	Of which stage 2		Of which stage 2	Of which stage 3				
1	Loans and advances	2 658 454	2 598 043	51 591	9 145	291	8 831	-799	-362	-437	-3 773	-6	-3 767	-113	2 226 472	6 057
2	Central banks	347 386	347 386	-	-	-	-	-	-	-	-	-	-	-	-	-
3	General governments	12 607	12 241	366	-	-	-	-2	-1	-1	-	-	-	-	6 951	-
4	Credit institutions	17 745	17 488	247	-	-	-	-4	-2	-2	-	-	-	-	4 808	7
5	Other financial corporations	23 192	22 901	263	28	-	28	-6	-2	-3	-14	-	-14	-4	16 001	22
6	Non-financial corporations	1 038 410	1 009 030	24 102	5 342	59	5 281	-456	-202	-253	-2 676	-2	-2 674	-86	967 057	3 571
7	Of which SMEs	727 166	707 731	17 442	2 040	47	1 993	-363	-158	-204	-650	-1	-649	-62	715 678	1 534
8	Households	1 219 114	1 188 997	26 613	3 774	233	3 527	-332	-154	-177	-1 083	-4	-1 079	-24	1 231 654	2 457
9	Debt securities	6 380	6 380	-	-	-	-	-2	-2	-	-	-	-	-	1 551	-
10	Central banks	1 006	1 006	-	-	-	-	-	-	-	-	-	-	-	-	-
11	General governments	403	403	-	-	-	-	-	-	-	-	-	-	-	403	-
12	Credit institutions	4 971	4 971	-	-	-	-	-2	-2	-	-	-	-	-	-	-
13	Other financial corporations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14	Non-financial corporations	-	-	-	-	-	-	-	-	-	-	-	-	-	1 148	-
15	Off-balance-sheet exposures	534 662	350 635	7 478	652	1	651	-135	-69	-66	-3 873	-	-106	-	86 670	523
16	Central banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
17	General governments	17 441	10 339	36	-	-	-	-	-	-	-	-	-	-	266	-
18	Credit institutions	14 574	10 364	522	1	-	1	-9	-1	-8	-9	-	-	-	742	1
19	Other financial corporations	8 551	6 459	139	-	-	-	-2	-1	-1	-14	-	-	-	1 466	-
20	Non-financial corporations	415 564	253 293	6 144	586	1	585	-79	-36	-42	-2 772	-	-98	-	66 996	487
21	Households	78 532	70 180	636	66	0	66	-46	-31	-14	-1 078	-	-8	-	17 201	36
22	Total	3 199 496	2 955 058	59 069	9 797	293	9 488	-936	-433	-503	-7 646	-6	-3 873	-113	2 314 693	6 580

Table T5 EU CR2-B – Changes in the stock of defaulted and impaired loans and debt securities

The following table shows the changes for the amount of defaulted loans, impaired loans and impaired debt securities. The closing balance has decreased compared to the previous period.

EU CR2-B – Changes in the stock of defaulted and impaired loans and debt securities 2020		Gross carrying value defaulted exposures
SEK m		
1	Opening balance	9 145
2	Loans and debt securities that have defaulted or impaired since the last reporting period	1 372
3	Returned to non-defaulted status	-589
4	Amounts written-off	-1 834
5	Other changes	-1 092
6	Closing balance	7 002

EU CR2-B – Changes in the stock of defaulted and impaired loans and debt securities 2019		Gross carrying value defaulted exposures
SEK m		
1	Opening balance	7 730
2	Loans and debt securities that have defaulted or impaired since the last reporting period	2 131
3	Returned to non-defaulted status	-386
4	Amounts written-off	-501
5	Other changes	171
6	Closing balance	9 145

Table T6 Change in provision for probable loan losses

The following table shows the changes for the amount of general and specific credit risk adjustments. The closing balance has decreased compared to the previous period. Figures for 2019 have been updated to match those in the 2019 annual report.

Change in provision for expected loan losses 2020 SEK m	Stage 1	Stage 2	Stage 3	Total
Provision at beginning of year	-432	-510	-3 873	-4 815
Derecognised assets	90	123	156	369
Write-offs	0	2	1 755	1 757
Remeasurements due to changes in credit risk	-261	-146	-84	-491
Changes due to update in the methodology for estimation			0	0
Foreign exchange effect, etc.	21	24	76	121
Purchased or originated assets	-112	-103	-20	-235
Transfer to Stage 1	-19	33	3	17
Transfer to Stage 2	121	-575	9	-445
Transfer to Stage 3	113	155	-379	-111
Provision at end of period	-479	-997	-2 357	-3 833

Change in provision for expected loan losses 2019 SEK m	Stage 1	Stage 2	Stage 3	Total
Provision at beginning of year	-394	-624	-2 937	-3 955
Derecognised assets	54	120	81	255
Write-offs	1	1	419	421
Remeasurements due to changes in credit risk	-207	-133	-43	-383
Changes due to update in the methodology for estimation	-2	-3	-	-5
Foreign exchange effect, etc.	-12	-10	-47	-69
Purchased or originated assets	-59	-26	-16	-101
Transfer to Stage 1	-30	63	1	34
Transfer to Stage 2	104	-256	20	-132
Transfer to Stage 3	113	358	-1 351	-880
Provision at end of period	-432	-510	-3 873	-4 815

Table T7 EU CR3 – CRM techniques – Overview

The table shows secured exposures and unsecured exposures. The outstanding secured exposures are broken down by amounts secured by collateral, guarantees and credit derivatives. Relations are in line with the previous period.

EU CR3 - CRM techniques - Overview 2020		Exposures unsecured – Carrying amount	Exposures secured – Carrying amount	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
SEK m						
1	Total loans	960 345	2 280 800	2 184 828	95 972	-
2	Total debt securities	8 725	401	-	401	-
3	Total exposures	969 070	2 281 201	2 184 828	96 373	-
4	Of which defaulted	2 293	2 796	2 360	436	-

EU CR3 - CRM techniques - Overview 2019

		Exposures unsecured – Carrying amount	Exposures secured – Carrying amount	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
SEK m						
1	Total loans	963 743	2 248 125	2 147 420	100 705	-
2	Total debt securities	5 963	403	0	403	-
3	Total exposures	969 706	2 248 528	2 147 420	101 108	-
4	Of which defaulted	2 818	2 854	2 459	395	-

Table T8 Credit quality of forborne exposures

Gross carrying amount of forborne exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

Credit quality of forborne exposures 2020		Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forborne exposures	
		Non-performing forborne				On performing forborne exposures	On non-performing forborne exposures	Of which collateral and financial guarantees received on non-performing exposures with forbearance measures	
SEK m		Performing forborne	Of which defaulted	Of which impaired					
1	Loans and advances	6 977	3 539	3 087	2 425	-108	-1 146	7 083	1 767
2	Central banks	2	0	0	0	0	0	0	0
3	General governments	7	20	10	0	0	0	17	10
4	Credit institutions	0	0	0	0	0	0	0	0
5	Other financial corporations	39	9	9	9	0	-8	40	1
6	Non-financial corporations	4 018	2 532	2 375	1 852	-79	-781	3 820	1 248
7	Households	2 911	977	692	564	-29	-357	3 207	508
8	Debt Securities	0	0	0	0	0	0	0	0
9	Loan commitments given	270	233	219	100	-6	-38	108	18
10	Total	7 248	3 771	3 306	2 525	-113	-1 184	7 191	1 785

Table T9 Collateral obtained by taking possession and execution processes

Information on the instruments that were cancelled in exchange for the collateral obtained by taking possession and on the value of the collateral obtained by taking possession.

Collateral obtained by taking possession and execution processes 2020		Value at initial recognition	Accumulated negative changes
SEK m			
1	Property, plant and equipment (PP&E)	-	-
2	Other than PP&E	4	-
3	Residential immovable property	2	-
4	Commercial immovable property	-	-
5	Movable property (auto, shipping, etc.)	2	-
6	Equity and debt instruments	-	-
7	Other	-	-
8	Total	4	-

Table T10 EU CRB-C – Geographical breakdown of exposures

The table below shows the total exposure broken down by exposure class and geographic area at year-end. It comprises figures obtained using both the standardised and the IRB Approach. The total exposure has increased compared to the previous period.

EU CRB-C – Geographical breakdown of exposures 2020		Net value							
		Sweden	UK	Norway	Denmark	Finland	The Netherlands	Other countries	Total
SEK m									
1	Central governments or central banks	105 279	102 444	22 149	20 241	121 512	11 050	69 691	452 366
2	Institutions	6 797	1 157	5 233	969	620	161	6 898	21 835
3	Corporates	769 709	200 061	208 018	55 858	123 918	4 612	46 513	1 408 689
4	Retail	937 596	869	104 175	70 653	39 139	133	4 784	1 157 349
5	Equity	345		48	406				799
6	Total IRB Approach	1 819 726	304 531	339 623	148 127	285 189	15 956	127 886	3 041 038
7	Central governments or central banks	1279		0		20		140	1439
8	Regional governments or local authorities					0			0
9	Public sector entities								
10	Multilateral development banks							923	923
11	International organisations								
12	Institutions	295	40	113	26		7	3 503	3 984
13	Corporates	3 064	1712	701	424	492	1881	2 502	10 776
14	Retail	4 872	6 568	1 961	5 878	6 231	805	944	27 259
15	Secured by mortgages on immovable property	6 554	71 814	1061	171	154	65 017	4 473	149 244
16	Exposures in default	469	201	15	6	150	0	41	882
17	Items associated with particularly high risk		20				8		28
18	Covered bonds								
19	Claims on institutions and corporates with a short-term credit assessment								
20	Collective investments undertakings								
21	Equity exposures	6 506						35	6 541
22	Other exposures	6 026	279	379	12	701	41	719	8 157
23	Total standardised approach	29 065	80 634	4 230	6 517	7 748	67 759	13 280	209 233
24	Total	1 848 791	385 165	343 853	154 644	292 937	83 715	141 166	3 250 271

EU CRB-C – Geographical breakdown of exposures 2019

		Net value							
SEK m		Sweden	UK	Norway	Denmark	Finland	The Netherlands	Other countries	Total
1	Central governments or central banks	66 723	87 252	26 354	18 567	114 620	7 999	60 969	382 484
2	Institutions	8 879	1 524	1 991	1 129	615	891	8 758	23 787
3	Corporates	745 397	224 358	227 720	58 940	126 461	5 674	64 374	1 452 924
4	Retail	886 230	897	109 935	74 507	45 883	184	6 219	1 123 855
5	Equity	2 357		69	600	1			3 027
6	Total IRB Approach	1 709 586	314 031	366 069	153 743	287 580	14 748	140 320	2 986 077
7	Central governments or central banks	12	3	0		21		0	36
8	Regional governments or local authorities					0			0
9	Public sector entities								
10	Multilateral development banks								
11	International organisations								
12	Institutions	14	268	2	5	78	14	3 899	4 280
13	Corporates	3 435	2877	1000	982	351	2175	3 537	14 357
14	Retail	5 350	8 312	2 120	5 131	1 903	673	1 330	24 819
15	Secured by mortgages on immovable property	2 752	80 482	1111	192	70	57 001	5 732	147 340
16	Exposures in default	479	90	5	8	1		38	621
17	Items associated with particularly high risk		17				9		26
18	Covered bonds								
19	Claims on institutions and corporates with a short-term credit assessment								
20	Collective investments undertakings	151							151
21	Equity exposures	6 220						35	6 255
22	Other exposures	2 856	369	509	68	370	49	736	4 957
23	Total standardised approach	21 269	92 418	4 747	6 386	2 794	59 921	15 307	202 842
24	Total	1 730 855	406 449	370 816	160 129	290 374	74 669	155 627	3 188 919

Table T11 EU CRB-D – Concentration of exposures by industry or counterparty types

The table below shows the total exposure broken down by exposure class and industry at year-end. It comprises figures obtained using both the standardised and the IRB Approach. The total exposure has increased compared to the previous period.

EU CRB-D – Concentration of exposures by industry or counterparty types 2020

SEK m		Agriculture, forestry and fishing	Mining and quarrying	Manufacturing	Electricity, gas, steam and air conditioning supply	Water supply	Construction	Wholesale and retail trade	Transport and storage	Accommodation and food service activities	Information and communication	Financial and insurance activities	Real estate activities	Professional, scientific and technical activities	Administrative and support service activities	Public administration and defence, compulsory social security	Education	Human health services and social work activities	Arts, entertainment and recreation	Other services	Activities of households as employers	Activities of extra-territorial organisations and bodies	Total
1	Central governments or central banks				1 648	334		0					764		12	13 224	4 581	10 185		421 616		2	452 366
2	Institutions											13 956			100					7 618		161	21 835
3	Corporates	24 361	8 800	85 975	28 356	3 750	56 922	48 093	20 982	33 234	4 819	59 051	777 872	115 243	10 989	34 620	5 775	13 517	3 856	69 471	1 295	1 708	1 408 689
4	Retail	36 942	79	5 165	306	128	12 976	12 223	3 410	2 735	6 185	902	10 102	24 686	4 426	17	4 462	6 838	8 879	1 016 665	104	119	1 157 349
5	Equity										0									799			799
6	Total IRB Approach	61 303	8 879	91 140	30 310	4 212	69 898	60 316	24 392	35 969	11 004	73 909	788 738	139 929	15 527	47 861	14 818	30 540	12 735	1 516 169	1 399	1 990	3 041 038
7	Central governments or central banks				0											1 277				162		0	1 439
8	Regional governments or local authorities															0							0
9	Public sector entities																						0
10	Multilateral development banks																						
11	International organisations																			923			923
12	Institutions	0										1 003				577							3 984
13	Corporates	5	4	653	1	4	58	425	485	551	10	885	2 142	421	13	0	1	7	51	5 059	0	1	10 776
14	Retail	274	21	177	6	11	285	346	69	110	82	76	159	442	116	821	38	126	70	24 027	1	2	27 259
15	Secured by mortgages on immovable property																						
16	Exposures in default	165	2	14	1	4	962	103	23	648	41	8 114	18 706	1 972	49	5	19	66	90	118 260			149 244
17	Items associated with particularly high risk	0		2			13	5	0	2	0	0	7	0	0	1	0	0		851		1	882
18	Covered bonds						6						0	2						21			29
19	Claims on institutions and corporates with a short-term credit assessment																						
20	Collective investments undertakings																						
21	Equity exposures											6 210								331			6 541
22	Other exposures	1	0	5	0	0	2	0	0	0	0	75	33	0	0	0	0	0	1	8 039	0	0	8 156
23	Total standardised approach	445	27	851	8	19	1 326	879	577	1 311	133	16 363	21 047	2 837	178	2 681	58	199	212	160 077	1	4	209 233
24	Total	61 748	8 906	91 991	30 318	4 231	71 224	61 195	24 969	37 280	11 137	90 272	809 785	142 766	15 705	50 542	14 876	30 739	12 947	1 676 246	1 400	1 994	3 250 271

EU CRB-D – Concentration of exposures by industry or counterparty types 2019

SEK m		Agriculture, forestry and fishing	Mining and quarrying	Manufacturing	Electricity, gas, steam and air conditioning supply	Water supply	Construction	Wholesale and retail trade	Transport and storage	Accommodation and food service activities	Information and communication	Financial and insurance activities	Real estate activities	Professional, scientific and technical activities	Administrative and support service activities	Public administration and defence, compulsory social security	Education	Human health services and social work activities	Arts, entertainment and recreation	Other services	Activities of households as employers	Activities of extra-territorial organisations and bodies	Total
1	Central governments or central banks				1 759	446		0					1 062		9	14 304	7 845	6 463		350 594	2		382 484
2	Institutions											11 798			122	2 769				9 028		70	23 787
3	Corporates	20 590	5 652	88 380	31 964	4 556	62 456	55 737	26 006	12 185	4 426	66 243	804 216	115 705	14 897	29 919	6 736	13 632	4 051	82 823	1 361	1 389	1 452 924
4	Retail	35 480	85	5 056	325	127	12 932	12 058	3 498	2 673	5 967	1 019	10 247	23 586	4 284	20	4 184	6 698	8 431	986 973	100	111	1 123 854
5	Equity						7				0	178	12	93						2 738			3 028
6	Total IRB Approach	56 070	5 737	93 436	34 048	5 129	75 395	67 795	29 504	14 858	10 393	79 238	815 537	139 384	19 312	47 012	18 765	26 793	12 482	1 432 156	1 461	1 572	2 986 077
7	Central governments or central banks															0				36	0		36
8	Regional governments or local authorities															0							0
9	Public sector entities																						
10	Multilateral development banks																						
11	International organisations																						
12	Institutions	5		0								685				618				2 972			4 280
13	Corporates	8	3	1 430	2	2	33	600	1 060	178	13	808	2 435	512	73	6	1	16	18	7 150	0	9	14 357
14	Retail	279	20	231	7	12	315	391	83	147	104	90	184	519	136	708	40	137	76	21 338	0	2	24 819
15	Secured by mortgages on immovable property	162	2	21	2	3	910	111	32	90	41	6 779	15 846	2 141	42	6	11	66	117	120 953		6	147 341
16	Exposures in default	0		0			2	1	0	0	0		6	0	0	0	0	0		611		1	621
17	Items associated with particularly high risk						3													23			26
18	Covered bonds																						
19	Claims on institutions and corporates with a short-term credit assessment																						
20	Collective investments undertakings																			151			151
21	Equity exposures											6 188								66			6 254
22	Other exposures	1	0	6	0	0	1	6	0	0	0	0	44	1	1	5	0	1	0	4 891	0	0	4 957
23	Total standardised approach	455	25	1 688	11	17	1 264	1 109	1 175	415	158	14 550	18 515	3 173	252	1 343	52	220	211	158 191	0	18	202 842
24	Total	56 525	5 762	95 124	34 059	5 146	76 659	68 904	30 679	15 272	10 551	93 788	834 052	142 557	19 564	48 355	18 817	27 014	12 693	1 590 347	1 461	1 590	3 188 919

Table T12 EU CRB-E – Maturity of exposures

The table shows the total exposure broken down by exposure class and residual maturity at year-end. It comprises figures obtained using both the standardised and the IRB Approach. The total exposure has increased compared to the previous period.

EU CRB-E – Maturity of exposures 2020		Net exposure value					
SEK m		On demand	< = 1 year	> 1 year < = 5 years	> 5 years	No stated maturity	Total
1	Central governments or central banks		429 831	11 698	9 899	891	452 319
2	Institutions		5 233	7 171	9 432	0	21 836
3	Corporates		370 623	575 967	462 146	0	1 408 736
4	Retail		56 873	28 153	1 072 353	0	1 157 379
5	Equity		0	0	0	768	768
6	Total IRB Approach		862 560	622 989	1 553 830	1 659	3 041 038
7	Central governments or central banks		1417	0	0	22	1439
8	Regional governments or local authorities		0	0	0	0	0
9	Public sector entities						
10	Multilateral development banks		0	923	0	0	923
11	International organisations						
12	Institutions		3 984	0	0	0	3 984
13	Corporates		4 546	1 492	2 722	2 016	10 776
14	Retail		6 801	2 294	11 624	6 540	27 259
15	Secured by mortgages on immovable property		15 638	48 193	85 413	0	149 244
16	Exposures in default		281	20	135	446	882
17	Items associated with particularly high risk		7	0	21	0	28
18	Covered bonds						
19	Claims on institutions and corporates with a short-term credit assessment						
20	Collective investments undertakings						
21	Equity exposures		0	0	0	6 541	6 541
22	Other exposures		115	318	18	7 706	8 157
23	Total standardised approach		32 789	53 240	99 933	23 271	209 233
24	Total		895 349	676 229	1 653 763	24 930	3 250 271

EU CRB-E – Maturity of exposures 2019		Net exposure value					
SEK m		On demand	< = 1 year	> 1 year < = 5 years	> 5 years	No stated maturity	Total
1	Central governments or central banks		361 274	8 794	12 366	50	382 484
2	Institutions		8 198	5 283	10 305	0	23 786
3	Corporates		346 035	629 065	477 799	25	1 452 924
4	Retail		48 647	30 712	1 044 507	-11	1 123 855
5	Equity		0	0	0	3 028	3 028
6	<i>Total IRB Approach</i>		<i>764 154</i>	<i>673 854</i>	<i>1 544 977</i>	<i>3 092</i>	<i>2 986 077</i>
7	Central governments or central banks		0	0	0	36	36
8	Regional governments or local authorities						
9	Public sector entities						
10	Multilateral development banks						
11	International organisations						
12	Institutions		4 071	134	0	75	4 280
13	Corporates		4 803	4 278	2 248	3 028	14 357
14	Retail		3 079	2 724	9 533	9 483	24 819
15	Secured by mortgages on immovable property		13 684	45 033	88 624	0	147 341
16	Exposures in default		85	4	68	464	621
17	Items associated with particularly high risk		5	2	19	0	26
18	Covered bonds						
19	Claims on institutions and corporates with a short-term credit assessment						
20	Collective investments undertakings		0	0	0	151	151
21	Equity exposures		0	0	0	6 254	6 254
22	Other exposures		67	67	72	4 751	4 957
23	<i>Total standardised approach</i>		<i>25 794</i>	<i>52 242</i>	<i>100 564</i>	<i>24 242</i>	<i>202 842</i>
24	<i>Total</i>		<i>789 948</i>	<i>726 096</i>	<i>1 645 541</i>	<i>27 334</i>	<i>3 188 919</i>

Table T13 EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques

The table shows gross risk exposure amount and net risk exposure amount after taking into account the impact of netting agreements and collateral posting. The information is broken down by exposure classes. Risk exposure amount is calculated using the Foundation IRB Approach and the Advanced IRB Approach, specified separately. Handelsbanken's risk exposure amount is not affected by credit derivatives.

EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques 2020		Pre-credit derivatives RWAs	Actual RWAs
SEK m			
1	Exposures under FIRB	38 898	38 898
2	Central governments and central banks	7 142	7 142
3	Institutions	5 279	5 279
4	Corporates – SMEs	4 393	4 393
5	Corporates – Specialised lending		
6	Corporates – Other	22 084	22 084
7	Exposures under AIRB	455 282	455 282
8	Central governments and central banks		
9	Institutions		
10	Corporates – SMEs	93 370	93 370
11	Corporates – Specialised lending		
12	Corporates – Other	96 758	96 758
13	Retail – Secured by real estate SMEs	3 846	3 846
14	Retail – Secured by real estate non-SMEs	249 998	249 998
15	Retail – Qualifying revolving		
16	Retail – Other SMEs	3 099	3 099
17	Retail – Other non-SMEs	8 211	8 211
18	Equity IRB	2 955	2 955
19	Other non-credit obligation assets	6 417	6 417
20	Total	503 552	503 552

EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques 2019

EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques 2019		Pre-credit derivatives RWAs	Actual RWAs
SEK m			
1	Exposures under FIRB	46 900	46 900
2	Central governments and central banks	7 022	7 022
3	Institutions	5 920	5 920
4	Corporates – SMEs	5 238	5 238
5	Corporates – Specialised lending		
6	Corporates – Other	28 720	28 720
7	Exposures under AIRB	475 964	475 964
8	Central governments and central banks		
9	Institutions		
10	Corporates – SMEs	115 757	115 757
11	Corporates – Specialised lending		
12	Corporates – Other	104 197	104 197
13	Retail – Secured by real estate SMEs	4 407	4 407
14	Retail – Secured by real estate non-SMEs	237 335	237 335
15	Retail – Qualifying revolving		
16	Retail – Other SMEs	3 470	3 470
17	Retail – Other non-SMEs	10 798	10 798
18	Equity IRB	10 299	10 299
19	Other non-credit obligation assets	6 946	6 946
20	Total	540 109	540 109

Table T14 EU CR4 – Standardised approach – Credit risk exposure and CRM effects

The table shows exposures before and after credit conversion factors and credit risk mitigation, and risk exposure amounts and risk weights according to the standardised approach. The amounts and risk weights are specified by exposure class. The total exposure has increased compared to the previous year.

EU CR4 – Standardised approach – Credit risk exposure and CRM effects 2020		Exposures before CCF and CRM		Exposures post CCF and CRM		RWAs and RWA density	
Exposure classes SEK m		On-balance-sheet amount	Off-balance-sheet amount	On-balance-sheet amount	Off-balance-sheet amount	RWAs	RWA density, %
1	Central governments or central banks	1 439	0	1 778	49	0	0.00
2	Regional governments or local authorities	0	0	0	0	0	0.00
3	Public sector entities						
4	Multilateral development banks	923	0	923	0	0	0.00
5	International organisations						
6	Institutions	2 900	1 084	2 947	169	730	23.44
7	Corporates	6 573	4 203	5 574	1 749	6 916	94.45
8	Retail	14 981	12 277	7 438	2 434	7 242	73.36
9	Secured by mortgages on immovable property	135 899	13 346	135 873	2 744	48 406	34.92
10	Exposures in default	853	29	852	5	973	113.57
11	Exposures associated with particularly high risk	27	1	27	1	41	150.00
12	Covered bonds						
13	Institutions and corporates with a short-term credit assessment						
14	Collective investments undertakings						
15	Equity	6 541	0	6 541	0	15 923	243.42
16	Other items	8 107	50	6 241	37	3 510	55.91
17	Total	178 243	30 990	168 194	7 188	83 741	47.75

EU CR4 – Standardised approach – Credit risk exposure and CRM effects 2019		Exposures before CCF and CRM		Exposures post CCF and CRM		RWAs and RWA density	
Exposure classes SEK m		On-balance-sheet amount	Off-balance-sheet amount	On-balance-sheet amount	Off-balance-sheet amount	RWAs	RWA density, %
1	Central governments or central banks	36	0	274	79	7	1.90
2	Regional governments or local authorities	0	0	0	0	0	0.00
3	Public sector entities						
4	Multilateral development banks						
5	International organisations						
6	Institutions	1 812	2 468	2 063	407	618	25.01
7	Corporates	6 977	7 380	6 164	2 327	8 404	98.98
8	Retail	14 256	10 563	7 308	2 899	7 446	72.96
9	Secured by mortgages on immovable property	139 447	7 893	139 434	2 064	50 652	35.80
10	Exposures in default	578	43	577	21	725	121.22
11	Exposures associated with particularly high risk	26	0	26	0	39	150.00
12	Covered bonds						
13	Institutions and corporates with a short-term credit assessment						
14	Collective investments undertakings	151	0	151	0	151	100.00
15	Equity	6 254	0	6 254	0	15 636	250.00
16	Other items	4 920	38	3 226	17	2 907	89.61
17	Total	174 457	28 385	165 477	7 814	86 585	49.97

Table T15 EU CR10 – IRB (specialised lending and equities)

The following table shows carrying values, exposure amounts, risk-weighted assets and capital requirements for specialised lending and equity exposures. Risk-weighted assets are calculated using the simple risk-weighted approach. Risk-weighted assets have decreased compared to the previous period.

EU CR10 – IRB (specialised lending and equities) 2020		Specialised lending					
SEK m							
Regulatory categories	Remaining maturity	On-balance-sheet amount	Off-balance-sheet amount	Risk weight, %	Exposure amount	RWAs	Expected losses
Category 1	Less than 2.5 years			50			
	Equal or more than 2.5 years			70			
Category 2	Less than 2.5 years			70			
	Equal or more than 2.5 years			90			
Category 3	Less than 2.5 years			115			
	Equal or more than 2.5 years			115			
Category 4	Less than 2.5 years			250			
	Equal or more than 2.5 years			250			
Category 5	Less than 2.5 years			-			
	Equal or more than 2.5 years			-			
Total	Less than 2.5 years						
	Equal or more than 2.5 years						

Equities under the simple risk-weighted approach						
SEK m						
Categories		On-balance-sheet amount	Off-balance-sheet amount	Risk weight, %	Exposure amount	Capital requirements
Private equity exposures				190		
Exchange-traded equity exposures		0		290	0	0
Other equity exposures		799		370	799	236
Total		799			799	236

EU CR10 – IRB (specialised lending and equities) 2019		Specialised lending					
SEK m							
Regulatory categories	Remaining maturity	On-balance-sheet amount	Off-balance-sheet amount	Risk weight, %	Exposure amount	RWAs	Expected losses
Category 1	Less than 2.5 years			50			
	Equal or more than 2.5 years			70			
Category 2	Less than 2.5 years			70			
	Equal or more than 2.5 years			90			
Category 3	Less than 2.5 years			115			
	Equal or more than 2.5 years			115			
Category 4	Less than 2.5 years			250			
	Equal or more than 2.5 years			250			
Category 5	Less than 2.5 years			-			
	Equal or more than 2.5 years			-			
Total	Less than 2.5 years						
	Equal or more than 2.5 years						

Equities under the simple risk-weighted approach						
SEK m						
Categories		On-balance-sheet amount	Off-balance-sheet amount	Risk weight, %	Exposure amount	Capital requirements
Private equity exposures				190		
Exchange-traded equity exposures		1 129		290	1 129	262
Other equity exposures		1 899		370	1 899	562
Total		3 028			3 028	824

Table T16 EU CCR1 – Analysis of CCR exposure by approach

The table shows the approach used to calculate credit counterparty risk (CCR) exposure and REA and the main parameters used within each approach. The risk exposure amount has decreased compared to the previous year.

EU CCR1 – Analysis of CCR exposure by approach 2020		Notional	Replacement cost/current market value	Potential future credit exposure	EEPE ¹	Multiplier	EAD post CRM	RWAs
SEK m								
1	Mark to market	1 325 067	22 673	13 933			36 606	8 727
2	Original exposure							
3	Standardised approach							
4	IMM (for derivatives and SFTs)							
5	Of which securities financing transactions							
6	Of which derivatives and long settlement transactions							
7	Of which form contractual cross-product netting							
8	Financial collateral simple method (for SFTs)							
9	Financial collateral comprehensive method (for SFTs)							
10	VaR for SFTs							
11	Total	1 325 067	22 673	13 933			36 606	8 727

¹ Effective expected positive exposure (EEPE): The weighted average of effective expected exposure over the first year of a netting set or, if all the contracts within the netting set mature within less than 1 year, over the time period of the longest maturity contract in the netting set, where the weights are the proportion of the entire time period that an individual expected exposure represents.

EU CCR1 – Analysis of CCR exposure by approach 2019

EU CCR1 – Analysis of CCR exposure by approach 2019		Notional	Replacement cost/current market value	Potential future credit exposure	EEPE ¹	Multiplier	EAD post CRM	RWAs
SEK m								
1	Mark to market	1 686 406	32 147	21 692			53 839	11 215
2	Original exposure							
3	Standardised approach							
4	IMM (for derivatives and SFTs)							
5	Of which securities financing transactions							
6	Of which derivatives and long settlement transactions							
7	Of which form contractual cross-product netting							
8	Financial collateral simple method (for SFTs)							
9	Financial collateral comprehensive method (for SFTs)							
10	VaR for SFTs							
11	Total	1 686 406	32 147	21 692			53 839	11 215

Table T17 EU CCR2 – CVA capital charge

The table shows exposure value and risk-weighted assets for credit value adjustment (CVA) broken down by approach. Risk-weighted assets have decreased compared to the previous year.

EU CCR2 – CVA capital charge 2020		Exposure value	RWAs
SEK m			
1	Total portfolios subject to the advanced method		
2	(i) VaR component (including the 3x multiplier)		
3	(ii) SVaR component (including the 3x multiplier)		
4	All portfolios subject to the standardised method	10 067	2 708
EU4	Based on the original exposure method		
5	Total subject to the CVA capital charge	10 067	2 708

EU CCR2 – CVA capital charge 2019		Exposure value	RWAs
SEK m			
1	Total portfolios subject to the advanced method		
2	(i) VaR component (including the 3x multiplier)		
3	(ii) SVaR component (including the 3x multiplier)		
4	All portfolios subject to the standardised method	16 529	4 114
EU4	Based on the original exposure method		
5	Total subject to the CVA capital charge	16 529	4 114

Table T18 EU CCR3 – Standardised approach – CCR exposures by regulatory portfolio and risk

The table shows EAD for credit counterparty risk (CCR) according to the standardised approach. Amounts are broken down by exposure class and risk weight. The regulatory capital requirement is in line with the previous period.

EU CCR3 – Standardised approach – CCR exposures by regulatory portfolio and risk 2020		Risk weight													Of which unrated
SEK m	Exposure classes	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	Others	Total	
1	Central governments or central banks														
2	Regional governments or local authorities														
3	Public sector entities														
4	Multilateral development banks	32												32	
5	International organisations														
6	Institutions		6 210			235								6 445	
7	Corporates										16			16	
8	Retail									13				13	13
9	Institutions and corporates with a short-term credit assessment														
10	Other items														
11	Total	32	6 210			235				13	16			6 506	13

EU CCR3 – Standardised approach – CCR exposures by regulatory portfolio and risk 2019		Risk weight													Of which unrated
SEK m	Exposure classes	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	Others	Total	
1	Central governments or central banks														
2	Regional governments or local authorities														
3	Public sector entities														
4	Multilateral development banks	272												272	
5	International organisations														
6	Institutions	0	7 165			4								7 169	
7	Corporates										5			5	
8	Retail									21				21	21
9	Institutions and corporates with a short-term credit assessment														
10	Other items														
11	Total	272	7 165			4				21	5			7 467	21

Table T19 EU CCR4 – IRB Approach – CCR exposures by portfolio and PD scale

The table shows credit counterparty risk (CCR) exposures and risk-weighted assets subject to the IRB Approach. Amounts are broken down by exposure class and obligor grade. The table further specifies average PD, average LGD and resulting risk weights. The total exposure has decreased compared to the previous period.

EU CCR4 – IRB Approach – CCR exposures by portfolio and PD scale 2020		EAD post CRM, SEK m	Average PD	Number of obligors	Average LGD	Average maturity, year	RWA, SEK m	RWA density
SEK m	PD scale							
Sovereign exposures	0.00 to <0.15	4 306	0.00%	41	44.59%	1.19	72	1.67%
Sovereign exposures	0.15 to <0.25							
Sovereign exposures	0.25 to <0.50							
Sovereign exposures	0.50 to <0.75							
Sovereign exposures	0.75 to <2.50							
Sovereign exposures	2.50 to <10.00							
Sovereign exposures	10.00 to <100.00							
Sovereign exposures	100.00 (Default)							
Sovereign exposures	Sub-total	4 306	0.00%	41	44.59%	1.19	72	1.67%
Institution exposures	0.00 to <0.15	14 785	0.11%	59	26.00%	2.36	3 596	24.32%
Institution exposures	0.15 to <0.25	5 042	0.21%	15	20.74%	2.43	1 408	27.93%
Institution exposures	0.25 to <0.50							
Institution exposures	0.50 to <0.75	1 447	0.56%	5	12.54%	2.48	399	27.60%
Institution exposures	0.75 to <2.50	1	1.04%	1	45.00%	2.50	1	99.24%
Institution exposures	2.50 to <10.00							
Institution exposures	10.00 to <100.00							
Institution exposures	100.00 (Default)							
Institution exposures	Sub-total	21 275	0.16%	80	23.84%	2.38	5 404	25.40%
Corporate exposures	0.00 to <0.15	8 852	0.07%	861	41.94%	2.47	1 885	21.29%
Corporate exposures	0.15 to <0.25							
Corporate exposures	0.25 to <0.50	1 169	0.37%	176	41.87%	2.50	617	52.80%
Corporate exposures	0.50 to <0.75	72	0.56%	97	43.47%	2.50	38	52.94%
Corporate exposures	0.75 to <2.50	602	1.54%	142	42.24%	2.50	590	98.03%
Corporate exposures	2.50 to <10.00	18	8.64%	29	40.68%	2.50	27	149.21%
Corporate exposures	10.00 to <100.00	14	18.60%	14	40.15%	2.50	26	185.85%
Corporate exposures	100.00 (Default)	0		1			0	
Corporate exposures	Sub-total	10 727	0.23%	1 320	41.95%	2.47	3 183	29.67%
Total (all portfolios)		36 308	0.16%	1 441	31.65%	2.27	8 659	23.85%

EU CCR4 – IRB Approach – CCR exposures by portfolio and PD scale 2019		EAD post CRM, SEK m	Average PD	Number of obligors	Average LGD	Average maturity, year	RWA, SEK m	RWA density
SEK m	PD scale							
Sovereign exposures	0.00 to <0.15	3 918	0.00%	45	44.65%	1.39	76	1.94%
Sovereign exposures	0.15 to <0.25							
Sovereign exposures	0.25 to <0.50							
Sovereign exposures	0.50 to <0.75							
Sovereign exposures	0.75 to <2.50							
Sovereign exposures	2.50 to <10.00							
Sovereign exposures	10.00 to <100.00							
Sovereign exposures	100.00 (Default)							
Sovereign exposures	Sub-total	3 918	0.00%	45	44.65%	1.39	76	1.94%
Institution exposures	0.00 to <0.15	24 768	0.09%	57	22.73%	2.44	4 793	19.35%
Institution exposures	0.15 to <0.25	14 370	0.21%	14	14.78%	2.49	2 973	20.69%
Institution exposures	0.25 to <0.50							
Institution exposures	0.50 to <0.75	1 952	0.56%	5	17.04%	2.50	749	38.39%
Institution exposures	0.75 to <2.50	19	1.04%	2	2.06%	2.41	1	3.31%
Institution exposures	2.50 to <10.00							
Institution exposures	10.00 to <100.00							
Institution exposures	100.00 (Default)							
Institution exposures	Sub-total	41 109	0.15%	78	19.67%	2.46	8 516	20.72%
Corporate exposures	0.00 to <0.15	6 977	0.07%	768	42.98%	2.44	1 565	22.44%
Corporate exposures	0.15 to <0.25	86	0.16%	131	39.66%	2.50	24	28.17%
Corporate exposures	0.25 to <0.50	1 027	0.34%	150	44.36%	2.50	607	59.13%
Corporate exposures	0.50 to <0.75	59	0.61%	107	43.77%	2.50	38	63.48%
Corporate exposures	0.75 to <2.50	314	1.48%	124	43.96%	2.50	316	100.56%
Corporate exposures	2.50 to <10.00	31	8.04%	23	26.40%	2.50	32	102.11%
Corporate exposures	10.00 to <100.00	11	20.69%	14	39.59%	2.50	22	196.25%
Corporate exposures	100.00 (Default)	4	100.00%	2	45.00%	2.50	0	0.00%
Corporate exposures	Sub-total	8 509	0.26%	1 319	43.09%	2.45	2 604	30.60%
Total (all portfolios)		53 536	0.16%	1 442	25.22%	2.38	11 196	20.91%

Table T20 EU CCR5-A – Impact of netting and collateral held on exposure values

The table shows the impact of netting and collateral held on credit counterparty risk for derivatives and securities finance transactions.
The total net exposure has increased compared to the previous year.

EU CCR5-A – Impact of netting and collateral held on exposure values 2020					
SEK m		Gross fair value	Netting benefits	Netted current credit exposure	Net credit exposure
1	Derivatives	55 958	-40 190	15 768	8 265
2	SFTs	14 692	-	14 692	3 750
3	Cross-product netting	-	-	-	-
4	Total	70 650	-40 190	30 460	12 015

EU CCR5-A – Impact of netting and collateral held on exposure values 2019

SEK m		Gross fair value	Netting benefits	Netted current credit exposure	Collateral held	Net credit exposure
1	Derivatives	66 877	-29 673	37 204	-30 022	7 182
2	SFTs	18 436	-	18 436	-15 094	3 342
3	Cross-product netting	-	-	-	-	-
4	Total	85 313	-29 673	55 640	-45 116	10 524

Table T21 EU CCR5-B – Composition of collateral for exposures to CCR

The table shows collateral posted or received to support or reduce counterparty credit risk (CCR) exposures related to derivative transactions and securities finance transactions, including transactions cleared through a CCP.

EU CCR5-B – Composition of collateral for exposures to CCR 2020		Collateral used in derivative transactions				Collateral used in SFTs	
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
SEK m		Segregated	Unsegregated	Segregated	Unsegregated		
Total		73	22 789	3 957	21 601	4 040	5 887

EU CCR5-B – Composition of collateral for exposures to CCR 2019		Collateral used in derivative transactions				Collateral used in SFTs	
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
SEK m		Segregated	Unsegregated	Segregated	Unsegregated		
Total		129	36 262	3 878	9 446	39 574	6 519

Table T22 EU CCR6 – Credit derivative exposures

The table shows exposures to credit derivative transactions broken down to derivatives bought or sold as well as notional amounts and fair value.
Total fair value have decreased compared to the previous year.

EU CCR6 – Credit derivative exposures 2020	Credit derivative hedges		Other credit derivatives
	Protection bought	Protection sold	
SEK m			
Notionals			
Single-name credit default swaps	520	-	
Index credit default swaps	35	1 780	
Total return swaps			
Credit options			
Other credit derivatives	2 048	-	
Total notionals	2 603	1 780	
Fair values			
<i>Positive fair value (asset)</i>	<i>148</i>	<i>81</i>	
<i>Negative fair value (liability)</i>	<i>46</i>	<i>1</i>	

EU CCR6 – Credit derivative exposures 2019	Credit derivative hedges		Other credit derivatives
	Protection bought	Protection sold	
SEK m			
Notionals			
Single-name credit default swaps	116	3 904	
Index credit default swaps	66	4 072	
Total return swaps			
Credit options			
Other credit derivatives	20	1 034	
Total notionals	202	9 010	
Fair values			
<i>Positive fair value (asset)</i>	<i>7</i>	<i>729</i>	
<i>Negative fair value (liability)</i>	<i>41</i>	<i>40</i>	

Table T23 EU CCR8 – Exposures to CCPs

The table shows exposures to QCCPs. The total exposure has decreased compared to the previous year.

EU CCR8 – Exposures to CCPs 2020			
SEK m		EAD post CRM	RWAs
1	Exposures to QCCPs (total)	6 260	128
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	6 154	123
3	(i) OTC derivatives	6 109	122
4	(ii) Exchange-traded derivatives	45	1
5	(iii) SFTs	-	-
6	(iv) Netting sets where cross-product netting has been approved	-	-
7	Segregated initial margin	-	-
8	Non-segregated initial margin	-	-
9	Prefunded default fund contributions	106	5
10	Alternative calculation of own funds requirements for exposures		
11	Exposures to non-QCCPs (total)		
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which		
13	(i) OTC derivatives		
14	(ii) Exchange-traded derivatives		
15	(iii) SFTs		
16	(iv) Netting sets where cross-product netting has been approved		
17	Segregated initial margin		
18	Non-segregated initial margin		
19	Prefunded default fund contributions		
20	Unfunded default fund contributions		

EU CCR8 – Exposures to CCPs 2019			
SEK m		EAD post CRM	RWAs
1	Exposures to QCCPs (total)	7 254	153
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	7 034	141
3	(i) OTC derivatives	6 942	139
4	(ii) Exchange-traded derivatives	92	2
5	(iii) SFTs	-	-
6	(iv) Netting sets where cross-product netting has been approved	-	-
7	Segregated initial margin	-	-
8	Non-segregated initial margin	-	-
9	Prefunded default fund contributions	220	12
10	Alternative calculation of own funds requirements for exposures		
11	Exposures to non-QCCPs (total)		
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which	-	-
13	(i) OTC derivatives		
14	(ii) Exchange-traded derivatives		
15	(iii) SFTs		
16	(iv) Netting sets where cross-product netting has been approved		
17	Segregated initial margin		
18	Non-segregated initial margin		
19	Prefunded default fund contributions		
20	Unfunded default fund contributions		

OWN FUNDS

Table T24 Capital instruments main features, CET1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Capital instruments main features, CET1		
Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	SE0007100599	SE0007100607
Governing law(s) of the instrument	Swedish law	Swedish law
<i>Regulatory treatment</i>		
Transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
Post-transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Share capital, class A	Share capital, class B
Amount recognised in regulatory capital (currency in million, as of most recent reporting date)	SEK 11 616m	SEK 211m
Nominal amount of instrument	SEK 3 014m	SEK 55m
Issue price	SEK 11 616m	SEK 211m
Redemption price	N/A	N/A
Accounting classification	Equity	Equity
Original date of issuance	1871	1990
Perpetual or dated	Perpetual	Perpetual
Original maturity date	N/A	N/A
Issuer call subject to the previous supervisory approval	N/A	N/A
Optional call date, contingent call dates and redemption amount	N/A	N/A
Subsequent call dates, if applicable	N/A	N/A
<i>Coupons/dividends</i>		
Fixed or floating dividend/coupon	N/A	N/A
Coupon rate and any related index	N/A	N/A
Existence of a dividend stopper	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
Existence of step-up or other incentive to redeem	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	N/A	N/A
If convertible, fully or partially	N/A	N/A
If convertible, conversion rate	N/A	N/A
If convertible, mandatory or optional conversion	N/A	N/A
If convertible, specify instrument type convertible into	N/A	N/A
If convertible, specify issuer of instrument it converts into	N/A	N/A
Write-down features	No	No
If write-down, write-down trigger(s)	N/A	N/A
If write-down, full or partial	N/A	N/A
If write-down, permanent or temporary	N/A	N/A
If temporary write-down, description of write-up mechanism	N/A	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Lowest, next senior is additional tier 1 capital	Lowest, next senior is additional tier 1 capital
Non-compliant transitioned features	No	No
If yes, specify non-compliant features	N/A	N/A
Non-compliant transitioned features	No	No
If yes, specify non-compliant features	N/A	N/A

Table T25 Capital instruments main features, AT1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Capital instruments main features, AT1				
Issuer	Svenska Handelsbanken AB XS1194054166	Svenska Handelsbanken AB XS1952091202	Svenska Handelsbanken AB XS2233263404	Svenska Handelsbanken AB XS2233263586
Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)				
Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
<i>Regulatory treatment</i>				
Transitional CRR rules	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
Post-transitional CRR rules	Tier 1 capital	Tier 1 capital	Tier 1 capital	Tier 1 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 9 808m	SEK 4 064m	SEK 4 054	SEK 4 054
Nominal amount of instrument	USD 1 200m	USD 500m	USD 500m	USD 500m
Issue price	100%	100%	100%	100%
Redemption price	100%	100%	100%	100%
Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
Original date of issuance	25 Feb 2015	22-feb-19	6 Oct, 2020	6 Oct, 2020
Perpetual or dated	Perpetual	Perpetual	Perpetual	Perpetual
Original maturity date	No maturity date	No maturity date	No maturity date	No maturity date
Issuer call subject to the previous supervisory approval	Yes	Yes	Yes	Yes
Optional call date, contingent call dates and redemption amount	1 Mar 2021, Tax/Regulatory call, 100% of nominal amount	1 Mar 2024, Tax/Regulatory call, 100% of nominal amount	1 Mar 2027, Tax/Regulatory call, 100% of nominal amount	1 Mar 2031 Tax/Regulatory call, 100% of nominal amount
Subsequent call dates, if applicable	Callable each subsequent interest reset date after first redemption date	Callable each subsequent interest reset date after first redemption date	Callable each subsequent interest reset date after first redemption date	Callable each subsequent interest reset date after first redemption date
<i>Coupons/dividends</i>				
Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed
Coupon rate and any related index	5.25%	6.25%	4.375%	4.75%
Existence of a dividend stopper	No	No	No	No
Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A	N/A	N/A
Existence of step-up or other incentive to redeem	No	No	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Convertible	Convertible	Convertible
If convertible, conversion trigger(s)	N/A	Common equity tier 1 ratio 8% consolidated, 5.125% parent company	Common equity tier 1 ratio 8% consolidated, 5.125% parent company	Common equity tier 1 ratio 8% consolidated, 5.125% parent company
If convertible, fully or partially	N/A	Fully	Fully	Fully
If convertible, conversion rate	N/A	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.
If convertible, mandatory or optional conversion	N/A	Mandatory	Mandatory	Mandatory
If convertible, specify instrument type convertible into	N/A	Share capital, class A	Share capital, class A	Share capital, class A
If convertible, specify issuer of instrument it converts into	N/A	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Write-down features	Yes	No	No	No
If write-down, write-down trigger(s)	Common equity tier 1 ratio 8% consolidated, 5.125% parent company	N/A	N/A	N/A
If write-down, full or partial	Full or partial	N/A	N/A	N/A
If write-down, permanent or temporary	Temporary	N/A	N/A	N/A
If temporary write-down, description of write-up mechanism	Fully discretionary	N/A	N/A	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans
Non-compliant transitioned features	N/A	N/A	N/A	N/A
If yes, specify non-compliant features	N/A	N/A	N/A	N/A

Table T26 Capital instruments main features, T2

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Capital instruments main features, T2

Issuer	Svenska Handelsbanken AB XS1717456914	Svenska Handelsbanken AB XS1717459694	Svenska Handelsbanken AB XS1782803503	Svenska Handelsbanken AB XS1875333178
Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)				
Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
<i>Regulatory treatment</i>				
Transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
Post-transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Subordinated loan	Subordinated loan	Subordinated loan	Subordinated loan
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 1 299m	SEK 1 699m	SEK 7 519m	SEK 7 516m
Nominal amount of instrument	SEK 1 300m	SEK 1 700m	EUR 750m	EUR 750m
Issue price	100%	100%	99.923%	99.962%
Redemption price	100%	100%	100%	100%
Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
Original date of issuance	15 Nov 2017	15 Nov 2017	2 Mar 2018	5 Sep 2018
Perpetual or dated	Dated	Dated	Dated	Dated
Original maturity date	15 Nov 2027	15 Nov 2027	2 Mar 2028	5 Mar 2029
Issuer call subject to the previous supervisory approval	Yes	Yes	Yes	Yes
Optional call date, contingent call dates and redemption amount	15 Nov 2022, Tax/Regulatory call, 100% of nominal amount	15 Nov 2022, Tax/Regulatory call, 100% of nominal amount	2 Mar 2023, Tax/Regulatory call, 100% of nominal amount	5 Mar 2024, Tax/Regulatory call, 100% of nominal amount
Subsequent call dates, if applicable	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date	N/A	N/A
<i>Coupons/dividends</i>				
Fixed or floating dividend/coupon	Fixed	Floating	Fixed	Fixed
Coupon rate and any related index	1.41%	1.208%	1.25%	1.625%
Existence of a dividend stopper	No	No	No	No
Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
Existence of step-up or other incentive to redeem	No	No	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
If convertible, full or partial	N/A	N/A	N/A	N/A
If convertible, conversion rate	N/A	N/A	N/A	N/A
If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
Write-down features	No	No	No	No
If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
If write-down, full or partial	N/A	N/A	N/A	N/A
If write-down, permanent or temporary	N/A	N/A	N/A	N/A
If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending
Non-compliant transitioned features	No	No	No	No
If yes, specify non-compliant features	N/A	N/A	N/A	N/A

TABLES

Table T27 Information on loans and advances subject to legislative and non-legislative moratoria

Information on loans and advances subject to legislative and non-legislative moratoria 2020		Gross carrying amount					Accumulated impairment, accumulated negative changes in fair value due to credit risk					
		Performing			Non performing		Performing			Non performing		
		Of which: exposures with forbearance measures	Of which: Instruments with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)		Of which: exposures with forbearance measures	Of which: Unlikely to pay that are not past-due or past-due <= 90 days	Of which: exposures with forbearance measures	Of which: Instruments with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)		Of which: exposures with forbearance measures	Of which: Unlikely to pay that are not past-due or past-due <= 90 days	Inflows to non-performing exposures
SEK m												
1	Loans and advances subject to moratorium	61 734	61 679	1 857	54	37	-17	-11	-8	-6	-5	16
2	of which: Households	61 543	61 489	1 842	54	37	-16	-10	-7	-6	-5	16
3	of which: Collateralised by residential immovable property	59 911	59 873	1 755	38	25	-11	-7	-5	-4	-4	13
4	of which: Non-financial corporations	148	148	15			-1	-1	-1			
5	of which: Small and Medium-sized Enterprises	56	56	14			-1	-1	-1			
6	of which: Collateralised by commercial immovable property	22	22	11			-1	-1	-1			

Table T28 Breakdown of loans and advances subject to legislative and non-legislative moratoria by residual maturity of moratoria

Breakdown of loans and advances subject to legislative and non-legislative moratoria by residual maturity of moratoria 2020		Gross carrying amount						
		Residual maturity of moratoria						
		Number of obligors	Of which: legislative moratoria	Of which: expired	<= 3 months	> 3 months <= 6 months	> 6 months <= 9 months	> 9 months <= 12 months
SEK m								> 1 year
1	Loans and advances for which moratorium was offered	39 071						
2	Loans and advances subject to moratorium (granted)	39 071	61 734	61 734	917	2 161	2 914	7 929
3	of which: Households		61 543	61 543	781	2 159	2 870	7 928
4	of which: Collateralised by residential immovable property		59 911	59 911	747	2 124	2 675	7 670
5	of which: Non-financial corporations		148	148	136	1	1	1
6	of which: Small and Medium-sized Enterprises		56	56	48			
7	of which: Collateralised by commercial immovable property		22	22	21	0		

Table T29 Information on newly originated loans and advances provided under newly applicable public guarantee schemes introduced in response to Covid-19 crisis

Information on newly originated loans and advances provided under newly applicable public guarantee schemes introduced in response to Covid-19 crisis		Gross carrying amount		Maximum amount of the guarantee that can be considered	Gross carrying amount
		of which: forborne		Public guarantees received	Inflows to non-performing exposures
SEK m					
1	Newly originated loans and advances subject to public guarantee schemes	29		26	
2	of which: Households				
3	of which: Collateralised by residential immovable property				
4	of which: Non-financial corporations	29		26	
5	of which: Small and Medium-sized Enterprises	28			
6	of which: Collateralised by commercial immovable property				

Reference table for CRR pursuant to EBA/GL/2016/11

This report, Risk and Capital – Information according to Pillar 3, together with the Bank's Annual Report, provides information as stipulated in the disclosure requirements regarding risk and capital management in Part Eight of Regulation (EU) No 575/2013 (CRR). For each article, the reference table below states in which of the two publications the information can be found.

Requirements on disclosures regarding banks' risk and capital management are stipulated in the accounting and capital requirement regulations. The risk and capital information that is applicable in order to fulfil both sets of regulations is presented in note G2 and note G49 of Handelsbanken's Annual Report for 2020.

The disclosures that are specific to CRR can be found in this report, in the form of quantitative information to be provided as stipulated in EBA/GL/2016/11, EBA/GL/2018/10, EBA/GL/2020/07 and explanatory texts to the tables.

More information about Handelsbanken's management of operational risk, compliance risk, risks in the remuneration system, risks in the

insurance operations, market risk, funding and liquidity risk can be found in note G2 of the Annual Report. Information about own funds and the capital requirement is also presented in the Annual Report, note G49. Information to be provided quarterly as stipulated in EBA/GL/2016/11 is published on Handelsbanken's website. The same applies for the information to be provided in accordance with EBA/GL/2018/10 and EBA/GL/2020/07. For each article in Part Eight of Regulation (EU) No 575/2013 (CRR), the reference table below states in which of the two publications the information can be found. For the year 2020, the information to be provided in accordance with EBA/GL/2018/10 and EBA/GL/2020/07 is accounted for separately.

Article in CRR	Description	Reference in Risk and Capital – Information according to Pillar 3	Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website
Title I	General principles		
Article 431	Scope of disclosure requirements		
1	General disclosure requirements	This report, Risk and Capital – Information according to Pillar 3	www.handelsbanken.com/en/investor-relations
2	Requirement to disclose information about operational risk	Section: Operational risk – Capital requirements for operational risk, page 57	Section: Operational Risk, page 136
3	Requirement to have a formal policy to comply with the disclosure requirements	Section: Signatures of the CEO, CFO and CRO, page 93	
4	Upon request, explanations of rating decisions to SMEs or other corporate applicants for loans	Can be provided upon request	
Article 432	Non-material, proprietary or confidential information		
1–4	Institutions may exclude non-material, proprietary or confidential information under certain conditions	Section: Information items not disclosed under EBA/GL/2014/14, page 92	
Article 433	Frequency of disclosure		
	Frequency requirements for publishing disclosures of Pillar 3 information	Sections: Introduction. In accordance with EBA/GL/2016/11, in conjunction with the publication of annual, semi-annual and quarterly financial information, page 2,3	Section: Financial calendar
Article 434	Means of disclosures		
1	Information medium for Pillar 3 disclosures and references to equivalent data in other media	This report, Risk and Capital – Information according to Pillar 3, this table, and in the text where applicable	Handelsbanken's Annual Report and interim reports
2	Reference to the locations where equivalent disclosures that fulfil CRR, accounting, listing or other requirements are published	This table, Reference table for CRR pursuant to EBA/GL/2016/11	
Title II	Technical criteria on transparency and disclosure		
Article 435	Risk management objectives and policies		
1 a	Strategies and processes to manage the risks	Section: Credit risk – Counterparty credit risks, page 51	Handelsbanken's Annual Report, note G2, sections: Risk management – Risk strategy – Resilient risk management, page 103 Market risk, page 125 Funding and Liquidity risks, page 129 Operational risk, page 136 Compliance risk, page 139 Risk in the remuneration system and Risk in the insurance operations, page 140
1 b	Structure and organisation of the risk management organisation including its authority and statutes	Section: Credit risk – Counterparty credit risks, page 51	Handelsbanken's Annual Report, note G2, sections: Risk management – Risk strategy – Resilient risk management, page 103 Market risk, page 125 Funding and Liquidity risks, page 129 Operational risk, page 136 Compliance risk, page 139 Risk in the remuneration system and Risk in the insurance operations, page 140
1 c	Scope and nature of risk reporting and measurement systems	Section: Credit risk – Counterparty credit risks, page 51	Handelsbanken's Annual Report, note G2, sections: Risk management – Risk strategy – Resilient risk management, page 103 Market risk, page 125 Funding and Liquidity risks, page 129 Operational risk, page 136 Compliance risk, page 139 Risk in the remuneration system and Risk in the insurance operations, page 140

REFERENCE TABLE FOR CRR

Article in CRR	Description	Reference in Risk and Capital – Information according to Pillar 3	Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website
1 d	Policies for hedging and mitigating risk	Section: Credit risk – Counterparty credit risks, page 51	Handelsbanken's Annual Report, note G2, sections: Market risk, page 125 Funding and Liquidity risks, page 129 Operational risk, page 136 Compliance risk, page 139 Risk in the remuneration system and Risk in the insurance operations, page 140
1 e	Declaration of conformity that the risk management system is fit-for-purpose in relation to the institution's profile and strategy		Handelsbanken's Annual Report, note G2, section: Risk management – The Board's risk declaration and risk statement, page 106
1 f	Risk statement with overall risk profile		Handelsbanken's Annual Report, note G2, section: Risk management – The Board's risk declaration and risk statement, page 106
2 a–c	Corporate governance disclosures		Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 66
2 d	Whether or not the institution has set up a separate risk committee		Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 66
2 e	Description of the information flow on risk to the management body		Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report; Note G2 Section Risk management – Risk organisation – Reporting and monitoring the risk and capital situation, page 104
Article 436 Scope of application			
a	Name of the institution to which the requirements in CRR apply	The inside front cover of this report	
b i–iv	Outline of the differences in the basis of consolidation for accounting and prudential purposes		Handelsbanken's Annual Report note G2, section: Market risk – Prudent valuation, page 128
c	Current or foreseen material practical or legal impediments to the prompt transfer of own funds or repayment of liabilities among the parent undertaking and its subsidiaries	Section: Own funds and capital requirement – Own funds, page 4	
d	Amount by which own funds are less than required in those subsidiaries not included in the consolidation	Section: Introduction, page 2	
e	If applicable, the circumstance of making use of the provisions laid down in Articles 7 and 9	Not applicable	
Article 437 Own funds			
1 a	General disclosure requirements regarding own funds	Section: Own funds and capital requirement - table 2.2 Own funds, page 6-7	Handelsbanken's Annual Report, note G49, page 193-195
1 b	Description of the main features of capital instruments	Section: Tables - T24 Capital instruments main features CET1 T25 Capital instruments main features, AT1 T26 Capital instruments main features, T2, page 80-82	Handelsbanken's Annual Report, note G49, page 193-195
1 c	Full terms and conditions of capital instruments	Section: Tables - T24 Capital instruments main features CET1 T25 Capital instruments main features, AT1 T26 Capital instruments main features, T2, page 80-82	
1 d i–iii	Separate disclosures on the nature of prudential filters, deductions, and items not deducted	Section: Own funds and capital requirement - table 2.2 Own funds, page 6-7	Handelsbanken's Annual Report, note G49, page 193-195
1 e	Description of restrictions applied to the calculation of own funds	Section: Own funds and capital requirement – Own funds, page 4	
1 f	Explanation of the basis on which capital ratios have been calculated if other than the basis specified in CRR	Not applicable	
Article 438 Capital requirements			
a	Institution's approach to assessing the adequacy of its internal capital	Section: Economic Capital, page 56	Handelsbanken's Annual Report, note G2, section: Economic capital, page 141
b	Upon demand from the relevant competent authority, the result of the institution's internal capital adequacy assessment process	Provided upon request. Section: Own funds and capital requirement – Capital requirement – SFSA total capital requirement, page 15	
c	Capital requirements for credit risk calculated using the standardised approach	Section: Credit risk – Capital requirements for credit risk - table 3.15 Credit risks exposures according to standardised approach, page 38; Section: Own funds and capital requirement - table 2.11 EU OV1 - Overview of RWAs, page 16	
d	Capital requirements for credit risk calculated using the IRB approach	Section: Credit risk – Capital requirements for credit risk table 3.14 Credit risks exposures approved for IRB approach, page 38; Section: Own funds and capital requirement - table: 2.11 EU OV1 - Overview of RWAs, page 16	
e	Capital requirements for market risk	Section: Market risk - table 4.1 EU MR1 - Market risk under the standardised approach, page 53; Section: Own funds and capital requirement - table 2.11 EU OV1 - Overview of RWAs, page 16	
f	Capital requirements for operational risk	Section: Own funds and capital requirement - table 2.11 EU OV1 - Overview of RWAs, page 16	
g	Capital adequacy ratio of the financial conglomerate	Section: Own funds and capital requirement - table 2.12 Capital adequacy financial conglomerate, page 16	

Article in CRR	Description	Reference in Risk and Capital – Information according to Pillar 3	Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website
Article 439	Exposure to counterparty credit risk		
a	Methodology to assign internal capital and credit limits for counterparty credit exposures	Section: Credit risk – Counterparty credit risks, page 51	
b	Policies for securing collateral and establishing credit reserves	Section: Credit risk – Counterparty credit risks, page 51	
c	Policies with respect to wrong-way risk exposures	Section: Credit risk – Counterparty credit risks, page 51	
d	Impact of the amount of collateral the institution would have to provide given a downgrade in its credit rating	Section: Credit risk – Counterparty credit risks, page 51	
e	Net derivatives credit exposure	Section: Credit risk - table T20 EU CCR5-A - Impact of netting and collateral held on exposure values, page 77 Section: Tables - T22 EU CCR6 - Credit derivative exposures, page 78	
f	Methods for measures of exposure value	Section: Credit risk – Counterparty credit risks, page 51	
g	Notional value of credit derivative hedges and the distribution of current credit exposure by types of credit exposure	Section: Tables - T22 EU CCR6 - Credit derivative exposures, page 78	
h	Notional amounts of credit derivative transactions in the bank's own credit portfolio as well as intermediation activities	Section: Credit risk – Counterparty credit risks, page 51	
i	Estimate of alpha if the institution has received the permission of the competent authorities to estimate alpha	Not applicable	
Article 440	Capital buffers		
1 a	Geographic distribution of credit exposures for calculating the countercyclical capital buffer	Section: Own funds and capital requirement - table 2.5 Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer, page 8	
1 b	Amount of the countercyclical capital buffer	Section: Own funds and capital requirement - table 2.4 Amount of institution -specific countercyclical capital buffer, page 8	
Article 441	Indicators of global systemic importance		
1	Indicators used for determining the score of the institution in accordance with the identification methodology		handelsbanken.com/er/investor-relations/reports-and-presentations
Article 442	Credit risk adjustments		
a	Definitions for accounting purposes of 'past due' and 'impaired'	Section: Credit risk – Introduction, page 19 and section Definitions and explanations, page 90-91	Handelsbanken's Annual Report, note G2, page 103
b	Methods for determining specific and general credit risk adjustments	Section: Credit risk – Introduction, page 19	Handelsbanken's Annual Report, note G2, page 103
c	Total amount of all exposures and the average amount of the exposures over the period, broken down by different types of exposure classes	Section: Credit risk - table 3.16 EU CRB-B - Total and average net amount of exposures, page 40 Section: Tables - T9 Collateral obtained by taking possession and execution processes, page 66	
d	Geographic distribution of the exposures, broken down by exposure classes	Section: Tables - T2 EU CR1-C - Credit quality of exposures by geography, page 60	
e	Distribution of exposures by industry or counterparty type, broken down by exposure classes	Section: Tables - T1 EU CR1-B - Credit quality of exposures by industry or counterparty types, page 59	
f	Residual maturity of all exposures, broken down by exposure classes	Section: Tables - T3 Credit quality of performing and non-performing exposures by past due days, page 61	
g i-iii	Distribution of exposures by industry and counterparty type broken down by impaired exposures and past due exposures, specific and general credit risk adjustments, and the charges for specific and general credit risk adjustments	Section: Tables - T1 EU CR1-B - Credit quality of exposures by industry or counterparty types, page 59	
h	Geographic breakdown of impaired and past due exposures	Section: Tables - T2 EU CR1-C - Credit quality of exposures by geography, page 60	
i i-v	Reconciliation of changes in specific and general credit risk adjustments for impaired loans	Section: Credit risk – Introduction, page 19 table 3.1 EU CR1-A - Credit quality of exposures by exposure class and instrument, page 20 table 3.2 EU CR2-A - Changes in the stock of general and specific credit risk adjustments, page 22	
Article 443	Unencumbered assets		
	Disclosure of unencumbered assets in accordance with EBA guidelines EBA/GL/2014/03	Section: Funding and Liquidity - table 5.2 Encumbered and unencumbered assets table 5.3 Collateral received table 5.4 Sources of encumbrance, page 55	Handelsbanken's Annual Report, note G2, section: Funding and liquidity risk – Encumbered assets and cover pools, page 131
Article 444	Use of external credit assessment institutions (ECAIs)		
a	Names of the nominated external credit assessment institutions (ECAIs) and export credit agencies (ECAs)	Section: Credit risk – Calculation of capital requirements for credit risk – Comparisons with external ratings, page 25; Section: Capital requirements for credit risk – Exposure, exposure amounts and capital requirements, page 39	
b	Exposure classes for which each ECAI or ECA is used	Section: Credit risk – Calculation of capital requirements for credit risk – Comparisons with external ratings, page 25	
c	Description of the process used to transfer the issuer and issue credit assessments onto items not included in the trading book	Not applicable	
d	Association of the external rating of each nominated ECAI or ECA with the institution's scale of credit quality steps	Section: Credit risk – Calculation of capital requirements for credit risk – Comparisons with external ratings, page 25	
e	Exposure values before and after credit risk mitigation associated with each credit quality step	Section: Credit risk – Capital requirements for credit risk – Exposure, exposure amounts and capital requirements table 3.17 Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings, page 41	

REFERENCE TABLE FOR CRR

Article in CRR	Description	Reference in Risk and Capital – Information according to Pillar 3	Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website
Article 445	Exposure to market risk Capital requirements for market risk	Section: Market risk - table 4.1 EU MR1 - Market risk under the standardised approach, page 53; Section: Own funds and capital requirement - table 2.11 EU OV1 - Overview of RWAs, page 16	
Article 446	Operational risk Methodology for calculating capital requirements for operational risk	Section: Own funds and capital requirement – Operational risk, page 57	
Article 447	Exposures in equities not included in the trading book		
a	Differentiation between exposures based on their objectives		Handelsbanken's Annual Report, note G2, table AR:27, page 128
b	Balance sheet value, fair value and, for those traded on an exchange, comparison to the market price where it is materially different from fair value		Handelsbanken's Annual Report, note G2, section: Market risk – Equity price risk – Equity price risk outside the trading book, page 127
c	Types, nature and amounts of exchange-traded exposures, private equity exposures in sufficiently diversified portfolios, and other exposures		Handelsbanken's Annual Report, note G2, table AR:27, page 128
d	Cumulative realised gains or losses arising from sales and liquidations in the period		Handelsbanken's Annual Report, note G2, table AR:27, page 128
e	Total unrealised gains or losses		Handelsbanken's Annual Report, note G2, table AR:27, page 128
Article 448	Exposure to interest rate risk on positions not included in the trading book		
a	Nature of the interest rate risk and key assumptions and frequency of measurement of interest rate risk		Handelsbanken's Annual Report, note G2, section: Market risk – Interest rate risk – Interest rate risk in the non-trading book, page 126
b	Variation in earnings, economic value or other relevant measure used by management for upward and downward rate shocks according to methods for measuring interest rate risk, broken down by currency		Handelsbanken's Annual Report, note G2, section: Market risk – Interest rate risk – Interest rate risk in the non-trading book, page 126
Article 449	Exposure to securitisation positions		
a	Objectives in relation to securitisation activity	Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50	
b	Nature of other risks including liquidity risk inherent in securitised assets	Not applicable	
c	Type of risks in terms of seniority of underlying securitisation positions and in terms of assets underlying those positions that the institution has assumed and retained with re-securitisation activity	Not applicable	
d–e	Different roles played by the institution in the securitisation process and extent of the institution's involvement in these roles	Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50	
f	Description of the processes to monitor changes in the credit and market risk of positions	Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50	
g	Description of the policy governing the use of hedging and unfunded protection to mitigate the risks of retained securitisation and re-securitisation exposures	Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50	
h	Methods for calculating risk-weighted exposure amounts for securitisation activities	Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50	
i	Types of special purpose entities that the institution, in its capacity as sponsor, uses to securitise third-party exposures	Not applicable	
j–vi	Accounting policies for securitisation activities	Not applicable	
k	Names of the external credit assessment institutions (ECAIs) used for securitisations	Section: Credit risk - table 3.23 Securitisation positions in the non-trading book by risk weight, page 51	
l	Description of the IRB approach	Not applicable	
m	Explanation of significant changes to any of the quantitative disclosures in points n–q since the preceding reporting period	Not applicable	
n i–vi	Information on securitisation exposures in the trading book and in the non-trading book, broken down by exposure type	Section: Credit risk - table 3.23 Securitisation positions in the non-trading book by risk weight, page 51	
o i–ii	Additional information on securitisation exposures in the trading book and in the non-trading book	Not applicable	
p	Information on securitisation exposures in the non-trading book that are impaired/past due and the losses recognised during the current period, both broken down by exposure type	Not applicable	
q	Total outstanding exposures securitised in the trading book and subject to a capital requirement for market risk, broken down into traditional and synthetic securitisation and by exposure type	Not applicable	
r	Where applicable, whether the institution has provided support and the impact on own funds	Not applicable	

Article in CRR	Description	Reference in Risk and Capital – Information according to Pillar 3	Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website
Article 450	Remuneration policy		
1 a	Decision-making process used for determining remuneration policy, and number of meetings held by main body overseeing remuneration during the financial year		Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 66
1 b	Information on link between pay and performance		Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 66
1 c–f	Criteria for performance measurement, parameters and rationale for any variable component scheme		Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 66
1 g–i	Aggregate quantitative information on remuneration, including breakdowns		Handelsbanken's Annual Report, section: Note G1, Note G8 and Corporate Governance Report, which is part of the administration report, page 80-82, The Remuneration Report
1 j	Upon demand, total remuneration for each member of the management body or senior management		Handelsbanken's Annual Report, section: Note G8 and Corporate Governance Report, which is part of the administration report, page 80-82, The Remuneration Report
2	Quantitative information about remuneration to members of the institution's management body for significant institutions		Handelsbanken's Annual Report, section: Note G8, Corporate Governance Report, which is part of the administration report, page 80-82, The Remuneration Report
Article 451	Leverage		
1 a	Leverage ratio	Section: Own funds and capital requirement – Leverage ratio, table 2.13 LRCom Leverage ratio common disclosure, page 17	
1 b	Breakdown of the total exposure amount	Section: Own funds and capital requirement – Leverage ratio, table 2.13 LRCom Leverage ratio common disclosure, page 17	
1 c	Where applicable, the amount of derecognised fiduciary items	Section: Own funds and capital requirement – Leverage ratio, table 2.14 LRSum Summary reconciliation of accounting assets and leverage ratio exposures, page 18	
1 d	Description of the processes used to manage the risk of excessive leverage		Handelsbanken's Annual Report, note G2, section: Capital planning section describes how the Bank monitors capitalisation, page 142
1 e	Description of factors that had an impact on the leverage ratio during the period to which the disclosed leverage ratio refers	Section: Own funds and capital requirement – Leverage ratio, table 2.13 LRCom Leverage ratio common disclosure, page 17	
Title III	Qualifying requirements for the use of particular instruments or methodologies		
Article 452	Use of the IRB approach to credit risk		
a	Competent authority's permission of the approach or approved transition	Section: Credit risk – Calculation of capital requirements for credit risk, page 22	
b	Explanation of the following:		
b i	Structure of internal rating systems and relation between internal and external ratings	Sections: Credit risk – Calculation of capital requirements for credit risk – Risk rating system, page 23; Credit risk – Calculation of capital requirements for credit risk – Risk classification methods – Comparisons with external ratings, page 25	
b ii	Use of internal estimates other than for calculating risk-weighted exposure amounts	Not applicable	
b iii	Process for managing and recognising credit risk mitigation	Section: Credit risk – Collateral and actions that reduce the capital requirement, page 33	
b iv	Control mechanisms for rating systems	Section: Credit risk – Calculation of capital requirements for credit risk – Quality assurance of the rating system, page 25	
c i–v	Description of internal ratings process, provided separately for each IRB exposure class	Sections: Credit risk – Calculation of capital requirements for credit risk – Exposure classes; Risk classification methods, page 23	
d	Exposure values, provided separately for each IRB exposure class	Section: Credit risk – Capital requirements for credit risk – Exposure, exposure amounts and capital requirements, page 39; table 3.14 Credit risk exposures approved for IRB approach, page 38	
e i–iii	Total exposures, exposure-weighted average risk weight, and total amount of undrawn commitments by risk class for the exposure classes central governments and central banks, institutions, corporates, and equities	Section: Credit risk – Capital requirements for credit risk – Risk weight and breakdown into risk classes; table 3.18 EU CR6 - IRB approach - Credit risk exposures by exposure class and PD range, page 43-48	
f	Information on retail exposures in the IRB approach	Section: Credit risk – Calculation of capital requirements for credit risk – Exposure classes, page 23	
g	Actual specific credit risk adjustments in preceding period	Section: Credit risk – Introduction, page 19; table 3.2 EU CR2-A Changes in the stock of general and specific credit risk adjustments, page 22	
h	Factors that impacted on the loss experience in preceding period	Section: Credit risk – Introduction, page 19; table 3.2 EU CR2-A Changes in the stock of general and specific credit risk adjustments, page 22	
i	Institution's estimates against actual outcomes	Section: Credit risk – Calculation of capital requirements for credit risk – Forecasts and outcomes in IRB approach, page 26	
j i–ii	Geographic breakdown of PD and LGD for all IRB exposure classes	Section: Tables, T10 EU CRB-C, page 67	

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Article in CRR	Description	Reference in Risk and Capital – Information according to Pillar 3	Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website
Article 453	Use of credit risk mitigation techniques		
a	Policies and processes for on- and off-balance-sheet netting	Sections: Credit risk – Collateral and actions that reduce the capital requirement, page 33; Counterparty credit risks – Mitigation of counterparty credit risk, page 51	
b	Policies and processes for collateral valuation and management	Sections: Credit risk – Collateral and actions that reduce the capital requirement, page 33; Counterparty credit risks – Mitigation of counterparty credit risk, page 51	
c	Main types of collateral taken by the institution	Sections: Credit risk – Collateral and actions that reduce the capital requirement, page 33; Counterparty credit risks – Mitigation of counterparty credit risk, page 51	
d	Main types of guarantor and credit derivative counterparty and their creditworthiness	Section: Information items not disclosed under EBA/GL/2014/14, page 92	
e	Information about market or credit risk concentrations within the credit mitigation taken	Section: Tables, T22 EU CCR6 - Credit derivative exposures, page 78	
f	Exposure value covered by eligible financial and other collateral for exposures under the standardised approach or the IRB approach without own estimates of LGD and CCF	Section: Tables - T20 EU CCR5A-Impact of netting and collateral held on exposure values T21 EU CCR 5B –Composition of collateral for exposures to CCR and T19 EU CCR 4 –IRB approach –CCR exposures by portfolio and PD scale, pages 76-77	
g	Exposure value covered by guarantees or credit derivatives	Section: Tables -T20 EU CCR5-A - Impact of netting and collateral held on exposure values, page 77	
Article 454	Use of the Advanced Measurement Approaches to operational risk		
	Description of the use of insurance and other risk transfer mechanisms to mitigate operational risk	Not applicable	
Article 455	Use of Internal Market Risk Models		
a i	Characteristics of the models used	Not applicable	
a ii	Methodologies in internal models for incremental default and migration risk and for correlation trading	Not applicable	
a iii	Description of stress testing applied to the sub-portfolio	Not applicable	
a iv	Description of the approaches used for back-testing and validating the accuracy and consistency of the internal models and modelling processes	Not applicable	
b	Scope of permission by the competent authority	Not applicable	
c	Description of the extent and methodologies for compliance with the requirements set out in Articles 104 and 105	Not applicable	
d i-iii	Highest, lowest and mean values for value-at-risk measures, stressed value-at-risk measures, risk numbers for incremental default and migration risk and for the specific risk of the correlation trading portfolio	Not applicable	
e	Elements of the own funds requirement for market risk	Not applicable	
f	Weighted average liquidity horizon for each sub-portfolio covered by the internal models	Not applicable	
g	Comparison of the daily end-of-day value-at-risk measures to the one-day changes of the portfolio's value by the end of the subsequent business day	Not applicable	
EBA guidelines	Description	Reference in Risk and Capital – information according to Pillar 3	
	EBA/GL/2018/10	Section: Tables	
	Disclosure templates: forbearance	T8 Credit quality of forborne exposures, page 66	
	Disclosure templates: non-performing exposures	T3 Credit quality of performing and non-performing exposures by past due days, page 61 T4 Performing and non-performing exposures and related provisions, page 63	
	Disclosure templates: foreclosed assets	T9 Collateral obtained by taking possession and execution processes, page 66	
	EBA/GL/2020/07	Section: Tables,	
	Disclosure templates: payment moratoria	T27 Information on loans and advances subject to legislative and non-legislative moratoria, page 83 T28 Breakdown of loans and advances subject to legislative and non-legislative moratoria by residual maturity of moratoria, page 83	
	Disclosure templates: Loans by public guarantees schemes	T29 Information on newly originated loans and advances provided under newly applicable public guarantee schemes introduced in response to Covid-19 crisis, page 83	

Definitions and explanations

ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in Regulation (EU) No 575/2013 and can therefore be included in the tier 1 capital.

AFR

Available financial resources (AFR) is the Bank's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

BUFFER REQUIREMENT FOR SYSTEMICALLY IMPORTANT INSTITUTIONS

The buffer requirement for banks considered especially important to the financial system. For institutions that are systemically important on a global scale, the requirement can be up to 3.5 per cent. For other systemically important institutions, it can be up to 2 per cent.

CAPITAL CONSERVATION BUFFER

The purpose of this buffer requirement of 2.5 per cent is to ensure that all banks maintain buffer capital exceeding the minimum capital requirements.

CAPITAL REQUIREMENT

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5 per cent, a tier 1 ratio of at least 6 per cent and a total capital ratio of at least 8 per cent. This means that own funds must be at least the percentage of the risk exposure amount specified for each ratio. For definitions of each of the own funds amounts, see Common equity tier 1 capital, Tier 1 capital, and Total capital. In addition to the general requirements, the supervisory authority may add institution-specific requirements in accordance with the second pillar of the regulations.

COMBINED BUFFER REQUIREMENT

The sum of the capital conservation buffer, the countercyclical buffer, and the buffer requirement which is the higher of the requirement for systemically important institutions or the systemic risk buffer.

COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for dividends generated, goodwill, and other intangible assets as well as the difference between an expected loss and provisions made for probable loan losses.

COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to total risk exposure amount.

COUNTERCYCLICAL BUFFER

A buffer requirement that varies over the business cycle to counteract excessively high credit growth. The level is set by the Swedish Financial Supervisory Authority and can be between 0 and 2.5 per cent.

CRD IV

The EU Credit Institutions Directive: Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

CREDIT CONVERSION FACTOR (CCF)

The factor used when calculating the exposure amount for unutilised overdraft facilities, committed loan offers, guarantees, and other off-balance-sheet commitments.

CREDIT RISK PROTECTION

Risk-mitigation factors and measures, such as property mortgages.

CREDITS IN DEFAULT

Impaired exposures that are also classified as 'defaulted' under Article 178 of CRR.

CRR

The EU Capital Requirements Regulation for credit institutions and investment firms: Regulation (EU) No 575/2013 on prudential requirements for credit institutions and investment firms.

CVA

The credit valuation adjustment (CVA) risk measures the risk that the market value of a derivative will decrease, owing to deterioration of the creditworthiness of the counterparty. The CVA is a component in the regulations for the valuation of derivatives. The adjustment in the value is based on the counterparty's creditworthiness. An exposure to a counterparty with weaker creditworthiness must have a lower carrying amount than the equivalent exposure to a counterparty with better creditworthiness. In this context, credit risk means that if a given counterparty's creditworthiness weakens, the balance sheet values of all derivative transactions with this counterparty with a positive market value decrease – and thus the Bank's equity decreases. To factor in this risk in the capital adequacy, the credit valuation adjustment risk has been introduced as part of the capital adequacy regulations.

DEFAULT

An exposure to a specific counterparty is deemed to be in default if any of the following criteria are fulfilled:

- The institution deems it probable that the counterparty will not be able to fulfil its commitments towards the institution without the institution having to realise any collateral or take similar measures.
- The counterparty is more than 90 days past due with a payment, unless it is an insignificant amount.

EC

Economic capital (EC) is a model for calculating economic capital which, in one measurement, identifies the Group's overall risks and indicates the capital that, with very high probability, will cover unexpected losses or decreases in value.

EL

Expected loss (EL) is calculated by multiplying PD by LGD and the exposure amount.

ELIGIBLE LIABILITIES AND OWN FUNDS

The sum of bail-in-able senior liabilities according to the definition in Swedish resolution law (SFS 2015:1016) and own funds.

EXPOSURE AMOUNT

Exposure amount (exposure at default) is the amount which is subject to capital adequacy requirements. It is calculated including interest and fees. For off-balance-sheet items, the amounts are recalculated using the credit conversion factor (CCF). For derivatives, the exposure amount is calculated as positive MTM (mark-to-market) plus value change risk, that is, the nominal amount multiplied by the upward adjustment factor.

EXPOSURE VALUE

Exposure value is the same as exposure amount. The exposure value concept is used in the standardised approach for credit risk.

FORBEARANCE

Credit agreements that have been eased in credit terms through the modification of existing terms or new credit agreements with easements that have refinanced old contracts in whole or in part, if this has occurred because the borrower has faced / is facing financial difficulties

IRB

Internal Ratings-Based Approach.

IRB APPROACH

There are two versions of the internal ratings based (IRB) approach: the simplified version, the IRB approach without own estimates of LGD and CCF (in previous regulations called the foundation approach), and the more advanced method, the IRB approach with own estimates of LGD and CCF (in previous regulations called the advanced approach).

LEVERAGE RATIO

Tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated with conversion factors defined in the standardised approach and regulatory adjustments from own funds.

LGD

The loss given default (LGD) is the proportion of an exposure that the Bank will lose, on average, in the event of a default.

LIQUIDITY COVERAGE RATIO (LCR)

High-quality liquid assets in relation to an estimated net outflow of liquidity over a period of 30 days.

LOAN LOSS RATIO

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks), and also repossessed property and credit guarantees at the beginning of the year.

MREL REQUIREMENT

Minimum requirement for eligible liabilities and own funds. Requirement is set annually by the SNDO, the resolution authority, according to Swedish resolution law (SFS 2015:1016).

NPL NON-PERFORMING LOANS/NPE NON-PERFORMING EXPOSURES

Non-performing loans/exposures are defined as defaulted exposures plus forborne exposures. A default shall be considered to have occurred when the obligor it's unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

OWN FUNDS/TOTAL CAPITAL

Own funds are the sum of tier 1 and tier 2 capital.

PD

The probability of default (PD) is the probability of a borrower defaulting within one year. For example, a PD of 0.2 per cent means that two borrowers of 1,000 are expected to default within one year.

PERFORMING CREDITS

Credits that are neither impaired nor defaulted.

PILLAR 2 GUIDANCE

According to the Pillar 2 framework, the regulatory authority may inform the bank of the assessed appropriate level of capital to be held in excess of the minimum- and buffer requirements to cover risks and future financial stress.

PILLAR 2 REQUIREMENT

The requirement consists of an additional minimum requirement based on a formal decision from the regulatory authorities within the Pillar 2 framework and concerns risks that a bank is or could be exposed to that are not covered by the general minimum requirements.

RISK EXPOSURE AMOUNT

The capital requirement in accordance with CRR, multiplied by 12.5. The risk exposure amount is used in conjunction with market risk and operational risk.

RISK WEIGHT

A measure to describe the level of risk an exposure is expected to have under the capital adequacy regulations.

RISK-WEIGHTED EXPOSURE AMOUNT

Exposure amount multiplied by risk weight. The risk-weighted exposure amount is used in conjunction with credit risk including counterparty risks.

SECURITISATION

A programme whereby the credit risk associated with an exposure or pool of exposures is tranching, and the payments within the framework of the programme depend on the performance of the exposure or pool of exposures. The subordination of tranches determines the distribution of losses during the life of the programme.

SPECIFIC CREDIT RISK ADJUSTMENT

Specific credit risk adjustments consist of collective and individual credit risk adjustments. These apply to exposures covered by either the standardised approach or the IRB approach.

STANDARDISED APPROACH

The method for calculating and reporting credit risk according to CRR. This relies on standardised risk weights based on external ratings. The standardised approach is also applied for market risk and operational risk.

SYSTEMIC RISK BUFFER

A buffer requirement of 3 per cent for the largest banks in Sweden. The aim of the systemic risk buffer is to protect the banking system as a whole in times of financial instability.

TIER 1 CAPITAL

Common equity tier 1 capital including additional tier 1 capital.

TIER 1 RATIO

Tier 1 capital in relation to total risk exposure amount.

TIER 2 CAPITAL

Tier 2 capital is one of the components of own funds and mainly consists of subordinated loans which fulfil the requirements stated in Regulation (EU) No 575/2013 to be included as tier 2 capital.

TOTAL CAPITAL RATIO

Total capital in relation to total risk exposure amount.

TOTAL LIABILITIES AND OWN FUNDS

The sum of the Bank's total liabilities and own funds

TOTAL RISK EXPOSURE AMOUNT

The sum of risk exposure amount and risk-weighted exposure amount.

Information items not disclosed under EBA/GL/2014/14

Reference	Description	Reason for non-disclosure ¹	Reference to information which replaces non-disclosed information
Table EU OVA, CRR 435 1 b	The approved levels for risk to which the institution is exposed.	Limit levels of the Bank's risk tolerance are strictly confidential. The information refers to business relationships that are of competitive importance.	Key figures and risk measures on which the limit levels are based are stated in the report.
Table EU CRC, CRR 453 d	The description of the main types of guarantors and counterparties for credit derivatives and their creditworthiness.	The Bank's guarantors and credit derivative counterparties are strictly confidential information. The information refers to business relationships that are of competitive importance.	Key figures and risk measures that are affected by the Bank's guarantors and credit derivative counterparties are stated in the report.
Table EU MRA, CRR 455 c	A description of the procedures and systems implemented to guarantee the opportunity to trade for the positions included in the trading book in order to fulfil the requirements of article 104. A description of the method used to guarantee that the guidelines and processes implemented for the general management of the trading book are appropriate.	The Bank's guidelines for risk-taking in the trading book and investment regulations for the liquidity portfolio are strictly confidential. The information refers to business relationships that are of competitive importance.	Footnote in Handelsbanken's Annual Report, table AR:22.

¹ Non-disclosed information is available to the supervisory authority.

Signatures of the CEO, CFO and CRO

The Information Policy for the Handelsbanken Group, adopted by Handelsbanken's Board, and the CEO's Guidelines for communication in the Handelsbanken Group are Handelsbanken's steering documents for compliance with the disclosure requirements in Regulation (EU) No 575/2013.

The control environment described in the Annual Report's Corporate Governance Report and in this report is fundamental to Handelsbanken's internal control of disclosures under Part Eight of Regulation (EU) No 575/2013: organisational structure, division of responsibilities, guidelines and steering documents. Another part of the internal control process is the identification and management of the risks that may affect the preparation of disclosures under Part Eight of Regulation (EU) No 575/2013 and the control activities incorporated in the process for preparing disclosures. The Bank has information and communication paths intended to promote the completeness, accuracy, meaningfulness, and consistency over time of disclosures under Part Eight of Regulation (EU) No 575/2013.

The responsibility for internal control of disclosures under Part Eight of Regulation (EU) No 575/2013 has been delegated from the CEO to managers who report directly to the CEO and who are in charge of internal control within their respective units.

We hereby declare that the disclosures under Part Eight of Regulation (EU) No 575/2013 have been prepared in accordance with Handelsbanken's internal control framework. The information which is provided under Part Eight of Regulation (EU) No 575/2013 is satisfactory, including in terms of control and frequency, in relation to the disclosure requirements in the Regulation and provides market participants with a comprehensive picture of Handelsbanken's risk profile.

STOCKHOLM FEBRUARY 2021

Carina Åkerström

President and Group Chief Executive

Carl Cederschiöld

CFO

Maria Hedin

CRO

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